TAX LAW AND PRACTICE IN ZIMBABWE

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MODULE OVERVIEW

This study pack has been written for all students preparing for their examinations in Taxation/Income Tax (Zimbabwe), especially those studying CIS, IAC, SAAA, ICAZ, ACCA, ZIM, CCIP and HEXCO. It also can be of value to other students studying Taxation in Zimbabwe with different boards and institutions.

It has been set in a format that will enable the students to grasp the concepts of taxation and their application in practical situations. Also, it has simple laid out examples to explain some of the concepts.

It is my pleasure to come up with this fourth edition. The module has come a long way since the first edition and it has always been my passion and desire to continuously improve the quality of each edition with the student in mind.

The fourth edition is also meant to give students a thorough practice for examinations. This is enhanced by the inclusion of progress questions at the end of each chapter (beginning with chapter five) and their solutions. Furthermore, there are further revision questions and answers at the end of the study pack. I have added more questions in this study pack than the previous editions. I have also included exam tips so as to assist students on the approach expected by examiners.

Students should note that this study pack covers the tax years 2012 and 2013. There shall be a continuous up-date of this study pack to keep pace with changes in the statutes, approaches and changing economic environment.

The author is optimistic that the study pack will make it easier for students to complete their examinations in the least possible time.

Considerable effort has been made to reduce factual and typing errors; however any error encountered is sincerely regretted. The author will accept any constructive criticism and can be contacted on the following details: sabelonare@gmail.com or sabelo.nare@facebook.com or 2**63773 286 460**.

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STUDYING AND EXAMINATION TECHNIQUES

In my observations and experiences, I have realized that there is a need to touch on examination preparation and techniques. I want to use the first person here, as I need to put across to you a message about examinations, and I want you to feel that I am writing this for you as an individual rather than simply as one of the considerable number of people who have read this book.

By the time you sit your first examination, you will have spent a lot of hours trying to master such things as gross income, allowable deductions, computations etc. Learning taxation does demand a lot of discipline and practice. Compared with many hours spent learning the subject, most students spend very little time actually considering in detail how to tackle the examination. You may be one of them, and I would like you to start planning now for that day when you will need to be able to demonstrate what you have learnt and understood, can apply, the material in this book.

Practice makes perfect

I have realized that there is hardly anything in life which you can do perfectly without practice, even an inborn gift needs to be nurtured and developed. The best way to know something is through practice. Before you can sit for examinations you should have gone through many exercises as possible, this is because of the following:

1. Even though you may think you understand the text, when you come to answer the questions you may often find your understanding incomplete. The true test of understanding is whether or not you can tackle the questions competently.

2. You simply have to get up to a good speed in answering questions: you will always fail taxation or accounting examinations if you are a very slow worker. Adequately prepared students are those who not only have the knowledge, but have also been trained to work quickly and, at the same time, maintain accuracy and neatness.

3. Speed itself is not enough. You also have to be neat and tidy, and follow all the proper practices and procedures while working at speed. Fast but really scruffy work can also mean failing the exam. This is because at this level the examiner is very much concerned with your practical ability in the subject. Taxation is a practical subject, and your practical competence is about to be tested. The examiner will, therefore, expect the answers to be neat and well set out. Untidy work with figures spread over the page in a haphazard way, badly written figures and columns of figures in which the vertical columns are not set down in straight lines, will incur the examiner's displeasure. Please avoid making silly mistakes and then cancelling. Too many mistakes indicate that, you write before you think, which should be the other way round. The examiner is there to ensure that the person to whom they give a certificate

will be worthy of it, and will not continually mess up the work of any firm or short-change any stakeholder in the future.

4. Appropriate presentation of information is very important. Learn how to present the various computations you may need to produce in an examination.

Understanding examiners

Let me start by saying that if you want to understand anything about examinations then you have got to understand examiners, so let us look together at what these peculiar creatures get up to in an examination. The first thing is that when they set an examination they are looking at it on the basis that they want good students to get a pass mark. Obviously anyone who does not achieve the pass mark will fail, but the object of the exercise is to find those who will pass, not find the failures. This means that if you have done your work properly, and you are not sitting for an examination well above your intellectual capabilities, you should manage to get a pass mark.

There are, however, quite a large number of students who will fail, not because they haven't put in enough hours on their studies, nor because they are unintelligent, but simply because they throw away marks unnecessarily by poor examination technique.

Punctuality

Before thinking about the examination paper itself, let us think about how you are going to get to the examination room. If it is at your own college then you have no problems as to how you will get there. On the other hand, it may be an external centre. Do you know where exactly where the place is? If not, you better have a trip there if possible. How are you going to get there? If you are going by bus, do you know which bus to catch? Will it be the rush hour when it may well take you much longer than if it were held at midday?

Quite a large proportion of students lose their way to the examination room, or else arrive, breathless and flustered, at the very last minute. They then start off the attempt at the examination in a somewhat nervous state, a recipe for disaster for a lot of students. So plan how you are going to get there and give yourself enough time.

Last minute learning for your examination will be of little use to you. The last few days before the examination should not be spent cramming. You can look at past examination papers and rework some of them. This is totally different from trying to cram new facts into your head.

Read the rubric carefully and follow its instructions

The rubric appears at the beginning of the examination paper, and says something such as:

'Attempt any 5 questions'

That instruction from the examiner is to be followed exactly. You cannot change the instruction – it means what it says.

Now you may think that is so simple that it is not worthwhile forcibly pointing it out to you. I wish that was the case for all students. However, you would be amazed at the quite high percentage of students who do not follow the instructions given in the rubric.

Time planning

How you manage your time in an examination is very critical for you to pass. Most students complain that they are expected to do a lot of work in a relatively short time, but certainly it goes back to time management. Working at speed does bring various advantages, and makes the way you tackle the examination of even greater importance than for examinations where the pace is more leisurely.

Time per question

The marks allotted to each question will indicate how long you should take in tackling the question. Most examinations are of three hours' duration, i.e. 180 minutes. This means that in a normal examination, with 100 marks in total, a 25-mark question should be allocated 20 per cent of the time, i.e. 25% X 180=45 minutes. Alternatively it is 1.8 minutes for each mark awarded for the question.

If the question is in parts, and the marks awarded are shown against each part, then that will give you a clue as to the time to be spent on each part. If the question asks for an outline, for instance, and only 5 marks are awarded to that part, then you should not spend 30 minutes on a long and detailed answer. Instead a list of points, taking less than 9 minutes, is what is required.

Attempt the easiest questions first

Always do the easiest question first, then the next easiest question and so on. Leave the most difficult question as the last one to be attempted. Most examiners usually set what

might be called ‘warm-up’ questions. These are usually fairly short, and not very difficult questions and the examiner will expect you to tackle these first.

You may be able to do the easiest question in less than the time allocated. The examiner is trying to be kind to you. The examiner knows that there is a certain amount of nervousness on the part of a student taking the examination, and wants to give you the chance to calm down by letting you tackle these short, relatively easy questions first of all, and generally settle down to your work.

Even where all the questions are worth equal marks, you are bound to find some easier than others. It is impossible for an examiner to set questions which are equally as difficult as each other. So, remember, start with the easiest question. This will give you a feeling of confidence.

Do not expect that these ‘warm-up’ questions will be numbered 1 and 2 on your examination paper. Most taxation examinations start off with a rather long question, worth a lot of marks, as question number 1 on the paper. A lot of students are fascinated by the fact that such a question is number 1, that is worth a lot of marks, and their thinking runs: ‘If I do this question first, and make a good job of it, then I am well on the way to passing the examination.’

There is no doubt that a speedy and successful attempt at such a question could possibly lead to a pass. The trouble is that this doesn’t usually happen. What happens very often is that the student starts off on such a question, things don’t go very well, a few mistakes are made, the student then looks at the clock and sees that they are not ‘beating the clock’ in terms of possible marks, and then panic descends on them. Leaving that question very hastily, the student then proceeds to the next question, which normally might have been well attempted but, because of the state of mind, a mess is made of that one as well, and so students fail an examination which they had every right to think they could pass.

Attempt every required question

The last point concerning time management which I want to get through is that you should attempt each and every question as required. Most taxation examination papers require you to attempt all the questions, certainly if you don’t do that, you don’t expect to pass; in fact you don’t deserve to pass because you failed to follow instructions. It is better to leave questions unfinished when your allotted time, calculated as shown earlier, has expired, and to then go on immediately to the other questions. It is so easy, especially in a taxation examination, to find that one has exceeded the time allowed for a question by a considerable margin.

Computations

When you sit an examination, you should be attempting to demonstrate how well you know the topics being examined. In taxation examinations, there are two things in particular to remember. If you fail to do so, you will probably earn fewer marks than your knowledge deserves: be neat and tidy and show all your workings.

Workings

The golden rule which I always 'preach' to students is to **show all your workings.** What other students don't know is that workings are marked and they are part and parcel of the computations. Furthermore, remember to refer to your workings on your computations. Your workings should appear underneath of your computation, not in front of your computation.

It is also important to note that, you need to show your formulae in full, as part of your workings i.e. if you have used one to calculate certain figures as required by the question asked. Let's take for instance, what students usually do:

Calculation of rollover relief

$$\frac{A \times CG}{GCA}$$

$$\frac{5\,000 \times 12\,000}{20\,000}$$

3 000

There is no key to indicate what the above letters stand for. Most students assume that the examiner knows what the letters mean. Of course, he/she knows, but you as a student must show the meaning because you are the one being examined. So you must label all your formulae fully.

Need for headings

The next thing is that work should not only be neat and well laid out. Headings should always be given, and any dates needed should be inserted. Suppose you are the finance general manager in your company. Your accountants have completed all sorts of work including reports, VAT returns, QPDs and various forms of other computations. All of this is deposited on your desk while you are away. Let's us say the first item looks like an income tax return for the year ended 31 December. When you look at it you can see that it is a

corporate tax return, but you don't know whether it is for your company or its subsidiary, neither do you know which year it is for. Would you be annoyed by your staff? Of course you would. So, in an examination, why should the examiner accept as a piece of your work a tax computation without the date or the name of the business or the fact that it is a corporate tax return written clearly across the top? If proper headings are not given you will lose a lot of marks.

Similar attention should also be paid to indicating the question numbers as they appear on the examination paper. If the question answered is number 5 indicate that. All the questions answered should indicate question numbers as they are.

Theory questions

The approach of most examiners is that they balance theory questions with computations. Taxation, being an open book examination in most cases, it is tempting to think that, answering theory questions is much easier than computations. Unfortunately, it is not the case.

Before discussing further let us look at a typical examination question:

1a) Explain the tax implications of disposing a principal private residence.

A lot of students would have written down what a principal private residence is. Marks gained by you for an answer like that would be virtually nil. Most students have a tendency of writing down everything they know about a topic, rather than what the examiner has asked for. First of all, before you attempt any question, make sure you understand its requirements. You should therefore ensure that you are going to give the examiner what he is looking for and in the way he wants it.

Never write out the question

In most cases students spend precious time writing out the text of theory questions before they set about answering them. This is a complete waste of time. It will not gain you marks and should never be done. Simply write down the question number and go straight to answering the question.

Refer to the Acts

Taxation, being a subject based on statutory Acts and case law, you should therefore refer to such where relevant. Marks are awarded for correctly quoting relevant sections of the Acts and celebrated cases when answering theory questions. In some cases, the examiner specifies that you should quote from such Acts or cases.

I wish you the best in your studies and examinations, and I hope that you are surely going to reap what you sow!

INTRODUCTION

Taxation can be defined as a system of administration and collection of government revenue in the form of taxes, fees, duties, levies, tariffs, and tolls in accordance to statutory acts, instruments, relevant government regulations and policies.

The subject of taxation has been part of mankind since time immemorial. It has been part of society since man became organized in terms of economic, political and social order. Its contribution to society cannot be overemphasized. Jesus Christ himself realized the need to pay taxes. He was asked by scribes and chief priests about the legality of paying taxes to Caesar. In response, he said to them, "Render therefore to Caesar the things that are Caesar's…." (Bible: Luke 20:25)

From the beginning of times taxation was very much hated and was viewed as a way of punishment and a social evil. People always prefer to pay bribes rather than taxes. Perhaps the way taxes were collected made the system seem bad, but actually it is not. The best way to contribute to the building of your nation is through paying all your dues to the state. In the course of time the system of taxation have become more organised as compared to the ancient, savagery and ruthless means of collecting tax. In today's world the taxman is accountable to the taxpayer. Taxpayers can demand an account of their monies and put those who are in charge to task. If taxation is well managed, it can be a powerful vehicle for development in a country.

IMPORTANCE OF TAXATION

- It is a major source of government revenue.
- It controls the importation of cheap products into the country.
- Can be used as a means to lure investment.
- It is also used to fund government subsidies on political sensitive goods.
- Can be used as a tool to promote the infant industry in the country.
- Can be used to redistribute the country's wealth.

SOURCES OF TAX LAW

I Statutory Acts (Legislative Law)

This is the law which is passed by Parliament and approved by the Senate. In our studies we are going to deal with Statutory Acts as follows:

- Income Tax Act 23:06
- Capital Gains Tax Act 23:01
- Finance Act 23:04
- Value Added Tax Act 23:12
- Estate Duty Act 23:03

As amended 31 December 2011/12

NB The first nine sections of this module refer to the Income Tax Act 23:06 unless otherwise stated.

II Case Law (Legal Precedence)

This is a very important source which in most cases tends to explain certain words and phrases not given enough or clear meaning in the Acts. This usually emanates from celebrated cases tried at the law courts in regard to disputes on taxation. The resultant judgment by the judicial officer becomes law, which can be authoritative. It should be noted that case law may cover legal cases from other countries. In such cases cited we use them in a persuasive manner rather than authoritative.

III Commissioner's Practices

These are practices or instructions given by the Commissioner General of the Zimbabwe Revenue Authority (ZIMRA) to his subordinates to explain certain legislation. These practices are not published as law, rather are cascaded to persons, bodies or organizations with something to do with the Authority. As a result they have no legal force, they are just practices that have been in use for a long time and have generally been accepted as a normal way of conducting business.

Direct and Indirect Taxation

Direct tax is a tax levied on persons based on their income, for example corporate tax and Pay as You Earn (PAYE).

Indirect tax is levied on transactions rather than persons.

Value Added Tax (VAT) is an example. This tax is recovered when transactions relating to goods and services are entered into.

Definition of Terms:

a) Assessment

This is way of determining income which is supposed to be taxed and to ascertain the credits to which a person is entitled to in terms of the tax law.

b) Commissioner -General

This is the person who heads ZIMRA. ZIMRA has the mandate to collect taxes, levies, duties and tolls that are due to the Government.

c) Election

This is a tax concept which is used to determine whether a certain tax payer is aware of advantages or benefits provided in the Acts, arising from a specific business transaction. In such a case the Commissioner has to be notified if the tax payer wishes to utilize the election.

d) Minor child

It refers to a child who is under the age of eighteen years and is unmarried.

e) Person

Besides the ordinary meaning of individuals, it also includes a company, body of persons corporate or unincorporated (not being a partnership), local authority, deceased or insolvent estate and the trust.

f) Tax payer

This is any person (i.e. company, individual or trusts) who has earned income or profit that is liable to tax.

g) Taxable income

This is income which is subject to tax.

h) Tax year / Year of assessment

This is a period which runs from 1 January to 31 December every year. Previously it used to run from 1 April to 31 March of the following calendar year until 1997.

CHAPTER 1

INCOME

1.1. O Gross Income (Section 8)

This means total amounts received /accrued or deemed to have been received/ accrued to a person from a source within or deemed to be within Zimbabwe over a specific period, excluding amounts of a capital nature.

Gross income is the basis of our tax system. In other words, this definition tries to include all income which is subject to tax.

The components of the definition are as follows:

- Total amounts
- Received / accrued or deemed
- To a person
- Source within or deemed
- Over a specific period/ year of assessment
- Excluding amounts of a capital nature

Amount

It is defined in Section 2 of the Act as money; or any other property, corporeal or incorporeal, having an ascertainable money value. Therefore any cash received or otherwise, is part of gross income i.e. it is subject to tax.

Received

This means that a person is in possession of income or it has been received on his behalf and for his own benefit. The person must also have a legal claim to the amount received, meaning that we are not talking about stolen amounts or those ones which are left in your custody for the benefit of someone. However, there are some instances where income realised from illegal operations would form part of gross income.

Case in point: Geldenhuys vs CIR 14 SATC 419

Accrued

This means that an amount is due and payable but not yet received. This was illustrated in the case Delfos vs CIR in which the learned judge asserted that income accrues when it becomes 'due and payable'.

In Lategan vs CIR the judge concluded that income accrues to a person when one becomes 'entitled to' the income. Section 10(7) of the Act affirms the decision in the Lategan case.

Deemed to have been received/ accrued

To deem is 'to take as if'. This means that there are some instances which it is taken as if income has been received or has accrued to a person, implying that income has been received/accrued to the benefit of a person indirectly. In such instances it should be included in his gross income.

Person

As I have already mentioned in the introduction, the term 'person' goes beyond the ordinary meaning of an individual. It also includes artificial persons or any entity which has a separate legal identity.

Source

It refers to the originating cause of income; where it emanated from. Only income with its source in Zimbabwe is taxable in Zimbabwe, unless if its source is deemed to be Zimbabwe according to provisions of Section 12 of the Act. We are going to deal with this later on.

Case in point: Lever Brothers vs CIR or M Ltd vs COT

Amounts of a capital nature

Generally, we are looking at income from disposal of a non-current asset by the taxpayer tangible or intangible. Such income is not part of gross income i.e. it is not taxed.

The following incomes are part of gross income:

1.1.1 Annuities (Section 8(1) a)

The attitude of the section is to bring the whole annuity into tax. In fact annuities originating from way of gift or legacy and through the sale of an asset are taxable in full. Any other annuity is taxable to the extent of the amount received.

In such a case the following formulae is used to determine the amount taxable:

$I = \frac{(P \times N) - A}{N}$ where I=interest

P=annual payment

N=number of payments to be received

A=purchase consideration

Example

Gondo purchased a retirement annuity from Old Mutual for US$500. His due on annuity is US&120/month. His insurers estimate his life expectancy to be 15 years. Calculate the taxable portion of this annuity.

Solution

$I = \frac{((120 \times 12) \times 15) - 500}{15}$

$I = 1\ 407$

1.1.2 Income for Services Rendered or to be Rendered (Section 8(1)b)

Amounts taxed under this section are:

- Services rendered or to be rendered e.g. salaries, cash in lieu of leave.
- Cessation of employment
- Gifts to employees from the employer

NB: Where the employer does not claim a deduction in respect of the gift, the amount is not taxed in the hands of the employee.

- Value of assets provided instead of salary.

***NB**: According to this section, where an employee makes an election to spread tax, such an amount would be taxable over a period of 3 years.*

Income under this section is income from employment and it is taxed using normal rates of tax.

1.1.3 Lump Sum Payments from Pension and Benefit Funds (Section 8(1) c)

A ***Lumpsum payment*** is an amount received by a person on withdrawal or winding up of a pension, retirement annuity or benefit fund.

A ***Pension fund*** is one fund established by an employer to benefit his employees at the time of retirement.

A ***Benefit fund*** is defined in the 1st Schedule as the fund established by an employer to cater for his employees in times of ill-health, loss of employment and etc.

A **R*etirement annuity fund*** is a contract between an insurance company and an individual, whether or not an employee, whereby the latter contributes in order in due course to draw an annuity to supplement, or in lieu of, any pension from his employer's pension fund.

Before a lump sum payment can be taxed the following amounts are deducted:

- The first US$1800-00 of the lump sum payment.(This means this amount is exempt from tax)
- Purchase price of a retirement annuity policy.
- Transfers-i) from a pension fund to another pension fund or benefit fund to another.
- ii) from benefit fund to pension fund

***NB:** After deducting the above amounts the resultant taxable income is taxed at the top rate of tax for the particular tax payer*.

1.1.4 Lease Premiums (Section 8(1) d)

A lease is an agreement in which the lessor (landlord) conveys to the lessee (tenant), in return for payment, the right to use an asset for an agreed period of time.

To secure the asset for the tenure of lease, the lessee is required to pay a lease premium. It is an addition to rents or a security deposit paid by the tenant.

It is not refundable to the tenant, therefore constitutes income to the landlord. The landlord declares the full amount in the year of receipt.

1.1.5 Lease Improvements (Section 8 (1) e)

When a tenant effects agreed lease improvements on rented business premises and does not get a refund from the landlord, then the value of such improvements is income to the land lord.

The two parties should agree on:

- The value of such improvements
- The improvements to be effected
- The duration of construction

NB: ***The income of the landlord starts accruing from the date construction begins and is calculated as follows***:

Value of Lease Improvements

Unexpired Period of lease (subject to a maximum of 10 years)

Unexpired period of lease is lease period less time to construct, i.e. the remaining period after the improvements are completed.

In the event that the agreement is cancelled before it expires, then all outstanding amounts become due in the year of cancellation.

1.1.6 Advantages and Benefits (Section 8(1) f)

These are fringe benefits which accrue to an employee as a result of regular employment. For this section refer to Individual Taxation Chapter 7.1

1.1.7 Closing Stock (Section 8(1) h)

This is income in the trading account and it is valued at the lower of cost and net realizable value. The stock valuation methods of FIFO and AVCO are acceptable but not LIFO.

1.1.8 Recoupment from Capital Expenditure (Section 8(1)i)

It refers to disposal of mining assets.

In mining recoupment is equivalent to disposal price.

1.1.9 Damage or Destruction of a Business Asset (Section 8(1) j)

When a business asset is damaged or destroyed and compensation is received, then such a transaction is deemed to be a sale, therefore calculations have to be done resulting in a scrapping allowance or ordinary recoupment. However, if such compensation is used within 18 months to purchase or construct an asset of a similar nature, then such an amount so spent is subtracted from the compensation before calculations are done.

1.1.10 Discounts Received (Section 8(1) k)

They appear as income in the income statement if they are received in the normal course of business i.e. it is not a discount on the acquisition of non-current assets.

1.1.11 Recoupment from Rent, Lease Premium or Lease Improvements (Sec 8(1) l)

When a tenant acquires leased business premises and in the process the purchase price is reduced by:

- Lease improvements previously effected
- Lease premiums previously paid
- Rentals previously paid.

Then such amounts so deducted are income to the tenant.
NB: On election such income is spread over 6 years.

1.1.12 Grants and Subsidies (Section 8(1)m)

This is income when received in the normal course of business i.e. it is not for acquiring assets of a capital nature.

1.1.13 Commutation of Pension (Section 8(1)n)

A pension on retirement is taxable in full, but after deducting a pension commutation. A pension commutation arises when a taxpayer sacrifices his future pension entitlement by receiving a lump sum payment in the year of retirement followed by a reduced monthly pension over his life expectancy.

A pension commutation is 1/3 of a taxpayer's pension entitlement.

1.2.0 Deemed Receipts and Accruals (Section 10)

1.2.1 It is taken as if you have received an amount that has been reinvested, capitalized, dealt with or accumulated by one's self or on his behalf by others.

1.2.2 Partnership Income

Partnership income is deemed to be income of individual partners shared among them using their profit sharing ratios.

1.2.3 Donations

When a parent donates to his minor child, such income which accrues to the minor child is taxable in the hands of the parent.

1.2.4 Cross Donations

When one parent donates to another's minor child who in turn reciprocates to another kind of donation, both parents shall be taxable on income accruing to their minor children.

1.2.5 Suspensive Conditional Donations

Where a donor donates under a suspensive condition, the donor shall be taxed on the income accruing before a suspensive condition materializes.

1.2.6 Donation where the donor retains the power to change the persona of the beneficiary

In such a case any income accruing to a person on whom the right is conferred, it shall be deemed to be income of the person conferred, as long as he retains those powers.

1.3.0 Source

It is not defined in the Act despite its extensive use in law relating to taxation. The meaning of the word is given by case law. In the case Rhodesia Metals (in liquidation) Vs COT (1940)11 SATC 244 'source' was said to mean, "not a legal concept but something an ordinary man would regard as the real originating cause of income."

The taxing authority employs 2 questions in order to identify the source, these are:

- What is the originating cause of income?
- Where is that originating cause?

If the answer to question (2) is Zimbabwe, then such income is taxable from a true Zimbabwean source, however if the answer lies elsewhere the income can only be taxable in Zimbabwe through the deeming section (12).

Rhodesia Metals vs. Commissioner of Taxes

Concerned the source of the profit made on the sale by the company of its principal asset which consisted of mining claims in Zimbabwe. The company was registered and resident in England where it had its board of directors, organisation, connections and equipment. The court held that the source of the profit was Zimbabwe. Regard was made to the fact that the sole business operation of the company had been the purchase of the immovable property and that the company had never ventured any part of its capital except on such property. The claims had been acquired and developed in Zimbabwe for the very purpose of obtaining the particular receipt.

Sources of Selected Incomes:

1.3.1 Annuities

An annuity is a payment chargeable against someone; it is repetitive and provides for an annual payment. Annuities are formed out of:

- Trust
- Legacy or gift
- Purchased annuities.

The originating cause of an annuity emanating from a will is the document or testamentary giving rise to that will.

If the annuity is from a purchase, the originating cause becomes the contract.

The place of source in both situations is either where the will was executed or where the contract was signed.

Case in point: ITC 826 (1956) 21 SATC 189 or COT vs. R (1966)

1.3.2 Income from Rendering of Services

The originating cause is the rendering of services and the source lies where these services were rendered. Case in point: I.T.C 77 and C.O.T Vs Shein.

1.3.3 Dividends

Shares are the originating cause of dividends and these are located at the place where the principle register of shares is located. Case in point: Boyd Vs C.I.R

1.3.4 Interest

Work done by the money lender in the giving of credit is the originating cause. Therefore the source lies where the credit was offered. Case in point: Lever Bros & Unilever Ltd (1948) vs. CIR.

1.3.5 Rent

The originating cause of rent income (In the case of immovable property) is the property itself. However, when it relates to rents from movable assets, attention should be paid to the length of the lease period.

- **Short term leases** -the originating cause of the income is the business income of the lessor, therefore the source lies where that business is being carried out.
- **Long term leases**- the asset is the originating cause and therefore the source lies where that asset is being productively employed. Case in point: C.O.T Vs United British Machinery Company.

1.3.6 Royalties

The originating cause is wits, labour and intellect, where these were productively employed becomes the place of source.

Case in point: Millin Vs Commissioner of Inland Revenue (1928) 3 SATC 170

Mrs. Millin wrote books in South Africa which were published in England under contracts negotiated there. The court held that, since the exercise of her wits and labour had produced the royalties, and since these had been exercised in South Africa the source of the royalties was South Africa. The contention that the source was London, where her copyright had been employed, was rejected. It is submitted that the same principle will apply to income from patent rights etc.

1.3.7 Directors' fees

The originating cause is the directorship exhibited at the company's general meeting and the place of source is located at the head office of the company which is where the meetings are held.

Case in point: ITC 106 (1927) 3 SATC 336 and ITC 250 (1932) 7 SATC 46

1.4.0 Deemed Source (Section 12)

Income not from a true Zimbabwean source will only be subject to Zimbabwean tax if brought to tax by this section. In the following circumstances the income is deemed to have accrued from sources within Zimbabwe (Section 12(1)):

- Contract of sale of goods which was signed in Zimbabwe
- Services rendered in Zimbabwe in the carrying out of a trade
- Temporary absence – the section brings into gross income, income accruing to Zimbabwean nationals absent from Zimbabwe for up to 183 days (6 months).

The taxpayer should have earned the income while working outside Zimbabwe as an employee.

NB: For the purposes of this section as employee includes a director of a company.

- Services to the Zimbabwean Government in foreign lands e.g. ambassadors and members of the uniformed forces.
- Pension and annuities – emanating from services rendered in Zimbabwe, no matter where the pensioner is now resident.

1.4.1 Foreign Dividends and Interest (Section 12(2))

This section brings into gross income, income by way of foreign dividends or interest received by a tax payer while ordinary resident in Zimbabwe. Foreign interest is taxable @ 25%+3% AIDS Levy.Expenses incurred on foreign interest are an allowable deduction.

Foreign dividends are taxed @ 20%. Any expenses incurred on this income are not allowable as a deduction i.e. Foreign dividends are taxed gross. These are also not subject to 3% AIDS Levy.

To avoid double taxation on such income, a foreign tax relief is granted on income which was subject to foreign tax. The effect of the relief is that the lesser between foreign and Zimbabwean tax is deducted from the amount of tax which is payable in Zimbabwe.

Example

Mr. Chimukoko is ordinarily resident in Zimbabwe. During the current year of assessment he earned the following income from foreign sources:

- Dividends from Global International, a company listed on the New York Stock Exchange valued at $25 000 net of Non-residents tax (N.R.T) of $5 000.
- Bank interest from Young & Poor Banking Corporation, a British bank located in London. The amount was $10 000 gross of 10% of Non-residents tax on Interest.
- Rental income of $40 000 from a commercial property in Dubai, United Arab Emirates. No tax was charged on this income.

Required

Compute Mr. Chimukoko's tax payable after granting any relief available to him.

Solution

Foreign tax relief calculations

Income	Zimbabwean Tax	Foreign Tax	Relief
Dividends (25 000+5 000)X 20%	6 000	5 000	5 000
Bank interest (10 000X 25.75%)	2 575	1 000	1 000
Rental income (source outside Zim)	-------	------	------
			6 000

Tax Thereon

Tax payable @ 20%	6 000
Tax payable @ 25.75%	2 575
Less foreign tax relief	(6 000)
Total Tax Payable	2 575

1.4.2 Foreign Royalties (Section 12(4))

Income by way of royalties resulting from the use in Zimbabwe of a design, trade mark, patent, secret formula or film is taxable in Zimbabwe.

1.4.3 Recoupment/Recoveries (Section 12 (5))

Any recoveries made outside Zimbabwe shall be taxable in this country if the taxpayer once enjoyed such a deduction in Zimbabwe.

CHAPTER 2

ALLOWABLE DEDUCTIONS (Section 15)

These are expenses permitted by the Commissioner to be charged in the statement of comprehensive income/income statement of a taxpayer for the purposes of tax.

These deductions should be normal business expenses and necessary for the business to generate more revenue, but not expenses of a capital nature.

2.1 Normal Business Expenses (15(2) a)

Day to day business running expenses are an allowable deduction e.g. rents, rates and salaries.

2.2 Repairs to Business Assets (15(2) b)

Repairs are normal business expenses and they are different from improvements. A repair is the restoration of part of a whole, whilst an improvement is of an enduring nature. An improvement seeks to increase the capacity of an asset or of the income earning structure. Therefore improvements are granted capital allowances. The section (15(2) b (ii)) also allows repairs effected on properties which are let.

Case in Point: Raltio and Varriale Vs C.O.T (Commissioner of Taxes)

The two tax payers were in the letting business. The property subject to letting developed cracks on the walls and were in a condition crying out for a repair. The following expenses were incurred for which the tax payer claimed:

- *Architectural fees*
- *Foundation underpinning*
- *Cutting down of a tree which proved a lightning threat to the property.*
- *Cutting down of tree roots which threatened the foundation*
- *Crack filling*

It was held that expenses 1-4 were of a capital nature hence were disallowed, being a form of improvements.

2.3 Lease Premiums Paid by the Tenant (15(2)d)

If a tenant pays a lease premium on rented business premises, then such a tenant is entitled to an allowable deduction in the income statement.

A lease premium is an additional payment made to the landlord by the tenant and is not refundable. This is an amount usually paid for the right of use or occupation of land or buildings; plant, machinery; patent, design, trade mark, copyright, model, plan, secret process or formula; or any similar property, films, sound recording or advertising matter, imparting of any knowledge-----used/occupied for the purposes of trade or in the production of income.

The formula for finding an allowable deduction for the year is as follows:

Value of premium

Lease period (Subject to a maximum of 10 years)

The characteristics of a premium were clarified in the case CIR vs. Butcher Bros (Pty) (1945) as follows:

- ✓ *Consideration must have an ascertainable money value*
- ✓ *Must pass from lessee to lessor*
- ✓ *Whether in cash or otherwise*
- ✓ *Distinct from and in addition to, or in lieu of rent*

2.4 Lease Improvements (15(2) e)

A tenant who effects agreed lease improvements on rented business premises and does not get a refund from the landlord is entitled to an allowable deduction in the income statement as follows:

Value of Lease Improvements

Unexpired period of lease (Subject to a maximum of 10 years)

Unexpired period=lease period less time to construct or remaining period after completion of the improvements.

2.5 Mining Expenditure (15(2) f)

This section is specifically concerned with mining business operations. If a miner incurs during the year of assessment expenditure on surveys, boreholes, trenches, pits, prospecting and exploration works, such expenditure is an allowable deduction.

2.6 Bad Debts (15(2) g

This is an allowable deduction provided the taxpayer is the one who lent the defaulting debtor. The taxpayer has also to prove that efforts were made in recovering the debt and that it was included in the previous or current year as income.

The debt must also be specific i.e. not generalised as a percentage.

NB: Provision for doubtful debts is not allowed as a deduction.

2.7 Pension Contributions (15(2) h as read with 6th Schedule)

Employers are allowed a deduction on contributions made to registered pension funds, benefit funds and to NSSA for their employees.

The maximum deduction to be charged to the income statement for each employee is:

- Pension fund US$5 400/annum
- Benefit fund US$5 400/annum
- Pension and benefit fund US$2 700/fund
- Contributions to NSSA 3% of gross salary

2.8 Arrear Pension Contributions (15(2) i)

Current and arrear contributions are allowed to a maximum deduction of US$5 400.

2.9 Contributions to Medical Aid Societies for Employees (15(2)j)

This is an allowable deduction to the employer and it extends to medical expenses paid by the employer for the employee and his dependents.

2.10 Expenditure on Experiments and Research (15 (2)m)

Expenditure to be allowed need to be related to the taxpayer's trade , provided such expenditure was not used to buy assets (capital expenditure) and please note that no acquisition of rights is acceptable e.g. trademarks.

2.11 Joint Financed Research/ Experiment (15(2)n)

If 2 or more taxpayers combine to finance a research or experiment, then each shall be allowed a deduction in the income statement provided:

- The research/experiment is related to the taxpayer's trade.
- The expenditure is not of a capital nature.
- The respective deductions are calculated as follows:

$\frac{A \times B}{C}$ where A= contribution by the first taxpayer

B= the other tax payer's contribution

C=the total expenditure on the research experiment

2.12 Donations to Educational/Scientific Institutions (15(2)0)

A deduction is granted in the income statement on donations made to educational/scientific institutions provided:

- The Commissioner has approved the recipient as a public institution.
- The donor stipulates that the donation be utilized solely for the purposes of research/experiment related to the donor taxpayer's trade.

2.13 Grants, Bursaries/Scholarships (15(2) p)

A deduction is granted to the taxpayer on grants and bursaries/scholarships awarded to any student, studying at any educational institution provided:

- The student is to take a course of technical education related to the tax payer's trade.
- The student is not a near relative of the company directors or shareholders.

NB: A cousin is not a near relative.

2.14 Pensions, Allowances or Annuities Paid by Company (Ex-gratia) (15(2)q)

Any payments made by the company to its former employees, ex-partners or dependents of such who would have left employment due to:

- Old age
- Injury (infirmity) or disability
- Death, are allowed as a deduction

The maximum deductions are:

- Ex-employee US$500-00/annum
- Ex-partner US$200-00/annum
- Dependents of former employee or partner US$200-00/annum

2.15 Donations (15(2) r)

A deduction is granted on donations made to:

- National Scholarship Fund
- National Bursary Fund
- Trust Funds administered by Ministries of Health and Child Welfare, Public Service, Labour and Social Services.
- Schools approved by the minister responsible, to a maximum of US$100 000-00/annum.
- Hospitals and clinics run by the Government, local authorities and church organizations, to a maximum of US$100 000-00/annum.
- Research Institutions, up to a maximum of US$100 000-00/annum.
- Anti-retroviral drugs to institutions approved by the minister up to a maximum of US$100 000-00/annum.
- An amount paid by the taxpayer to the Public Private Partnership Fund up to US$50 000/annum.
- An amount paid to a local authority with the approval of the minister responsible for local government, for the purposes of the maintenance of infrastructure up to US$100 0000/annum.
- The Destitute, Homeless Persons Rehabilitation Fund up to maximum of US$50 000/annum.

2.16 Subscriptions (15(2) s)

Subscriptions to business, trade, technical or professional association are allowable as a deduction. The subscriptions should be for the continued membership with such bodies e.g. ACCA, ZNCC, ZCTU, NEC etc.

NB: Entrance or joining fees are not allowed as a deduction.

Subscriptions to sporting, social or recreational clubs are not allowable as a deduction.

2.17 Preproduction Expenditure (15(2)t)

A deduction is granted to a business on expenses incurred before trading commenced provided:

- The expenses were incurred not more than 18 months before business operations commenced.
- The expenses are normal business expenses i.e. excluding purchase of capital assets.
- Such expenses are claimed in the year of assessment in which the business is commenced.

2.18 Opening Stock (15(2) u)

This is an allowable deduction. It is valued the same way as closing stock (refer Section 8(1)h).

2.19 Purchase of Trading Stock (15(2) v)

Taxpayers with closing stock as at 31 December 2008 acquired and recorded in Zimbabwean dollars are required to submit stock signed sheets which may be supported by actual invoices.

Taxpayers are required to indicate the rate of exchange used to convert the Zimbabwe dollar cost to foreign currency value, justify the use of such an exchange rate and indicate the alternative exchange rates which have been considered on a separate sheet.

NB: The Commissioner may approve valuation of trading stock on the basis of replacement cost where the conversion of the Zimbabwean dollar cost results in an unrealistic value.

Trading stock received for no consideration, such as donation or inheritance is also treated as part of purchases. Its value is the fair and reasonable value of such of the trading stock of the taxpayer as was acquired by the taxpayer in the ordinary course of trade.

2.20 Trade Missions or Conventions (15(2) w)

A taxpayer who sends delegates to a trade mission or convention approved by the Commissioner and also in connection with the taxpayer's trade gets a deduction on expenditure incurred. The maximum deduction is limited to a maximum of US$2 500-00/annum.

NB: If such a convention/ mission commences in one year of assessment and ends in another, then such amounts shall be allowable only in the year in which it ends.

2.21 Costs of Suing the Commissioner (15(2) (aa) and (bb))

A taxpayer who successfully sues Commissioner is entitled to an allowable deduction on the legal costs incurred if the court so directs.

2.22 Export Market Development Expenditure (15(2)(gg))

A taxpayer who incurs expenditure on developing export markets is granted a <u>double deduction</u> on such expenditure i.e. a deduction equivalent to twice the value of expenditure wholly or exclusively for the purpose of seeking opportunities for the export of goods or for creating or increasing the demand for such exports.

The expenditure may include:

- Research into foreign markets
- Research into the packaging or presentation of goods outside Zimbabwe.
- Advertising in foreign lands
- Participation in trade fairs
- Bringing prospective buyers to Zimbabwe
- Providing samples of goods to persons outside Zimbabwe.
- Investigating or preparing information, designs or estimates for the purpose of submitting tenders for the sale of goods outside Zimbabwe.

2.23 Business Losses (15(3))

Business losses are carried forward and are claimed in future as an expense when the business makes a profit. They are carried forward up to a maximum of 6 years and any unclaimed losses are then forfeited. Please note that losses emanating from mining operations are carried forward indefinitely, i.e. until that particular mine makes a profit in future.

There are certain circumstances where assessed losses are not allowed as a deduction, namely:

- A taxpayer who has been declared to be insolvent.
- A taxpayer who has assigned his property or estate to the benefit of his creditors.
- Change in shareholding which is viewed by the Commissioner to have occurred in order to take advantage of the assessed losses.
- When a company is converted into a private business corporation or vice versa and the Commissioner is satisfied that the conversion was meant to take advantage of the losses.

NB: The assessed losses in Zimbabwe dollars as at 31 December 2008 shall be brought forward and expressed in US dollars at a conversion rate which is subject to the Commissioner's approval.

2.24.0 Capital Allowances (15(2)) c as read with 4th Schedule)

In taxation there is no depreciation, instead capital allowances are granted on business assets used for the purposes of trade. There are two forms of capital allowances i.e. Special Initial Allowance (S.I.A) and Wear and Tear (W & T)

2.24.1 Special Initial Allowance (4th Schedule Paragraph 2)

This is only granted on election. The rates are as follows:

1st year	25% on cost
2nd year	25% on cost (Accelerated wear & tear)
3rd year	25% on cost (Accelerated wear & tear)
4th year	25% on cost (Accelerated wear & tear)

NB S.I.A is only calculated on cost of the asset and is never time apportioned.

If the asset is used by the owner of the business for less than 90% for business purposes, then such an asset is disqualified from S.I.A. Such an asset is then granted Wear and Tear

with only the business element of the wear and tear being charged to the income statement.

NB: ***Please note that prior to 1 January 2010 S.I.A was 50% in the first year and then 25% in the second and third year.***

2.24.2 Wear and Tear (4th Schedule Paragraph 3)

This is granted automatically where S.I.A is not claimed. The rates differ from asset to asset.

Immovables

2.24.3 Commercial Buildings (4th Schedule Paragraph 1)

It means a building where commerce takes place e.g. offices, retail shops, banking halls, hotels without a liquor or casino licence and showrooms.

According to the Act, this is any building which is being used to the extent of at least 90% of its floor area to generate revenue. The building should have been erected on or after 01 April 1975.

S.I.A on commercial buildings is only granted on:

- Election
- Construction
- At a growth point

Wear and tear is granted at 2, 5% on cost per annum if S.I.A is not claimed.

2.24.4 Industrial Buildings (4th Schedule Paragraph 1)

It is a building which contains and is used mainly for the purposes of operating machinery worked by steam, electricity, water or other mechanical power and it also includes any building in use mainly for the storage of raw materials, inputs, work-in-progress and finished goods.

These include factory buildings, warehouses, staff canteens, computer rooms, store rooms, permanent roads, railway lines and hotels with a liquor or casino licence.

S.I.A is granted on election and construction.

Wear and Tear is granted at 5% on cost per annum if S.I.A is not granted.

2.24.5 Staff Houses (4th Schedule Paragraph 1)

This is any permanent building used to accommodate employees of the taxpayer.

S.I.A is granted on election and construction.

Wear and Tear is granted at 5% on cost per annum.

NB ***The maximum cost of each unit of staff housing, excluding the value of land, is restricted to US$25 000-00***.

If the cost of each unit of staff housing exceeds the restriction, it is disqualified from capital allowances i.e. both SIA & Wear & Tear.

2.24.6 Tobacco Barns

This is any building used for the curing of tobacco.

S.I.A is granted on election and construction.

Wear and Tear is granted at 5% on cost per annum.

2.24.7 Farm Improvements

This is any permanent structure used to carry out any farming activities of the taxpayer. This includes dip tanks, water furrows, farm sheds, schools, hospitals or clinics. S.I.A. is on election and construction.

Wear and tear is granted at 5% on cost per annum.

2.24.8 Farm Schools, Hospitals and Clinics

For capital allowances purposes, in the case of a school, more than 50% of the pupils should be children of persons employed by the taxpayer in carrying out farming operations. In the case of a hospital, nursing home or clinic, more than 50% of the persons receiving treatment there at should be employed by the taxpayer or members of the families of the employees.

The cost of each unit is restricted to a maximum of $50 000.

2.24.9 Movables

These include furniture, fixtures and fittings, plant and machinery, tools and equipment.

S.I.A is granted on election.

NB: This means that for a movable asset to be granted S.I.A it does not have to be new i.e. even second-hand assets can be granted S.I.A as long as they are company assets used for business.

Wear and Tear is granted at 10% reducing balance method i.e. On Income Tax Value (I.T.V)

2.24.10 Passenger Motor Vehicle

This is any vehicle with a seating capacity of 15 or less passengers and it is not for generating revenue e.g. Mercedes Benz S Class, Double cabs, Prado and Land Cruiser.

The maximum cost of each unit is limited to US$10 000-00.

If this cost is exceeded the motor vehicle is not disqualified from S.I.A, instead it is deemed to have cost $10 000.

However, if a passenger motor vehicle is used wholly for generating revenue, e.g. Mercedes Benz S320 being used by a hotelier as a hotel courtesy car, then its cost is not deemed.

S.I.A is granted on election.

Wear and Tear is granted at 20% using the reducing balance method.

2.24.11 Farm Tractors

S.I.A is granted on election.

Wear and tear is granted at 20% using the reducing balance method.

NB: Rates of Wear and Tear on all movables are not included in the Act, instead they are gazetted by the Commissioner as he thinks fit.

***Please note also, for S.I.A to be granted on movable assets they do not necessarily have to be new, an election* is enough.**

2.24.12 Recoupment

It refers to capital allowances previously granted. It is usually calculated when an asset which was granted either S.I.A or Wear and Tear is disposed of. In such a case the capital allowances previously granted have to be recouped i.e. brought back into tax as income. The formula for calculating recoupment is as follows:

Cost price – I.T.V = Ordinary Recoupment

Selling price – I.T.V = Potential recoupment

In terms of section 8(1) j (i) the lesser of the two is added back to the income statement as income.

2.24.13 Scrapping Allowance

This is the opposite of recoupment in that the asset is sold at less than its I.T.V. This means that it is an expense in the income statement, therefore subtracted.

Example

Year 1

Net Profit	2 000
Less Wear and Tear	(100)
Taxable Income	1 900

The asset granted wear and tear is disposed of in the second year.

Cost	1 000
I.T.V	900
Selling Price	1 500

Ordinary recoupment: 1000 – 900= 100

Potential recoupment: 1500 – 900= 600

Therefore recoupment is 100 (i.e. the lesser of the two)

Year 2

Net Profit	3 000
Add recoupment	100
Taxable income	3 100

In the case of a loss on disposal;

Cost	1 000
I.T.V	900
Selling Price	600

Ordinary equipment: 1000 – 900=100

Scrapping allowance: 600 – 900= (300)

The lesser is (300)

Net profit	3 000
Scrapping allowance	(300)
Taxable Income	2 700

CHAPTER 3

DISALLOWABLE DEDUCTIONS (Section 16)

These are expenses which are prohibited to be subtracted from the income statement of a taxpayer for tax purposes:

- Private costs of the tax payer and his family.
- Travelling expenses of the taxpayer from home to work.
- Insurance covered losses and expenses.
- Foreign and local taxes on the taxpayer's income.
- Capital Expenditure e.g. construction of buildings.
- Expenditure or loss incurred in the production of exempt income.
- Interest from capital expenditure.
- Tenant's cost of drawing up a lease agreement.
- Any contract in restraint of trade.
- Any entertainment expenses, this means all expenses of hospitality in any form.
  NB: Christmas party for employees is allowable.
- Illegal payments, bribes and fines of any nature.
- Cost of shares awarded to an employee.
- Non-productive expenses i.e. expenses that do not generate revenue to the business.
- Bad debts on lending where one is not a registered money lender.
- Any expenditure incurred in the production of income consisting of interest payable by any financial institution.
- Any expenses incurred from dividends received.
- Dividends paid (the costs of distributing the dividends is a normal business expense)
- Depreciation of assets.

Other specific prohibited deductions include:

- Interest on loan used to pay dividends or taxes.
- Any expenditure incurred in seeking professional tax advice.
- New business licence.
- Company formation expenses written off.
- Acquisition of water rights in perpetuity.
- Pilferage of cash by a director of a company.
- Unrealized exchange losses.
- Entrance fees paid in joining bodies or entities in trade, business or profession.
- Initial painting of a building.
- Payment of goodwill and acquisition of patents, trademarks or secret formulae.
- General provision for doubtful debts.
- Purchase of computer software.

CHAPTER 4

EXEMPTIONS (Section 14 as read with 3rd Schedule)

This is income which is tax free according to the Act.

- Profits of parastatals, government ministries, companies wholly owned by the government, statutory corporations (e.g. NOCZIM, MMCZ), churches, medical aid societies and pension funds.
- Income from companies wholly owned by the Reserve Bank of Zimbabwe.
- Receipts of land and agricultural banks.
- POSB interest.
- Any interest accruing to the Government, local authority and statutory corporations.
- Any export trade incentives paid by the Government.
- Profits of a licensed investor in an export processing zone for the first 5 years of operations.
- Interest earned on a tax reserve certificate.
- Profits from sale of traditional beer.
- Income accruing to the State President.
- Allowances granted to members of parliament, government ministers, traditional chiefs, headmen, provincial governors, leader of the opposition or a chief whip.
- A scholarship, bursary, payment in respect of tuition fees, or other educational allowance to a student receiving instruction at a school, college or university.
- A bonus accruing to an employee to the tune of US$700/annum with effect from 1 November 2011 and US$1 000/annum with effect from 1 November 2012.
- Class C permanent shares of any building society.
- A retrenchment package approved by the minister responsible for labour shall be exempt from tax the first US$5 000-00 or 1/3 of the amount whichever is greater, with effect from 1 January 2010. The exemption apply only in respect of the first US$45 000-00 of any such package.

  <u>NB</u> 1/3 is calculated on a retrenchment packaging excluding pension refund and cash in lieu of leave.
- Interest received/ accrued to a person who is not ordinarily resident and does not carry on business within Zimbabwe, on any loan made to a person carrying on mining operations or undertaking prospecting or exploratory works for the purpose of acquiring rights to mine minerals in Zimbabwe.
- Any amount received by way of alimony (maintenance).
- Value of medical treatment paid by an employer for an employee or his dependents.
- Pensions accruing to persons over the age of 55 years.
- Any amount accruing by way of a benefit in respect of injury, sickness or death of a person which is paid to the person or his dependents or deceased estate by a benefit fund, insurance, medical aid society or a trade union.
- Basic allowances of civil servants e.g. housing and transport allowances.
- Dividends received by a person from a local company.

CHAPTER 5

TAXATION OF COMPANIES

5.1 Summary of Corporate Tax Rates

General corporate tax rate	25%
Licensed investor ÷	
First 5 years	0%
Thereafter	25%
Taxable income of individual from trade and or investment	25%
Taxable income of company or trust	25%
Taxable income of pension fund from trade and or investment	15%
Taxable income of company or trust involved in mining	25%
Taxable income of person engaged in approved BOOT	
or BOT arrangement:	
First 5 years of arrangement	0%
Second 5 years of arrangement	15%
Taxable income of Industrial Park Developer:	
First five years	0%
Thereafter	25%
Taxable income of operator of a tourist facility in an	
Approved Tourist Development Zone:	
First 5 years	0%
Thereafter	25%

Taxable income of a taxpayer engaged in a new project providing infrastructure	
in a growth point area	15%
Taxable income from manufacturing company which exports 50% or more of its output	20%

5.2 Growth Point Investment Allowance (GPIA) (14th Schedule)

Growth point means any area declared by the Minister to be a growth point area. Taxpayers operating at a growth point area are given an extra deduction, in addition to S.I.A and W & T on the cost of new assets and on construction of a building or on additions, excluding the purchase of motor vehicles.

The GPIA is 15% on cost and it is a one off deduction i.e. it can only be claimed once on an asset.

***NB**: The GPIA is not a capital allowance, therefore it does not affect the I.T.V of an asset, and it is just an extra deduction to the tax payer.*

NB: This schedule was repealed with effect from 1 January 2010.

***NB** A commercial building only qualifies for S.I.A if it is at a growth point, on election and construction.*

5.3 Export Processing Zones (EPZ)

To qualify for the EPZ status, an operator has to be licensed by the Zimbabwe Investment Authority (ZIA). The requirement is that more than 80% of production output is being exported. The sales should be for manufactured goods by the taxpayer rather than buying and selling.

Tax Incentives

- Exempt from income tax in the first five years.
- Tax at 15% for the second 5 years (this rate ceased to apply with effect from 1 January 2010)
- Full VAT refund on purchase of equipment, raw materials and any other inputs.
- No customs duty on the importation of the above.
- Exempt from capital gains tax on selling the business premises.
- Exempt from withholding taxes on dividends, interest, royalties and fees.

NB: The definition of a licensed investor was amended to exclude those investors registered after the repeal of the Export Processing Zone Act on the 1st January 2007 from enjoying the prescribed incentives. This means that only those licensed investors registered before the repeal of the EPZ Act will continue enjoying the incentives as provided by the repealed Act.

5.4 Build, Own, Operate & Transfer (BOOT)

Contractors may enter into contracts with the State or a statutory corporation under which he/ she undertakes to construct infrastructure for the State or statutory corporation.

This will be in consideration for the right to operate or control for a specified period after which the contractor will transfer ownership or control of the item to the State or statutory corporation.

5.5 Industrial Park Developer

These are persons who own and maintain industrial parks i.e. approved premises or an area in which any person other than the industrial park developer carries on the business of manufacturing or processing goods or components of goods for export from Zimbabwe.

The following tax incentives are available to such persons:

- Exempt from income tax on profits for the first 5 years.
- They are not liable to tax from dividends paid to residents or non-residents.
- Exempt from withholding tax on interest and fees payable to non-residents.
- Exempt from capital gains tax on disposal of specified assets forming part, or connected to.

5.6 Withholding Taxes

There are some incomes where tax is paid at source, i.e. the tax is deducted before the income is paid over. Such tax is known as a withholding tax and it is a final tax.

The following are charged withholding tax:

Income	**Rate**
Interest from banks	20%
Interest from building societies	20%
Interest of treasury bills	15%
Unit trusts or asset managers	15%
Technical fees	15%
Royalties paid to non-residents	15%
Dividends from companies listed on the Zimbabwe Stock Exchange	10%
Dividends from unlisted companies	15%
Foreign dividends	20%

The above rates are charged on gross amounts i.e. before any deductions.

5.6.1 Withholding Taxes Due Dates

Withholding Tax	**Due Date**
Non- Residents Shareholders Tax	Within 30days of the date of distribution
Residents Shareholders Tax	Within 10days of the date of distribution
Non- Residents Tax on Fees	Within 10days of the date of payment
Non- Residents Tax on Remittances	Within 10days of the date of remittance
Residents Tax on Interest	Within 10days of the date of payment
Non- Residents Tax on Royalties	Within 10days of the date of payment
Automated Financial Transactions Tax	By the 10th of the following month after the transaction was effected

Demutualisation Levy	Within three (3) months after issuing the Zimbabwean member concerned the free shares
Tobacco Levy	48 hours after the date of the auction tobacco concerned or after relinquishing possession of auction tobacco concerned.
Intermediate Money Transfer Tax	By the 10th day of the month following the month in which the transaction was effected.
Withholding of Amounts under Contracts	On or before the 10th day of the following month after payment
Non- Executive Directors Fees	Within 10days of date of payment of the fees.
Property or Insurance Commission Tax	By the 10th day of the following month after payment

5.6.2 Withholding Tax (Section 80 of Cap 23:06)

All registered operators including government, quasi-government and statutory corporations who enter into any contracts which result in an obligation to pay any amounts aggregating US$250 or more are required to withhold 10% of each amount payable to payees without valid tax clearance certificates.

Tax clearance certificates are issued only to clients who are fully paid up and whose income tax, VAT and PAYE returns are up to date. They are valid for a period of 6 months i.e. January-June and July-December.

Payer's Obligations

- The amount deducted should be remitted to ZIMRA on or before the 10th of the month following the month in which the payment is made.
- The person from whom the amount has been withheld must be furnished with a certificate showing full details including the amount withheld.
- The payer should retain a copy of the tax clearance certificates furnished by registered clients.
- The payer is liable for the amount that he/she has failed to withhold and is also liable to payment of a 100% penalty on the amount defaulted. Interest is also payable on outstanding amounts.

Exceptions

- ✓ Amounts paid in terms of employment contract.
- ✓ Payments for the supply of farm produce and livestock to farmers. However payments for farm produce to persons who buy for resale such as traders, retailers and wholesalers are subject to withholding tax.
- ✓ Sales effected in any shop in the ordinary course of the business of the shop and any other consumer contract for the sale or supply of goods or services or both in which the seller or supplier is dealing in the course of business and the purchaser or user is not. This caters for sales by retailers or wholesalers to consumers.

5.7 Presumptive Tax (26th Schedule)

It is a tax which is levied on presumed income of those persons engaged in business not registered for tax purposes, such as bottle store operators, commuter omnibus operators, hair salons, small scale miners and the cottage industry.

Presumptive taxes were introduced in order to capture informal businesses that have remained outside the tax net.

Operators that are up to date with their tax obligations and have been issued with tax clearance certificates by ZIMRA are exempt from payment of presumptive tax.

Presumptive tax is paid to ZIMRA on a quarterly basis i.e. every 3 months, not later than 10 days after the end of each quarter.

	Amount (US$)
Taxicabs with a seating capacity of 7 or less passengers	100
Omnibuses with a seating capacity of 8-14 passengers	150
Omnibuses with a seating capacity of 15-24 passengers	175
Omnibuses with a seating capacity of 25-36 passengers	300
Omnibuses with a seating capacity of 37 or more passengers	450
Goods vehicles with a carrying capacity of 10-20 tonnes	1 000
Goods vehicles with a carrying capacity of 10 tonnes or less which drive 1 or more trailers resulting in a combined capacity of 15-20 tonnes.	2 000

Goods vehicles with a carrying capacity of more than 20 tonnes	2 500
Driving schools for class 4 vehicles per vehicle	500
Driving schools for class 1 and 2 vehicles per vehicle	600
Hairdressing salons	1 500
Restaurants or bottle stores	300
Cottage industry operators	300

5.8 Tax Planning

It is a process of organizing a taxpayer's affairs in a way that legally minimizes the impact of taxation imposed by the statutes. It involves an analysis of all taxes. It is of no use to plan well for income taxes but fail to plan for VAT. Planning implies arranging one's affairs well in advance.

When you are in business you need to plan for all business activities, which include investments, current expenditure, as well as taxation. If you plan well it will mean that taxes are not a burden but simply, one of your liabilities.

Taxpayers should be aware of the difference between tax avoidance and tax evasion in their planning activities.

Tax avoidance involves the arrangement of one's tax affairs in a legal manner so as to minimize tax liabilities i.e. utilizing all the available elections or credits.

Tax evasion on the other hand embraces all those activities that are undertaken by taxpayers to free themselves from paying tax, without regard for the law, such as submitting false returns, wrongfully getting a refund or even making a false statement for the purposes of obtaining an exemption from tax.

5.9 Companies Payment of Tax

Companies pay their tax using Quarterly Payment Dates as follows:

25 March	1st QPD	10%
25 June	2nd QPD	25%
25 September	3rd QPD	30%
20 December	4th QPD	35%

Quarterly Payment Dates are provisional payments of income tax based on estimated annual taxable income, paid on a quarterly basis.

Example

A company estimated its annual taxable income to be $250 000. Calculate the provisional tax which is due every quarter.

Solution

Annual taxable income		$250 000
Therefore tax @25%		62 500
Add 3% AIDS Levy		1 875
Annual provisional tax payable		64 375
1st QPD (64 375 X 10%)	=	6 437.50
2nd QPD (64 375 X 25%)	=	16 093.75
3rd QPD (64 375 X 30%)	=	19 312.50
4th QPD (64 375 X 35%)	=	22 531.25

NB: At the end of the year taxpayers should produce actual income statements and submit the Income Tax Returns to ZIMRA on or before 30 April the following year.

These returns must be in the form of Self-Assessment Returns (ITF 12C) and they must be completed in full.

5.10 Layout of Company Assessments

Computation of XYZ (Pvt) Ltd's tax payable or assessed loss for the tax year ended 31 December 2011.

	$	$
Net profit as per account		XX
Add disallowable deductions (Section 16)		
Depreciation	XX	
Capital expenses	XX	
Restraint of trade	XX	
Entertainment	XX	XX
Add recoupment		XX
		XX
Less Exemptions (Section 14 as read with 3rd Schedule)		
Bank interest	XX	
Dividends received	XX	
Export Incentives received	XX	(XX)
		XX
Less allowable deductions (section 15)		
Capital allowances- special initial allowance	XX	
- Wear and tear	XX	
Rent and rates (excluded from accounts)	XX	
Export market development expenditure	XX	(XX)
Taxable income/assessed loss		XX
		XX
Therefore tax @ 25%		XX
Add 3% AIDS Levy		(XX)
Less provisional tax paid		XX
Total Tax Payable		

5.11 Progress Questions

1) Zero to Hero (Pvt) Ltd is a new manufacturing company operating at a growth point in Murehwa. In its first year ended 31 December 2010, it produced the following books of accounts:

Income		**US$**
Sales – cash		4 000
- credit		6 000
Profit on disposal		400
Interest received from bank		500
Income from MBC (Pvt) Ltd		3 000
		13 900
Expenditure		
Depreciation	100	
Bad debts	150	
Salaries	1 500	
Water and electricity	160	
Insurance	100	
Training costs	130	
General Expenses	550	
Pilferage	10	(2 700)
Net Profit		**11 200**

Additional information:

- The profit from disposal was from a car which was sold for $900. Its cost was $ 1 000 at the beginning of the year.
- Income from MBC was money received restraining Zero to Hero to sell the same particular product as MBC for six months.

- Part of the bad debt of $50 is 10% provision for bad debts.
- $30 was outstanding on the electricity bill for December therefore it was not included in the accounts.
- Parts of the general expenses of $200 are company formation expenses written off.
- Pilferage was cash stolen by an employee and later on the company recovered $8.

i. The company also purchased the following assets during the year:

➢ Mazda 3 for the General Manager	2 000
➢ T35 truck	1 500
➢ Nissan Sunny	1 000
➢ Training equipment	750
➢ Warehouse for finished products	3 500
➢ Land	6 000
➢ Furniture	580
	15 330

The company is claiming maximum capital allowances.

Required:

Calculate Zero to Hero (Pvt) Ltd's minimum tax liability for the assessment year ended 31 December 2010, [25 marks]

2) Sipho Ndiweni is a Zimbabwean who has been out of the country for some time now. He approaches you for advice on whether the following amounts are taxable or not. Advice him with the aid of celebrated cases or appropriate law if possible on the following:

a) Director's fees received from a company, with its head office in Zimbabwe but has a representative office in Botswana where he used to work as an executive director, the amount is $3 000 (3)

b) He received royalties from a book he wrote whilst outside Zimbabwe (2)

c) He received rent income from a property in Zambia. (2)

d) He is receiving an annuity of $200 out of a contract he signed whilst ordinarily resident in Zimbabwe. (2)

e) He received dividends from a South African Company of $9 000, net of $1 000 expenses. (2) [11 marks]

3a) According to the Income Tax Act section 8(1) j 'recoupment' is part of gross income. Mention 5 circumstances where recoupment arises. (5)

3b) What is presumptive tax? (2)

4) GPA (Pvt) Ltd is a steel manufacturing company operating at Mt Darwin growth point. For the year ended 31 December 2010 the following financial statements were presented.

	US$	US$
Income		
Operating income		100 000
Export incentive from the government		20 000
Foreign bank interest		5 000
		125 000
Expenditure		
Bad debts	5 000	
Depreciation	5 000	
Insurance	10 000	
General expenses	5 000	
Salaries and wages	50 000	
Marketing and packaging	10 000	
Raw materials	30 000	(115 000)
Net profit		10 000

Additional information:

1) $ 500 included in bad debts is 10% provision for doubtful debts.

2) Marketing and packaging included the following:
   - New product launch party for top management 2 000
   - VIP customers dinner 1 000
   - Exhibiting at the Shanghai Expo 6 500

3) The company had the following assets as at 1 January 2010:

	Cost	ITV
Land and buildings	75 000	37 500
Furniture and equipment	18 000	10 000

Motor vehicles	30 000	7 500

4) During the year, the following assets were purchased:

Laptops	3 600
Mazda Eagle Twin cab	35 000
Addition to warehouse	15 000
Fixtures and fittings	11 000
	64 600

Required:

Compute the company's minimum tax liability/maximum assessed loss for the year ended 31 December 2010.

(20 marks)

Suggested Solutions

2a) The whole amount of $ 3000 is taxable in Zimbabwe. This is because Sipho is a Zimbabwean national of which the source of income is the directorship exhibited by him at the company's general meeting at its head office, which is located in Zimbabwe. Therefore this renders the income taxable in Zimbabwe.

b) In the case of Mullins Vs C.I.R the originating cause of royalties was said to be wits, labour and intellect, where these were productively employed becomes the place of source. Therefore in this case the royalties are not taxable in Zimbabwe because the place of source is not Zimbabwe.

c) The annuity is not taxable in Zimbabwe because the source is outside Zimbabwe. Case in point: C.O.T vs. United British Machinery Company

d) The annuity is taxable in Zimbabwe because the originating cause of the annuity is the contract signed in Zimbabwe (chapter 23:06 Sec 12 (1 e).

e) Foreign dividends are taxed because their source is deemed to be Zimbabwe. Therefore the amount taxable is (9000 + 1000) $ 10 000. (Chapter 23:06 Section 12(2))

3a) Disposal of a business asset which was previously granted capital allowances.

- Compensation received on destruction/damage of an asset.
- Acquisition of rented business premises and price reduced by premiums and rents previously paid or improvements previously effected.
- Admittance of a new partner into an existing partnership.
- Amount recovered by employer on winding up of a pension/benefit fund or ceasing to be an employer.

3b) It is a tax levied on presumed income of those persons engaged in business not registered for tax purposes e.g. commuter omnibus operators and hair salons.

US$	US$

4) Computation of GPA (Pvt) Ltd's minimum tax liability/maximum assessed loss for the year ended 31 December 2010.

Net profit as accounts

Add disallowable deductions

Bad debts – provision for doubtful debts

Depreciation

Insurance

General expenses

Salaries and wages

Marketing and packaging-:

- New product launch party
- VIP customers dinner
- Exhibiting at the Shanghai Expo

Raw materials

Less exemptions

Export incentive from the government

Foreign bank interest

Less allowable deductions

Capital allowances (refer working 1)

Exhibiting at Shanghai expo

Assessed loss

Working 1 – Capital allowances schedule

	Land & B	F & E	M.V	M. Eagle	W/Hs	F & F	Lapto p	Total
Cost	75000	18000	30000	35000	15000	11000	3600	
ITV 01/01/ 10	37500	10000	7500	-----	-----	-----	-----	
Deeme d cost	-----	------	-----	10000	----	-----	-----	
SIA(25 %)	----	-----	----	2500	3750	2750	900	9900
Acc. W & T(25%)	18750	----	7500	----	-----	-----	----	26250
W & T(10%)	----	1000	----	-----	----	----	----	1000
ITV 31/12/ 10	18750	9000	----	7500	11250	8250	2700	
Total								**37 150**

US$	US$
	11 200
100	
50	

200	
8	358

1) Computation of Zero to Hero (Pvt)'s minimum tax liability for the year ended 31 December 2010.

Net profit as per accounts

Add disallowable deductions (Section 16)

Depreciation

Bad debts (10% provision)

Salaries

Water and electricity

Insurance

Training costs

General expenses- company formation expenses

Pilferage (10-8=2)

Less exemptions (Sec 14 as read with 3rd Sch)

Profit on disposal

Interest received from bank

Income from MBC (Pvt) Ltd

Less allowable deductions

Electricity

Capital allowances (refer working 1)

Taxable Income

Therefore tax @ 25%

Add 3% AIDS Levy

Total Tax Payable

<u>NB</u> Restraint of trade is regarded as income of a capital nature. Case in point: Taeuber and Corssen (Pty) Ltd vs. CIR (1975).

There is no recoupment calculated on the disposal of a car because it was disposed of the same year it was acquired. Recoupment is only calculated if there were capital allowances previously granted

.

Working I Capital Allowances Schedule

Asset	Warehouse	Furniture	Training Equipment	Truck	Mazda	Nissan	Total
Cost	3 500	580	750	1 500	2 000	1 000	
S.I.A (25%)	---	145	187.50	375	500	250	1 457.50
W & T (5%)	175	---	---	---	---	---	175
I.T.V 31/12/10	3 325	435	562.50	1 125	1 500	750	
Total							1 632.50

CHAPTER 6

TAXATION OF FARMERS (7th Schedule)

Farming is a business and therefore the income statement has to be produced and submitted to the Commissioner. Tax is charged @ 25% + 3%.

Farmers are also entitled to capital allowances (S.I.A and W&T) on business assets purchased /constructed and actually used to carry out farming operations.

6.1 Farm Assets Include the Following:

a) Staff houses including teaching and nursing staff houses at farms.

b) Farm improvements and tobacco barns

c) Passenger motor vehicles

d) Plant and machinery, furniture, fixtures and fittings, tools and equipment

e) Farm tractors

Farmer- This is any person involved in agricultural activities and, or the keeping of livestock.

6.2 Special Farming Deductions (Section 15(2) z as read with 7th Schedule Paragraph 2)

The following expenses are normal business expenses to a farmer. The farmer claiming the expense should be the one who would have actually incurred the expenditure.

a. The stumping and clearing of lands
b. Works for the prevention of soil erosion
c. Sinking of boreholes and wells
d. Aerial and geophysical surveys.
e. Any water conservation works e.g. dams, tanks and reservoirs.
f. Fencing

6.3 Livestock

This includes cattle, sheep, pigs, goats, horses, crocodiles and any animal or bird that a farmer calls livestock. Livestock should be properly valued in the livestock trading account, especially closing stock. This means that any purchases of livestock including inherited stock or livestock received as a donation should be charged as an expense in the accounts (deemed purchases). Therefore any reduction in livestock through outright sales, donations and deaths are treated as sales in the accounts. In regard to deaths no amount is credited in the accounts.

6.3.1 Valuation of Livestock

Livestock is categorized into two:

- ✓ Ordinary livestock, which include cows, oxen, heifers, tollies and cows
- ✓ Stud/ breeding stock (bulls)

i) Ordinary livestock

For closing and opening stock purposes, ordinary livestock is valued at:

- Cost price i.e. cost of purchase
- Any amount suggested by the farmer and approved by the Commissioner. This is known as fixed standard value (fsv) and is the one mainly used on examination questions.

ii) Stud/breeding livestock

These are valued at cost price i.e. purchase price value (ppv) each. In the case whereby many bulls are purchased at varying prices, the minimum value is used as the value of all the bulls.

However, in the case whereby the stud bulls were not purchased, the fixed standard value may be used.

The average Fixed Standard Values of livestock are as follows:

CATTLE($)	PIGS($)	SHEEP($)	GOATS($)	CHICKENS($)	OSTRICH($)	CROCODILE($)
Bulls 850	**Piglets 40**	**Lamb 20**	**Kid 15**	**Grant parent 40**	**Ostrich 750**	**Crocodile 1000**
Oxen 650	**Weaners 80**	**Feed let 25**	**Dow 30**	**Parent 15**		
Beef cows 540	**Beckoners 100**	**Cull ewe 30**	**Buck 35**	**Commercial layers 15**		
Dairy cows 850	**Gilts 200**	**Ewe 40**		**Broilers 5**		
Cull cows 500	**Sows 300**	**Ram 35**		**Chicks 1**		
Beef heifer 300	**Boars 350**					
Dairy heifer 600						
Steers 300						
Weaners 250						
Calves 100						

6.4 Livestock Reconciliation Statement

Each livestock farmer must come up with livestock reconciliations at the end of each year. The reconciliation statement reflects the livestock movements which took place during the year per each class of livestock. It also assists a farmer in planning and controlling farm resources. The value of both opening and closing stock is derived from the statement.

The livestock reconciliation statement format is as follows:

	Bulls	Cows	Oxen	Heifers	Tollies	Calves	Total
Opening Stock	xx	xx	xx	xx	xx	xx	Xxx
Purchases	xx	xx	xx	xx	xx	xx	Xxx

Births	xx	xx	xx	xx	Xx	xx	xxx
Promotions-in	xx	xx	xx	xx	xx	xx	Xxx
Sub-total	xxx	xxx	xxx	xxx	xxx	xxx	Xxx
Sales	(xx)	(xx)	(xx)	(xx)	(xx)	(xx)	(xxx)
Deaths/stolen	(xx)	(xx)	(xx)	(xx)	(xx)	(xx)	(xxx)
Donations-out	(xx)	(xx)	(xx)	(xx)	(xx)	(xx)	(xxx)
Promotions-out	(xx)	(xx)	(xx)	(xx)	(xx)	(xx)	(xxx)
Closing Stock	(xx)	(xx)	(xx)	(xx)	(xx)	(xx)	(xxx)
Valuation Method	PPV	FSV	FSV	FSV	FSV	FSV	
Valuation Amount	xx	xx	xx	xx	xx	xx	
Opening Stock Value	xx	xx	xx	xx	xx	xx	Xxx
Closing Stock Value	xx	xx	xx	xx	xx	xx	Xxx

6.5 Forced Sales of Livestock (7th Schedule Paragraph 5)

When a farmer is forced to sell livestock by conditions declared by the minister of:

- Drought
- Epidemic diseases such as Anthrax and Foot and Mouth
- Land Acquisition Act (section 8)

He can make an election on the profit realized from the forced sales to be spread over 3 years.

The profit is calculated as follows:

$	$
$	$
	XX
	XX
XX	
XX	
XX	(XX)
XX	(XX)
	XX
	XX

Forced sales income

Less (cost of animals @ fsv)

+share of livestock expenses

Profit on forced sales

This profit on forced sales is then divided by three years if an election has been made. This means that 2/3 of this profit is exempt from tax in the year of disposal i.e. it should be deducted from the net profit.

The share of direct livestock expenses is found as follows:

$$\frac{\text{Number of livestock sold on forced sales X Direct livestock expenses}}{\text{Average livestock in numbers}}$$

Average stock in numbers=Opening + Closing Stock ÷2

Example

A farmer was forced to sale 20 cows and 30 tollies due to an Anthrax epidemic. He realized a total of $27 000. He also incurred direct livestock expenses of $40 500.

His livestock was valued using the fixed standard value as follows:

Cows $200 each

Tollies $50 each

Opening stock and closing stock in numbers was 362 and 312 respectively.

Required:

Calculate the taxable income for this year.

$	$
	27 000
4 000	
1500	
5500	

Calculation of taxable income on forced sales

Forced Sales income

Less 20 cows @ fsv of $200 each

30 Tollies @ fsv of $50 each

+share of livestock expenses

50x 40 500

(362 = 312)÷2

Profit on forced sales

2/3 exempt in the first year

Taxable Income this year

6.6 Restocking Allowance (7th Schedule Paragraph 6)

When a farmer who was previously forced to sell his livestock restocks the depleted herd after conditions improve, he is entitled to a restocking allowance, as an additional expense in the income statement.

The restocking allowance is 50% of the cost of livestock purchased on restocking. However, if the farmer overstocks the farm i.e. exceeds the assessed carrying capacity of land on restocking, and then the restocking allowance is calculated using the following formula:

$\frac{a \times b}{2 \quad C}$ Where a=cost of livestock on restocking

b=number of livestock should have purchased

c=number of livestock actually purchased on restocking

The farm's carrying capacity of livestock is determined by AREX (Agricultural Research and Extension Services) and it is known as the assessed carrying capacity of land (ACCL).

6.7 Progress Questions

Rambai Makashinga is a new farmer specializing in cattle ranching at his farm in Rafingora. He produced the following statements for the year ended 31 December 2012:

Opening Stock	Value(US$)
1 stud bull	300
15 oxen	3 000
60 cows	12 000
40 heifers	6 000
30 tollies	4 500
50 calves	5 000
196	30 800

He always values his stock at fixed standard value save for the stud bull which is valued at purchase price value.

During the year the following took place:

- Sold 10 oxen and 10 cows for the total sum of $6 000
- 6 calves died of natural causes
- 12 calves were born
- 10 cows were purchased for $300 each

The following movements also took place:

- 15 calves became tollies
- 11 calves became heifers
- 28 heifers became cows
- 16 tollies became oxen

He also incurred running expenses of $550.

Required:

1a) Prepare a livestock reconciliation statement for the year ended. (13)

b) Prepare a livestock trading account. (7) [20 marks]

2) Dludluza Dlamini is a commercial farmer who was allocated a farm by the government in the year 2000 during the fast track land reform programme in Umguza District. He produced the following books of accounts for the year ended 31 December 2012.

	$	$
Sales		200 000
Less cost of sales		(70 000)
Gross Profit		130 000
Interest received from loan		5 000
Bad debts recovered		7 500
		142 500
Operating expenses		
Depreciation	1 000	
Administration Expenses	1 500	
Salaries and wages	2 500	
Herdsmen's wages	900	
Livestock feed	3 000	
Insurance	1 500	
General Expenses	3 500	(13 900)
Net profit		128 600

Additional information:

Insurance is on:

- Stock and fixed assets 900
- Life insurance for farm owner 600

General expenses including the following:

- Donation to National Scholarship Fund 1 000
- Donation to independence celebrations 500
- Exhibition fees at the Harare Agricultural Show 1 000

During the year the following expenses were incurred:

- Farm tractor 50 000
- Furniture and equipment 25 000
- Mazda B22 00 10 000
- Dam construction 30 000
- Fencing 7 500

His livestock is valued as follows as at 1 January 2012:

- 1 stud bull 200
- 20 Oxen 3 000
- 50 cows 7 500
- 16 heifers 1 600
- 15 tollies 1 500
- 40 calves 2 000
- All his livestock is valued at fixed standard value with the exception of the stud bull which is valued at purchase price value.

- Part of the sales of US$62 250 were forced sales due to drought. The following were sold: 10 oxen, 10 cows, 5 heifers, and 13 calves. Other sales were normal sales of 10 oxen, 30 cows, 6 heifers and 6 tollies.

- Parts of the cost of sales were purchases of livestock for restocking after conditions improved. The purchased stock was made up of 35 cows and 25 heifers for a subsidized cost of $5 000.

- The assessed carrying capacity of land was certified by AREX as 100 livestock.

Required:

Compute Mr. Dludluluza Dlamini's minimum tax payable or assessed loss, granting all possible deductions he is entitled to, for the year ended 31 December 2012 **[30marks]**

2) Farmers usually face undue difficulties in their operations. The Income Tax Act has some provisions in order to alleviate their conditions. Explain. (10)

Suggested Solutions

1a) Rambai Makashing's Livestock Reconciliation Statement for the Year ended 31 December 2012

	Bulls	Oxen	Cows	Heifers	Tollies	Calves	Total
Opening stock	1	15	60	40	30	50	196
Births	---	---	---	---	---	12	12
Purchases	---	---	10	---	---	---	10
Promotions in	---	16	28	11	15	---	70
Total	1	31	98	51	45	62	288
Deaths	---	---	---	---	---	(6)	(6)
Sales	---	(10)	(10)	---	---	---	(20)
Promotions out	---	---	---	(28)	(16)	(26)	(70)
Closing stock	1	21	88	23	29	30	192
PPV/FSV	300	200	200	150	150	100	
Opening stock value	300	3 000	12 000	6 000	4 500	5 000	30 800
Closing stock value	300	4 200	17 600	3 450	4 350	3 000	32 900

1b) Rambai Makashinga's livestock trading account for the year ended 31 December 2012

	US$	US$
Sales		6 000
Less cost of sales		
Opening stock	30 800	
Purchases	300	
Add direct livestock expenses	550	
Less closing stock	(32 900)	(1 450)
Livestock Gross Profit		4 550

$	$

2) Computation of Dludluza Dlamini's minimum tax payable /assessed loss for the year ended 31 December 2012

Net profit as per accounts	
Add disallowable deductions	
Depreciation	21 250
Administration expenses	
Salaries and wages	37 955
Herdsmen's wages	
Livestock feed	
Insurance on: stock and fixed assets	
Life insurance for owner	2 000
General expenses: Donation to National Scholarship Fund	
Donation to Independence Celebrations	
Exhibition fees at Harare Agric. Show	
Less exemptions (Sec 14 read with 3rd Schedule)	(98 705)
Interest received from loan (not specific)	
Bad debts recovered	
Less allowable deductions (Section 15)	
Dam construction (special farming deduction)	
Fencing	

Capital allowances (working 1)

Forced sales allowance (exempt amount) (working 3)

Restocking allowance (working 2)

Taxable income

Therefore tax @ 25%

Add 3% AIDS Levy

Tax payable

Working 1 – Capital Allowances Schedule

Asset	Farm Tractor	Furniture & Equipment	Mazda	Total
Cost	50 000	25 000	10 000	
S.I.A (25%)	12 500	6 250	2 500	21 250
I.T.V 31/12/10	37 500	18 750	7 500	

Working 2 – Restocking Allowance

A x B A= cost of restocking

2 C B=number should have purchased

C=number actually purchased

5 000 x 48

2 60

2500 x 0.8

2 000

US $	**US $**
	62 250

Working 3 – Income from forced Sales

Forced sales

Less cost of sales

10 oxen @ fsv of US$150 each

10 cows @ fsv of US$150 each

5 heifers @ fsv of US$100 each

13 calves @ fsv of US$50 each

+ share of livestock expenses

No. of animals sold on forced sale X direct livestock expenses

Average stock in numbers

38 X 3900 X 148 200

(142 + 112÷2) 127

Profit on forced sales

Forced sales allowance (2/3 of 56 933)

Question 3

According to 7th schedule paragraph 2, farmers are granted special deductions on:

- ✓ Stumping and clearing of lands
- ✓ Aerial and geophysical surveys
- ✓ Sinking of boreholes and wells
- ✓ Any water conservation works e.g. construction of dams
- ✓ Any works for the prevention of soil erosion e.g. contour ridges.
- ✓ They are also granted a forced sales allowance on election, if they are forced to sell their livestock due to:

- ✓ Conditions of land reform programme, drought or epidemic diseases e.g. anthrax
- ✓ This income is taxable over 3 years.
- ✓ They are also granted a restocking allowance on the cost of restocking the depleted herd.
- ✓ The allowance is 50% on the cost of restocking i.e. if the farm's carrying capacity is not exceeded.

CHAPTER 7

TAXATION OF INDIVIDUALS

Income for individuals from employment is taxed using tax bands whilst income from trade or investments (profits from businesses, rentals, fees and royalties) is taxed @ 25% +3% AIDS Levy. Therefore extra income should be distinguished from income earned from regular employment.

7.1 Income Of Individuals Include The Following:

- Purchased annuities (Section 8(1)a) refer Chapter 1.1.1
- Income from employment:
  - Salaries and wages
  - Cash in lieu of leave and leave pay
  - Gratuity
  - Fringe benefits
  - Bonuses
  - Allowances
  - Commission
  - Fees
  - Overtime pay
- Pension refunds (section 8(1)c) refer Chapter1.1.3
- Lease premiums (section 8(1)d) refer Chapter 1.1.4
- Lease improvements (section 8(1)e refer Chapter1.1.5

7.1.1 Fringe Benefits

These are defined as the provision of living quarters, housing, furniture, clothing or any advantage taken by a taxpayer or accruing to the taxpayer as a result of his employment. For the purposes of this section, a director is regarded as an employee.

Valuation of Fringe Benefits

Allowances – the value to be taxed in the hands of the taxpayer is what has not been expended on transacting the employer's business and not reimbursed to the employer.

Housing - It is based generally on the value to the employee. These words have not been defined in the Act, but case law indicates that it is what has been saved the employee in his pocket. Where housing is provided within the municipal area valuation is based on market values of rentals.

Where housing is provided outside the municipal area valuation is based on 12,5% of the salary of the employee or 7% of the value of property.

Furniture – valuation is based on 8% on the cost of the furniture item being used.

Passage benefit – this is so much as paid by an employer in order to bring a prospective employee to take-up employment and returning the same employee to his base after the term of employment. This includes the cost of holidays and the costs incurred on the employee's spouse and children. However, the first such journey paid by the employer on the same employee is not taxable in the hands of the employee.

Allowances for business use – e.g. cell phone, telephone and entertainment. The benefit is the difference between the amounts provided by the employer less the amount spent on business use.

Soft loans - If an employee borrows money from the employer, then a benefit would have arisen if the employer does not charge the stipulated interest rates.

Interest is only charged on loans in excess of US$100. The rate of interest is calculated as follows:

LIBOR (London Inter-Bank Offer Rate) + 5% (interest rate charged by employer).

Example

Mr. Zenzo Nyathi is employed by Bakithi Investments (Pvt) Ltd. During the current year he was granted a soft loan of $10 000 by his employer to enable him to finish up his house in Mahatshula, Bulawayo. The employer charged him an interest of 3% on value of the loan. The LIBOR rate at the time was 4%.

Calculate Mr. Nyathi's benefit, if any.

Solution

Loan	10 000

Stipulated interest (4% + 5%) X 10 000	900
Charged by employer (3% X 10 000)	(300)
Loan benefit	600

Motoring Benefits

This arises on employees who use company vehicles, including pool cars to conduct their personal business. There are 3 ways of evaluating this benefit:

- **Based on engine capacity**

Engine Capacity	**Deemed Benefit /annum(US$)**
Up to 1500cc	1 800-00
1501-2000cc	2 400-00
2001-3000cc	3 600-00
3001 and above	4 800-00

NB: The above figures are on an annual basis and can be apportioned where the period is less than twelve months.

b) Actual cost

The following formula is used:

$$\frac{\text{Actual cost} \times \text{Private kilometres runs}}{\text{Total kilometres run}}$$

c) The use of AA rates or Government Rates

The following formula is used:

Private kilometres run X AA rate/government rates.

7.1.2 Disposal of a Motor Vehicle to Employees

This section brings into gross income benefits arising to an employee as a result of the disposal of a motor vehicle to him by the employer during or on termination of employment.

a) Motor vehicles acquired prior and disposed of on or after 01/01/2009

The benefits, if any, should be arrived at by employing the formula: (A-B)

Where A=market value of the motor vehicle

B-determined value of the motor vehicle in foreign currency as at 1 January 2009 which is carried forward to 2009 in the books of accounts.

b) Motor vehicles acquired and disposed of on or after 01/01/09

The benefit should be determined by applying the formula: (A-B)

Where:

A= market value of motor vehicle

B= depreciated cost at which the employer acquired the vehicle

NB: This benefit does not accrue to persons over the age of 55 years

7.1.3 Share Option Schemes

Section 8(1) t of the Income Tax Act brings into gross income the amount so received or accrued as a result of the sale of shares offered to an employee pursuant to a share option scheme.

1) Shares granted prior and exercised on or after 01/02/09

According to Section 22k of the Finance Act 5% final tax is charged on the sale of shares by employees who received those shares prior to 1 February 2009, pursuant to any share option scheme operated by their employers.

2) Shares granted and exercised on or after 1st February 2009

Where shares were received and exercised pursuant to a share option scheme on or after 1st February 2009, the benefit is arrived as follows:

A-(B+C)

Where A=value of shares at the time of exercise of the share option by the employee

B=value of shares offered to the employee pursuant to a share option scheme

C=inflation allowance determined as follows

(D-E) x B where D= Consumer Price Index figure issued by CSO at the time of
E option exercise

E= CPI figure at the time the shares were offered to the Employee

7.1.4 Employment Income

This is income that is taxed using tax bands or progressive rates of tax i.e. the more you earn, the more you pay. AIDS levy @ 3% is also charged.

1 January – 31 December 2012 Monthly Tax Bands

Taxable Income	Rate of tax
Up to 250	0%
251-1 000	20%
1 001-2 000	25%
2 001-5 000	30%
5 001-7 500	35%
7 500- 10 000	40%
Above 10 000	45%

01 January – 31 December 2012 Annual Tax Bands

Band of Income	Rate of tax
0- 3 000	0%
3 001- 12 000	20%

12 001- 24 000	25%
24 001- 60 000	30%
60 001 – 90 000	35%
90 001 – 120 000	40%
Above 120 000	45%

NB: These rates remain unchanged for the year ended 31 December 2013.

7.1.5 Exemptions from Income Tax by a 55 Year Old and Above

Taxpayers who are 55 years old and above enjoy exemptions from income tax on part of their income. Examples are as follows:

- Rental income the first US$3 000/annum
- Income earned from bankers' acceptances the first US$3 000/annum
- Interest on deposits to financial institutions the first US$3 000/annum
- Interest from investments the first US$3 000/annum
- Receipts from pension funds or Consolidated Revenue Fund.
- Proceeds from disposal of motor vehicle on termination of employment or otherwise.

7.2 Allowable Deductions for Individuals (section 15)

The following are applicable to employment income:

a) Pension contributions (January to December)

Pension contributions to either pension fund or benefit fund are limited to a maximum of US$5 400-00/annum.

Contributions to a retirement annuity fund are restricted to a maximum of $2 700/annum.

A maximum deduction of 3% of employee gross salary is granted on contributions to NSSA.

b) Subscriptions (Section 15(2) s)

This section allows for a deduction in respect of subscriptions made for the continued membership of any of the following associations: Trade Unions (ZCTU), professional bodies such as CIS, IAC, ACCA and employment councils e.g. NEC

7.3 Tax Credits (Finance Act 23:04)

Credits are only granted to individuals and they reduce tax i.e. they are subtracted from the tax due, meaning that, for an individual to be granted a credit, he or she must be a tax payer.

- Blind person's credit limited to US $900-00/annum
- Disabled person's credit limited to US$900-00/annum
- Elderly person's credit limited to US$900-00/annum
- Medical Aid Contribution's credit 50% of amount paid by employee
- Medical expenses' credit 50% of amount incurred by employee

- **Blind Person's Credit**

It is granted to a tax payer, his or her spouse, whose eye sight is so defective during more than half of the tax year and is unable to carry out duties for which eyesight is essential.

NB: Where one has got one eye the credit is not apportionable.

- **Disabled person's credit**

This is granted to a taxpayer, his or her spouse or children who are physically or mentally disabled.

The disability must not be of a transitional nature and it must be certified as permanent.

Blind children are treated as disabled persons.

NB: This credit is only available to persons who are ordinarily resident in Zimbabwe.

- **Elderly Person's credit**

This is granted to a taxpayer who is over the age of 55 years. This credit cannot be transferred to another person.

- **Medical Aid contributions credit**

A credit is granted on actual contributions made by the taxpayer to a registered medical aid society for self, spouse or dependent children.

- **Medical Expenses Credit**

A credit is granted on actual expenditure incurred by the taxpayer on medical expenses for self, spouse and minor children.

Medical expenses include drugs on prescription, hospital or clinic bills, laboratory tests, x-rays, ambulance fees, medical consultation fees, purchase of invalid appliances and repairs to invalid appliances.

Invalid appliances are appliances used by disabled persons.

They include wheel chairs, hearing aids, spectacles, artificial limbs and any modification to assets so that they can be used by a disabled person.

Expenses incurred before death, but paid after death shall be considered as having been paid before death, therefore allowable.

NB: This credit is not available to persons who are not ordinarily resident in Zimbabwe during any time within the tax year

7.4 Double Taxation Relief

According to Section 91 to the Income Tax Act , the President of Zimbabwe may enter into agreements with the government of any other country or territory with a view to prevent, mitigate or discontinue the levying of taxes under this Act or the laws of such country or territory in respect of the same income.

Double Taxation Agreements offer reduced rates of withholding taxes on dividends, interest, royalties and technical fees.

The effect of the relief is that the taxpayer is going to receive a credit which is equivalent to the lesser of between foreign and Zimbabwean tax.

7.5 Withholding of Employee's Tax (13th Schedule Paragraph 3(1))

Every employer is obliged to deduct tax from each employee using tax bands and submit it to ZIMRA by the 10th after the end of the month of which it was withheld, or within such longer period not exceeding 21 days upon approval by the Commissioner. Also each employer is required to register for PAYE purposes within 14 days of becoming an employer.

Failure/Refusal to Withhold Tax/Remit Tax (13th Schedule Paragraph 10)

Any employer who fails to withhold tax or to pay to the Commissioner within a specified period shall be personally liable to the following:

- The amount of tax which he/she failed to withhold or pay.
- 100% penalty of the amount due
- Interest at a prescribed rate

7.6 Final Deduction System (FDS)

This is a system whereby the employer is directed to withhold PAYE (pay as you earn) from the employee's remuneration in such manner as to ensure that the amount so withheld in any year of assessment is nearly the same as the income tax liability for the employee concerned. The PAYE system was used before FDS was introduced.

Differences between PAYE System and FDS

1. Under the PAYE system, the employer is required only to deduct PAYE according to the PAYE tables. The employees were obliged by law to submit income tax returns after the end of the year.
2. PAYE is a non cumulative method whilst FDS is cumulative. This means that the FDS system continually calculates the cumulative tax liability on the total emoluments as these are paid, thus the correct tax liability is deducted by the employer at any given time during the year.
3. The employer under the PAYE system was not authorized to take into account credits in claiming the PAYE.
4. Under FDS the employer is directed to take into account credits due to an employee.

5. If for any reason there is an over or under-deduction of tax the employer can make an adjustment under FDS which he could not do with the PAYE system.

6. Under FDS the employer is the tax assessor of the employee i.e. the employee should submit all tax matters to the employer. Therefore the employee does not submit tax returns to ZIMRA except when there is change of employers, and need not produce P6 returned for employees.

7.7 Objections and Appeals (Section 62)

Any taxpayer who is not satisfied with any assessment made upon him or any decision of the Commissioner mentioned in the 11th Schedule, shall object to such within 30 days after the date of notice of assessment.

Conditions of Lodging Objections and Appeals

i. An objection shall be made within 30 days after the date of decision or assessment

ii. Be in writing

iii. Specifying in detail the grounds upon which it is made.

7.8 Estimated Assessments (Section 45)

If the Commissioner is not satisfied with the return of a taxpayer or a taxpayer makes defaults in furnishing any return and he has reason to believe that such taxpayer is about to leave Zimbabwe, he may make an assessment in which the taxpayer's taxable income or assessed loss is estimated either in whole or in part.

7.9 Additional Tax in Event of Default or Omission (Section 46)

A taxpayer shall be required to pay, in addition to the tax charged in respect of his taxable income in the event of default, mistake or omission.

7.10 Additional Assessment (Section 47)

If the Commissioner, having made an assessment on any tax payer later discovers a mistake, can adjust such assessment and call upon the taxpayer to pay the correct amount of tax.

7.11 Reduced Assessment (Section 48)

If it is proved to the satisfaction of the Commissioner that any person has been overcharged, he shall issue an amended assessment reducing the tax so charged and if necessary, authorize a refund to such a person.

7.12 Layout of an employee tax assessment from employment

	US$	US$
Salary		XX
Cash in lieu of leave		XX
Housing allowance		XX
		XX
Less allowable deductions		
Pension contributions	XX	
Professional subscriptions	XX	(XX)
Taxable Income (posted to tax bands)		XX
Gross Tax (from tax bands)		XX
Less credits	XX	
Medical expenses credit	XX	(XX)
Blind person's credit		XX
		XX
Add 3% AIDS Levy		(XX)
Less PAYE withheld		XX
Total Tax Payable/refundable		

7.13 Progress Questions

1) Mr. Hlalani Kuhle is a 50 year old man who resigned from formal employment as an Accountant on the 31st December 2011, after a service of 30 years. For the month of December he received the following income:

	US$
Salary	2 500
Bonus	2 500
Housing Allowance	300
Cell phone Allowance	150
	5 450

Further Information:

1) The company has always been paying for his children's school fees, for the month of December US$750 was paid.
2) He was supposed to go for an annual leave in October 2011, but was instead given cash valued at $2 500.
3) He was also using a company vehicle, Nissan Hardbody Wolf with an engine capacity of 2700cc.
4) He received cash of US$500 to host an important client, and only spent $270 the remainder he kept it for own use.
5) PAYE of US$1800 was withheld.
6) On his resignation he received the following as part of his long service award:

- ✓ Pension refund of $30 000(he transferred the whole amount to a retirement annuity fund)
- ✓ Laptop (free of charge) with a market value of $750
- ✓ Cell phone worth US$800, he was asked to pay only $50
- ✓ Office furniture worth $1 000, he was requested to pay only $100.

For the month of December 2011 he incurred the following expenditure:

✓ Pension contributions	$150
✓ NSSA contributions	125
✓ Medical aid contributions	200

- ✓ He has a disabled child and he purchased a wheel chair for him for US$1500, the medical aid society reimbursed him US$650
- ✓ He is a fellow member of CIS of which he paid an annual subscription of $350.

Apart from employment, Mr. Kuhle received the following income from various sources:

- ➢ Dividends from a South African company of US$3500 (net of $150 expenses and NRT of US$365)
- ➢ Australian bank interest of US$750 (net of 10% expenses and US$60 tax)
- ➢ Rent income from a property in Botswana for $1 300
- ➢ Dividends from OK Zimbabwe for US$4500.

Required:

1a) Calculate Mr. Kuhle's tax liability from employment for the assessment period ended 31 December 2011. [20]

1b) Calculate Mr. Kuhle's tax payable on income from investments for the same assessment year as above [10]

Total [30 marks]

2a) Identify the differences between PAYE system and Final Deduction System (FDS) [8]

b) Some credits cannot be granted if the person is at any time of the year not ordinarily resident in Zimbabwe. Which are these?(2)

c) What are the essential conditions of lodging an objection? [3]

d) What are the repercussions of failure or refusal to withhold or remit tax [3]

3a) There are tax benefits which are available to persons who aged 55years and above. Which are these? (8 marks)

3b) The Zimbabwean tax system in regard to taxation of employment income is said to be progressive. Why? (2 marks)

SUGGESTED SOLUTIONS

1a) Calculation of Mr. Hlalani Kuhle's tax liability from employment for the year ended 31 December 2011

Income	US$	US$
Salary		2 500
Bonus		2500
Bonus tax free threshold		(700)
Housing Allowance		300
Cell phone Allowance		150
School fees for children		750
Cash in lieu of leave		2 500
Motoring benefit (3 600 x 1/12)		300
Entertainment allowance (500-270)		230
Pension refund (30 000-30000)		----
Laptop		750
Cell phone (800-50)		750
Office furniture (1000-100)		900
Less allowable deductions		10 930
Pension contributions	150	
NSSA contributions (3% X 2 500)	75	(575)
Professional subscriptions	350	10 355
Taxable income		
Gross tax (refer Working I-Tax bands)		3 429
		100
		75
		425 (600)
		2 829

Less credits

Medical aid contributions (200 x 50%)

Disabled person's credit (900 x 1/12)

Medical expenses credit (1500 - 650 x 50%)

Add 3% AIDS Levy

Less PAYE withheld

Total Tax Payable

Working 1 Calculation of tax

Band of Income	Taxable Income	Rate of Tax	Tax	Cumulative Tax
Up to 225	225	0%	----	-----
226 -500	275	20%	55	55
501-1000	500	25%	125	180
1001-1500	500	30%	150	330
1501-10 355	8 855	35%	3 099	3 429

Therefore gross tax is =3 429

Mr. Hlalani Kuhle's tax payable on income from investments for the year ended 31 December 2011

Income

	US$	US$
Dividends from SA (3500+150+365)		4 015
Dividends from Ok Zimbabwe (exempt)		-----
Interest from Australian bank (750+60)		810
Rent income from Botswana property		----
(Source outside Zimbabwe)		4 825

Foreign tax relief calculations

	Zim Tax	Foreign Tax	Relief
Dividends from SA (4015 X 20%)	803	365	365
Interest from Australian Bank (810x25.75%)	209	60	60
			425

Tax Thereon

Tax @ 25.75%	209
Tax @ 20%	803
Less foreign tax relief	(425)
Total Tax Payable	587

NB NRT – Non Residents Tax

Tax relief is the lesser of the two, between Zimbabwean tax and foreign tax.

Foreign dividends are taxed gross i.e. before any deductions.

Expenses incurred on foreign interest are allowable, but not the foreign tax.

2a) To answer this question please refer to Chapter 7.5

b) * Medical expenses credit

* Disabled person's credit

c) * Be made within 30 days after the date of the decision or assessment.

* Be made in writing

* Specifying in detail the grounds upon which it is made

d) * Pay the amount of tax which they failed to withhold or remit

* 100% penalty on the amount due

* Interest at a prescribed rate

3a) Exempt from Income Tax on the first US$ 3 000/annum on rental income earned.

- Exempt from income tax on the first US$ 3 000/annum on income earned from banker's acceptances.
- Exempt from income tax on the first US$ 3 000/annum on interest earned from deposits to financial institutions.
- Granted Elderly person's credit of US$ 900/annum
- Exempt from income tax on pensions received from a pension fund or the Consolidated Revenue Fund.
- Exempt from income tax on benefits arising from disposal of a motor vehicle to him by employer.
- Exempt from Capital Gains tax on proceeds from disposal of a principal private residence.
- Exempt from capital gains tax on the first US$ 1 800 on sale of any marketable securities.

3b) It uses progressive rates of tax in assessing taxpayers because it does not use flat rates. This means that each taxpayer is taxed in proportion to his/her earnings i.e. the more you earn, the more you pay (Pay As You Earn). Those with less income are charged less tax.

CHAPTER 8

TAXATION OF PARTNERSHIPS

A partnership is not regarded as a taxpayer for the purpose of tax.

In terms of section 10(2) of the Income Tax Act, partnership income is deemed to be income of individual partners shared in their profit sharing ratios at the end of the tax year, accounting year or when there is a resignation or death of a partner.

Therefore tax is charged on the partners' income in their individual capacities.

The partners pay tax on their earnings from the partnerships @ 25% + 3% AIDS Levy i.e. income from trade or investment.

8.1 Taxation

The normal way of coming up with the taxable income of a company is used to come up with a joint partnership taxable income.

This income is therefore shared among partners in their profit sharing ratios.

Procedure

1) Adjust the income statement the tax way i.e. Add disallowable deductions, less exemptions and less allowable deductions.
2) Share the profit/loss using the profit/loss sharing ratios.
3) Open current accounts for each partner where their incomes are credited and allowable deductions debited.
4) Tax each partner's taxable income @ 25% +3% AIDS Levy

8.2. Adjustment of the Income Statement

1) Partners' private expenses charged to the income statement

e.g. school fees for children

- ✓ Allow the expenses in the income statement and to the partner concerned, credit him/her as income.

2) Insurance premiums for:

a) Business assets e.g. motor vehicles, stock and buildings

- ✓ Allow the expenses in the income statement

b) Partner's personal insurance policies

- ✓ Allow the expense in the income statement and credit the partner concerned as income.

c) Joint life Policy or Partnership Survivorship Policy

- ✓ Disallow the expense in the income statement
- ✓ No income is credited to partners

d) Partners who cede/ give up their policies to the business

- ✓ This means that the business becomes the beneficiary on the policy, in such a case disallow the premium in the income statement.

3) Medical expenses of partners

- ✓ Allow the expense in the income statement and credit the concerned partner as income.
- ✓ The partner is going to receive a credit of 50% on the same.

4) Salaries of partners

- ✓ Allow as a business expense in the hands of the partnership and credit the partners as income.

5) Pension contributions paid by the partnership

- ✓ Allow it as a business expense in the hands of the partnership up to $5400/annum and credit the partner concerned as income.
- ✓ Allow it as a deduction in the hands of the individual partner

6) Interest on capital accounts

- ✓ Allow as a business expense in the hands of the partnership and credit the partner on amounts received.

7) Recoupment on admittance of a new partner/revaluation of assets

- ✓ Calculate recoupment in the normal way and share it among the partners who existed at the time of the transaction.

8) Partnership assets used by partners on private business

- ✓ If the partner usage exceeds 10% on private business, then such an asset is not granted SIA, even if there is an election.
- ✓ The asset will then be granted Wear and tear with only the business element of the Wear and Tear being charged to the Income statement.
- ✓ The private element of the wear and tear is credited to the partner concerned as income.

Example

A desk was bought by the partnership for US$650 in 2010. One of the partners used the desk 15% private.

Required:

Calculate the amount to be charged to the Income Statement if SIA is elected and show the Income Tax Value (ITV) as at 31 December 2010.

Solution	$
Cost of asset	650.00
Wear and Tear for business (650X 85% x 10%)	55.25
ITV	594, 75

SIA is not granted because one partner uses the desk more than 10% for private purposes.

Wear and Tear @ 10%	65, 00
Charged to the income Statement	55, 25
Income to the partner using the asset	9, 75

9) Drawings

- ✓ If they are included in the income statement disallow the amounts as a business expense in the hands of the partnership and no amount is credited to any partner as income.
- ✓ If the amounts are mentioned but excluded from the accounts credit the partners concerned as in

8.3 Progress Questions

1) Chamboko and Khumalo are legal practitioners operating in Harare. Their profit sharing ratio is 3:2 respectively. The partnership's business activities for the year ended 31 December 2010 were as follows.

	US$	US$
Revenue		55 680
Cost of Revenue		(36 900)
Gross profit		18 780
Rental income from a joint owned property in USA		600
Interest received from a commercial bank		58
Bad debt recovered		750
		20 188
Less expense		
Salaries-staff	4 000	
-Chamboko	3 000	
-Khumalo	3 500	
Depreciation	790	
Advertising	300	
Bad debts	80	
Dividends declared	2 000	
Joint life policy	100	
Subscriptions to Law Society of Zimbabwe:		
- Chamboko	150	
- Khumalo	150	
Rent, rates and electricity	110	
General expenses	230	
Subscriptions to Golf Club-Chamboko	100	

	- Khumalo	130
Medical aid contributions- Chamboko		360
	- Khumalo	300
Pension contributions- Chamboko		240
	- Khumalo	180
Net revenue		(15 720) 4 468

Additional Information:

i. Part of the general expenses of $US150 was a penalty paid to ZIMRA for late remittance of Value Added Tax.

ii. Drawings made by the partners: Chamboko US$1900; Khumalo US$2300

iii. Fixed assets at hand as at 1January 2010 were as follows:

	Cost	ITV
Office furniture	600	150
Office Equipment	1 500	150
2 Nissan Hard body Twin cabs for partners (2700cc)	20 000	4 000

Required:

1a) Compute the joint partnership's taxable income for the year ended 31 December 2010. [18]

2b) Compute the minimum tax payable by each partner for the year ended 31 December 2010 [12]

Total [30 marks]

3a) Explain the tax implications of admitting a new partner into an existing partnership. [3]

3b) Why is partnership income not taxable in the hands of the partnership itself?[2]

2 Indigenous and Empowerment trade in partnership as Indem Investments in Bulawayo, Zimbabwe. They manufacture high quality household and office furniture and exporting 50% of their products to countries in the SADC region.

You are presented with the following information relating to their partnership business for the year ended 31 December 2011:

	US$	**US$**
Income		
Gross profit		1 500 000
Unrealised exchange gains		3 000
Kingdom Bank interest received		4 500
Profit on disposal		300
		1 507 800
Expenditure		
Salaries and wages	300 000	
Depreciation	45 000	
Registration of patent	1 000	
Joint partnership life policy	6 000	
Insurance of business assets	15 000	
School fees for children – Indigenous	5 000	
- Empowerment	6 000	
Medical aid contributions – Staff	6 580	
- Indigenous	1 200	
- Empowerment	1 320	
Repairs	200 000	
Donations	10 000	

Advertising on DSTV	25 000	
General expenses	150 000	
Rent and rates	100 000	
Water and electricity	39 000	(911 100)
Net profit		596 700

Notes

1) Salaries and wages comprised the following:
   - Indigenous 60 000
   - Empowerment 60 000
   - General staff 150 000
   - Contract workers wages 30 000

2) Repairs were made up of the following:
   - Extension of warehouse for finished goods 70 000
   - Replacement of worn out machinery 65 000
   - Consultant's fees for servicing of machinery 35 000
   - Pre-payments to suppliers of equipment maintenance services 30 000

3) Donations were made to the 12th ZANU PF People's Congress held in Mutare.

4) General expenses comprised the following:

   Penalty for late payment of VAT 3 000

   Pension contributions – staff 15 000

   - Indigenous 66 000
   - Empowerment 66 000

5) The profit on disposal was realized from the sale of equipment for $ 700. It was initially purchased for $ 1 000 and its I.T.V at the time of sale was $ 400.

6) The partnership profit sharing ratio is 4:5 respectively.

Required:

Calculate each partner's taxable income for the year ended 31 December 2011.

-

SUGGESTED SOLUTIONS

1a) Computation of Chamboko and Khumalo joint partnership's taxable income for the year ended 31 December 2010.

	US$	US$
Net profit as per accounts		4 468
Add disallowable deductions		
Salaries –staff	----	
-Chamboko	----	
-Khumalo	----	
Depreciation	790	
Advertising	-----	
Bad debts	-----	
Dividends declared	2 000	
Joint life policy	100	
Subscriptions to Law Society of Zimbabwe:		
Chamboko	----	
Khumalo	----	
Rent rates and electricity	-----	
General expenses-ZIMRA Penalty	150	
Subscriptions to Golf Club-Chamboko	----	
-Khumalo	-----	
Medical aid contributions -Chamboko	------	
-Khumalo	-----	

Pension contributions -Chamboko	-----	
-Khumalo	-----	3 270
		7 738
	600	
	58	

Less Exemptions

Rental income from a joint property (source outside Zimbabwe)

Interest received from a commercial bank

Bad debts recovered

Less allowable deductions

Capital allowances (refer working 1)

Joint Taxable Income

Working 1- Capital Allowances Schedule

Asset	Office Furniture	Office Equipment	Motor Vehicles	Total
Cost	600	1 500	20 000	
ITV as @ 1/01/10	150	150	4 000	
Accelerating Wear and Tear @ 25%	150	---	---	150
Wear and Tear	-----	15	800	815
ITV as at 31/12/10	---	135	3 200	
Total				965

b) Computation of the minimum tax payable by Chamboko and Khumalo for the year ended 31 December 2010

Income	Chamboko	Khumalo
Share of profits	3 669	2 446
Salary	3 000	3 500
Subscriptions to Golf Club	100	130
Medical aid contributions	300	360
Pension contributions	240	180
Drawings	1 900	2 300
Motoring benefits	880	880
Rental income from USA (source outside Zimbabwe)	---	---
Subscription to Law Society of Zimbabwe	150	150
	10 239	9 946
Less deductions		
Subscriptions to Law Society of Zimbabwe	(150)	(150)
Pension Contributions	(240)	(180)
Taxable Income	9 849	9 616
Therefore tax @ 25%	2 462	2 404
Less medical aid credit (50%)	(180)	(150)
	2 282	2 254
Add 3% AIDS Levy	68	68
Total Tax Payable	2 350	2 322

US$	US$
	596 700

Calculation of Indem Investments' taxable income for the year ended 31 December 2011

Net profit as per accounts		
Add disallowable deductions		
Salaries and wages	60 600	
Depreciation	60 600	
Registration of patent	----	
Joint partnership life policy	----	351 200
Insurance for business assets		947 900
School fees for children – Indigenous		300
- Empowerment		948 200
Medical aid contributions – staff		
- Indigenous		
- Empowerment		
Repairs – warehouse extension		
- Machinery replacement		
- Consultant's service fees		
- Supplier pre-payments		
Donations – ZANU PF people's conference		
Advertising on DSTV		
General expenses: -VAT penalty		
- Pension contributions – staff		

- Indigenous (66 000- 5 400)

- Empowerment (66 000- 5 400)

Rent and rates

Water and electricity

Add recoupment (refer working 2)

<u>Less exemptions</u>

Unrealized exchange gains

Kingdom bank interest

Profit on disposal

<u>Less allowable deductions</u>

Capital allowances (refer working 1)

Advertising on DSTV (export market development)

Taxable Income

Calculation of Indigenous and empowerment's taxable income for the year ended 31 December 2011.

	Indigenous		Empowerment	
	US$	**US$**	**US$**	**US$**
Share of profits (refer working 3)		402 400		503 000
Salaries		60 000		60 000
Children's school fees		5 000		6 000
Medical aid contributions		1 200		1 320
Pension contributions		66 000		66 000
		481 800		570 320
Less allowable deductions				
Pension contributions		(5 400)		(5 400)
Taxable Income		476 400		564 920

Working 1

Capital allowances schedule

	Warehouse extension	Replaced machinery	Total
Cost	70 000	65 000	

Rate of wear and tear	5%	10%	
Wear and tear	3 500	6 500	10 000
Income tax value	66 500	58 500	
Total			10 000

Working 2 –Calculation of recoupment

Ordinary recoupment = Cost – Income Tax Value (I.T.V)

Potential recoupment = Selling price – I.T.V

Ordinary recoupment : 1 000 – 400 = 600

Potential recoupment: 700 – 400 = 300

Therefore recoupment = 300

Working 3 – Share of profits

Profit (taxable income) =905 400

Indigenous: 905 400 X 4/9 = 402 400

Empowerment: 905 400 X 5/9 = 503 000

3a)

- On admittance of a new partner the existing partnership is rendered dissolved. Therefore a tax assessment has to be done,
- The resultant amount is to be shared among partners of the old partnership as income using their profit sharing ratios.

3b)

- According to Section 10(2) of the Income Tax Act, partnership income is deemed to be income of the concerned partners in their individual capacities.

- According to the Companies Act a partnership is not a legal persona, therefore it does not have the rights of a legal entity.
- Thus it cannot pay taxes and its liabilities are transferred to partners, in their individual capacities.

CHAPTER 9

TAXATION OF MINERS (5TH SCHEDULE)

A miner is any person (company, individual, trust) involved in the extraction of minerals from the earth's crust and, or is involved in mining activities e.g. refining and extraction.

Minerals exclude petroleum, ordinary clay, sand and stone. Limestone, fire clay and basic minerals such as chrome, gold, iron, platinum and diamonds are recognized as minerals.

Miners pay tax @ 25% and they are not subject to AIDS Levy. Mining is a business and therefore the income statement must be produced and submitted to the Commissioner. In mining there are no capital allowances i.e. there is no SIA and Wear and Tear granted on mining assets. Instead, capital redemption allowance (CRA) is granted on mining assets purchased or constructed and actually used for business during the tax year.

9.1 Capital Expenditure (5th Schedule Paragraph 1)

- Any mine assets purchased or constructed are known as capital expenditure.
- CRA is granted on capital expenditure, not on individual assets.
- Therefore in mining, there is no way that an individual asset's ITV can be determined after the first year because CRA is granted on total capital expenditure and not on individual assets.
- The capital expenditure carried forward from the previous year and which remains unclaimed is known as unredeemed capital expenditure balance (UCEB).

Capital expenditure includes the following:

1) All mine buildings; furniture, fixtures and fittings, tools and equipment; plant and machinery.
2) Commercial buildings e.g. bulldozers, delivery vans, staff buses etc
3) Passenger motor vehicles (maximum cost US$10 000/unit)
4) Shaft sinking (amount spent in drilling the shaft)
5) Mine hospitals, clinics, nursing homes and schools.

These are recognised as mine assets if more than 50% of the users come from the mine, either as employees, their children or dependents. The maximum cost of each unit must not exceed $50 000.

6) Pre-production costs on preliminary surveys, boreholes, development costs, general administration and management including any interest payable on loans utilized for mining purposes.

NB: ***The cost of land, where the mine is situated is known as the mining claim. Land is not listed under capital expenditure as it is not granted CRA and therefore as in accounting land is not depreciated***.

7) Staff housing

In mining there is no maximum cost restriction on staff houses i.e. as long as the house is being used to accommodate an employee, then it is a mine asset.

Employee staff houses (mine workers, managers and directors)

Whatever amount is spent on the staff house would be considered as capital expenditure, the whole amount.

Teaching and nursing houses

- Expenditure on permanent building used as a dwelling by staff at a mine school, hospital ,nursing home or clinic is restricted to a maximum of US$50 000.

9.2 Capital Redemption Allowance

There are 3 methods of calculating CRA of which a taxpayer has to choose one.

9.2.1 Life of Mine Basis (5th Schedule Paragraph 2)

Under this method CRA is found as follows:

$$\frac{\text{Total capital expenditure}}{\text{life of mine estimate}}$$

If a miner does not make an election he automatically gets this method because it offers minimum allowances.

9.2.2 Life of Mine Estimate

This is an estimate of ore reserves as certified by an expert. The estimate should be submitted to ZIMRA at the **beginning** of each year.

NB: The life of mine estimate should not exceed:

a) Iron mine 5 years

b) Zinc or lead mine 10 years

c) Any other mine 20 years

9.2.3 New Mine Basis (5th Schedule Paragraph 4 (4)).

This method is only granted on election and it offers maximum allowances. It is granted to new mines or those which closed down and have now reopened or any change in shareholding with substantial new developments and new plant.

Under this method CRA is 100% of total capital expenditure. This is the maximum deduction.

9.2.4 Mixed Basis (5th Schedule Paragraph 4(2))

This method is also granted on election. Under this method CRA is found as follows:

$$\frac{\text{Preproduction Capital expenditure/UCEB less recoupment}}{\text{Life of mine estimate}} + \text{Current capital expenditure}$$

UCEB-Unredeemed Capital Expenditure Balance

9.3 Sale of Mine Assets

Any amount realized from the sale of mine assets is a recoupment. This recoupment is subtracted from UCEB amount i.e. it is not income in the income statement, as it is used to reduce the UCEB amount and if still possible the current capital expenditure amount. This is done before CRA is calculated.

NB: The original cost of the asset is not relevant at all.

9.4 Ring Fencing

In mining there is a concept of ring fencing, which means that, each mine is assessed individually i.e. each mine must produce its own books of accounts.

***NB**: Mining losses are carried forward indefinitely i.e. until that mine makes a profit in future.*

9.5 Replacement Allowance

If a miner replaces/renews mine buildings, works or equipment and in the process spends US$10 000 or less, then such expenditure shall, on election be treated as a normal business expense in the income statement, rather than as capital expenditure.

The same also applies on renewal or replacement expenditure on buildings, works or equipment where the mine is owned, tributed, or leased by a company under the control of not more than 4 individuals, the amount should not exceed US$4 000.

9.6 Thin Capitalization

This is a limit placed on deductibility of interest and management fees. This is interest arising from a debt incurred by the subsidiary from its foreign head office. Management and administration fees should be in respect of services provided to subsidiary by its foreign parent company. The disallowed amount is deemed to be dividends for the purposes of withholding taxes.

Interest

The deductible interest is limited to that obtained on a debt to equity ratio of 3 : 1.

General administration and management fees

The allowable amount on such expenses incurred before the commencement of mining operations is calculated as follows:

0.75% of A- (B+C)

A- Total allowable deductions

B – General administration and management fees paid outside Zimbabwe

C – Capital Redemption Allowance

The allowable amount after commencement of operations is:

1% of A- (B+C)

9.7 Sale of Mining Claims (Section 9)

Where a miner disposes of mining claims the intention of the taxpayer when the mining claims were initially acquired must be known for tax purposes.

If the intention was to mine or maybe mining was done such a disposal is charged Capital Gains Tax, i.e. sale of a specified asset.

If there was never an intention to mine:

Such a disposal is taxed under the Income Tax Act (a dealer or speculator) as income from trade or investment.

NB on election, the profit realized shall be spread over 4 years

NB With effect from 1 January 2010 the option to spread income over a period of 4 years was removed. Thus, income earned from the sale of mining claims will be taxable in the year of disposal in full.

This has been necessitated by a need to encourage utilization rather than disposal of mining claims.

9.7 Additional Mining Deductions (Section 15(2) f)

The following items are normal business expenses to a miner if they are incurred once production has commenced:

a) Preliminary surveys

b) Drilling of boreholes, trenches and pits

c) Any exploratory works

d) Administration expenses

NB If the above items are incurred before production has commenced, they constitute capital expenditure.

e) Prospecting expenditure – these are costs incurred in the unsuccessful search of minerals.

This is always a normal business expense in the income statement.

9.8 Progress Questions

1) Chikorokoza Chapera Mining Corporation is a diamond mining company operating a mine in the Chiadzwa area of Mutare. In support of its return it submitted the following information for the year ended 31 December 2010.

	US$	**US$**
Income		
Operating income		300 000
Profit on disposal		200
Operating expenditure		
Shaft sinking	2 000	
Development costs	500	
Boreholes, trenches and pits	1 500	
Purchase of mining claims	110 000	
Salaries and wages	20 000	
Crushing and milling	8 000	
Administration costs	15 000	
Depreciation of fixed property	900	
Goodwill written off	7 500	
General expenses	10 000	(175 400)
Net Operating Income		124 800

Additional Information:

i) The machinery disposed of was purchased in 2008 for US$500.

ii) Included in administration costs are:

- Penalty for late payment of tax $1 000

- Company formation expenses written off $6 000

iii) Included in general expenses are:

-Water reconnection fees US$500

-Tax consultation fees US$2 000

-Preparation of financial statements and audit fees US$5 000

iv) During the year the following expenditure was also incurred:

Office buildings constructed	55 000
Mercedes Benz S500 purchased	20 000
Mine Equipment	10 000
Prospecting and exploratory works	5 000
	90 000

v) The balance of capital expenditure from last year was US$45 000

vi) The estimated life of the mine at the end of 2010 was 8 years.

Required:

Calculate the company's tax liability by granting CRA in terms of paragraph 4 (2) of the 5th Schedule to the Income Tax Act for the assessment year ended 31 December 2010. (30 marks]

2a) Miners enjoy better tax incentives than other general taxpayers. Explain [10]

Suggested Solutions

1) Computation of Chikorokoza Chapera Mining Corporation's minimum tax payable/ maximum assessed loss for the year ended 31 December 2010

	US$	US$
Net Income as per accounts		124 800
Add disallowable deductions		
Shaft sinking	2 000	
Development costs	500	
Borehole trenches and pits	---	
Purchase of mining claims	110 000	
Salaries and wages	---	
Crushing and milling	---	
Admin costs-late payment of tax	1 000	
-company formation expenses	6 000	
Depreciation	9 000	
Goodwill written off	7 500	
General Expenses-water reconnection fees	---	
-tax consultation fees	2 000	
-financial statements and audits	---	129 900
		254 700
Less exemptions		
Operating income	---	
Profit on disposal	200	(200)
		254 500
	5 000	
	82 422	(87 422)
		167 078

Less allowable deductions

Prospecting and exploratory works

Capital Redemption Allowance (refer working 2)

Taxable Income

Therefore tax @ 25%

Total Tax Payable

Working 1- Assets ranking for redemption

Unredeemed capital Expenditure balance		45 000
Less recoupment		(700)
		44 300
Office buildings	55 000	
Shaft sinking	2 000	
Mercedes Benz (deemed cost)	10 000	
Development costs	500	
Mine equipment	10 000	77 500
Total Capital Expenditure		121 800

Working 2

Calculation of Capital Redemption Allowance using the mixed basis (Paragraph 4(2) of the 5th Schedule)

Unredeemed capital expenditure balance- recoupment + Current capital

Life of mine estimate expenditure

$\frac{45\,000 - 700}{9} + 77\,500$

$= 82\,422$

2a) Advantages of miners over general taxpayers:

- Mining losses are carried forward indefinitely whilst; other companies cannot carry forward losses for more than 6 years.

- The cost of staff housing in mining is not limited, but for other companies it is limited to US$25 000.

- On sale of mining claims miners can elect to spread the income over 4 years (i.e. prior to 1 January 2010)

- Recoupment in mining is not taxed, but to other taxpayers it is treated as income, therefore taxable.

- Miners are not granted either SIA or Wear and Tear, instead they are granted Capital Redemption Allowance which on election results in minimum tax liability or even assessed losses, and thus tax liability is lesser to miners than other companies.

- Miners enjoy a replacement allowance on renewal/replacement expenditure on buildings, works or equipment, which reduces their tax liability.

CHAPTER 10
CAPITAL GAINS TAX (CGT Act 23:01)

Capital Gains Tax is administered under the Capital Gains Tax Act Chapter 23:01.

The Act commenced operation with effect from 1 August 1981.

Capital Gains Tax is levied on non-traders who sell their specified assets i.e. they are not dealers in specified assets, but would have acquired a specified asset as an investment.

Specified asset refers to:

i. ***Immovable property-*** this includes houses, commercial buildings, industrial buildings and land.

ii. ***Marketable securities*** - these are bonds capable of being sold in a market share e.g. shares, bond certificates, loan certificates.

NB Specified assets do not include assets like goodwill.

10.1 Gross Capital Amount

This refers to the selling price of a specified asset. If the amount is not stated but a sale has occurred, then the Gross Capital Amount has to be deemed e.g.

a) Donation of specified assets – in such a case the fair market value becomes the selling price.

b) Expropriation/compulsory acquisition – the compensation received is the selling price

c) Properties sold by court order – the amount received on the auction date is the selling price.

d) Maturity or redemption of a specified asset- redemption or maturity value is used as the selling price.

e) Transfer of rights to a specified asset under a deed of sale- the transfer value of the specified asset.

f) Damage or destruction of a specified asset – the compensation received is used as the selling price.

10.2 Damage to/Destruction of Specified Assets

When a specified asset is damaged / destroyed and the owner receives compensation, then such compensation is deemed to be the gross capital amount (selling price). However if part or the whole compensation is used within 2 tax years i.e. before the end of the next assessment year, to reconstruct/replace the damaged asset, then such amount so spent is subtracted from the deemed selling price.

NB: On the sale of a specified asset, if a capital loss is realized, then no tax is charged, and this loss is carried forward indefinitely i.e. until the taxpayer sells another specified asset and realizes a capital gain.

10.3 Capital Amount

This is Gross Capital Amount less Exemptions.

10.4 Source of Capital Amount

The source should be from Zimbabwe, no deemed source is applicable where capital gains is concerned.

10.5 Sale of Assets which were granted Capital Allowances

When business assets (Commercial buildings, industrial buildings, staff houses) are sold , then the capital allowances (SIA & W&T) previously granted become income in the income statement (the full amount) in the year of disposal.

The recoupment is calculated the normal way and it is taxed @25%+3% AIDS Levy.

For capital gains tax purposes, this recoupment is subtracted from the gross capital amount as an exemption.

Furthermore the same amount is deducted from the total of allowable deductions before any tax can be levied.

10.6 Exemptions (Section 10)

These are amounts which are free from capital gains tax:

1. Capital amount received or accruing to an executor in the distribution of an estate.

2. Sale of marketable securities by government, local authorities, statutory corporations, churches or pension funds.

3. Sale of marketable securities by persons over the age of 55 years up to US$1800-00 per annum.

4. Sale of immovable assets by any of the following:

- Insurance company, Industrial park developer, licensed investor in an Export Processing Zone (EPZ)

5. Sale of shares in the Infrastructural Development Bank of Zimbabwe by a non-resident organization.

6. Sale of immovable assets by a petroleum operator to another approved by the Minister of Energy.

7. The main residence in a deceased estate.

8. Proceeds accruing to organizations listed in paragraphs 1,2 and 3 of the Third Schedule to the Income Tax Act 23:06 e.g. RBZ

10.7 Allowable Deductions (Section 11)

These are expenses which have to be subtracted from the capital amount before tax can be calculated.

1. Cost of acquiring a specified asset or cost of construction.

2. The deemed cost of purchase i.e. when a specified asset was inherited or received as a donation – the cost must be specified by the Master of the High Court.

3) The cost of any additions/ improvements done on the property.

NB If the above amounts were incurred in Zimbabwean currency, then these amounts are to be converted to US dollars in accordance with the formula prescribed by the minister by notice in a statutory instrument.

4. Any interest paid on mortgage when the property was acquired.

5. Any direct selling expenses, such as cost of advertising, estate agents commission, lawyers' conveyance fees etc

6. Bad debts

These are bad debts resulting from the sale of a previous property where capital gains tax was calculated and these must be irrecoverable.

7. High Court and Supreme Court costs

Where a taxpayer is not satisfied with the Commissioner's decision and takes him to court, he may have the costs incurred in contesting the successful appeal as deductible under this section provided the court so directs.

8. ***Inflation Allowance***

It is granted on the cost of a specified asset and improvements done to it.

It is granted for each assessment year the asset was held. It is 2,5% on the cost or on cost of additions of a specified asset.

If the amounts were incurred in Zimbabwean currency they have to be converted to US dollars in accordance with a prescribed formula.

10.8 Rates of Tax

	Capital Gains Withholding Tax	CG TAX
Sale of immovable property	1 5%	20%
Sale of principal private residence(ppr)	15%	20%
Sale of PPR by a 55 year old or more	0%	0%
Sale of immovable property acquired prior to 1 February 2009 and sold after 1 February 2009 (final tax)	5% of capital amount	0%
Sale of listed marketable securities before 1 February 2009	5%	20%
Sale of listed marketable securities acquired after 1 February 2009 (final tax)	1% of capital amount	0%
Sale of unlisted marketable securities before 1 February 2009	5%	20%
Sale of unlisted marketable securities acquired prior to 1 February 2009 and sold after 1 February 2009 (final tax)	5% of capital amount	0%

NB: With effect from the year of assessment beginning on the 1st of January 2009, depositaries or agents are required to withhold tax and remit it to ZIMRA within 3 working days.

Failure by depositaries or agents to withhold tax will require the payee to pay tax not withheld within 3 working days.

10.9 Capital Gains Tax Clearance Certificate Requirements

All depositaries/agents are required to withhold capital gains withholding tax from all sales of specified assets sold through them.

Depositary includes conveyance, legal practitioner, estate agent, and building society, Sheriff or Master of the High Court, stockbroker or financial institution.

The withholding tax is not a final tax as it is going to be deducted from the actual capital gains tax payable when an assessment is made.

Documents required when applying for a CGT Clearance Certificate are:

- ✓ Completed CGT 1 form
- ✓ Agreement of sale for the property in question
- ✓ Deed of transfer/title deeds for the specified property
- ✓ Receipt for payment of CGT/Withholding Tax
- ✓ Receipts as proof of expenditure incurred on additions, alterations and improvements to the specified asset

10.10 Circumstances Whereby Capital Gains Tax Can Be Deferred/ Postponed

1. Transfer of Assets

Under normal situations, on transfer of specified assets capital gains tax is chargeable; however the following situations will not provide a taxable scenario on **election**:

a) Where an asset is transferred by a holding company to its subsidiary in a scheme of reconstruction approved by the Commissioner.

b) Transfer of specified assets between spouses, where an election is made in terms of Section 16 of the Capital Gains Tax Act 23:01

- However if the specified asset is then resold to a third party, the spouse who last owned the asset is expected to pay tax, with calculations being based on the original value i.e. when the asset was initially acquired by the first spouse.

c) Transfer by an individual of a specified asset to a company in which he has a controlling shareholding stake.

d) When a foreign company converts to a local company or vice versa

e) When transfer of specified assets are done between companies under the same control.

f) Where there is an acquisition or a merger.

g) Transfer of residential property from a company to an approved employee housing trust fund.

NB This applies in an arrangement whereby the company finances and constructs houses for its employees on terms that will eventually allow employees to acquire ownership of their homes from the trust.

This is law came into effect from 1 September 2006 (Amendment of Section 8 Chapter 23:01 paragraph 2(b))

h) Where a private limited company converts to a public limited company or vice versa.

i) Where a private business corporation converts to a private limited company or public limited company or vice versa.

j) **Rollover relief**

This is deferment of tax which is restricted to:

i. Individuals selling their principal private residences (Section 21)

ii. Companies disposing of their immovable assets (Section 22)

In each case there must be an election for rollover relief.

10.11 Principal Private Residence (Section 21)

This is the main or sole residence of a taxpayer that was owned for a period of 4 years or more prior to selling.

This includes an area which does not exceed 2 hectares surrounding it and any other structures which are used in conjunction with the dwelling.

NB With effect from 1 January 2007 taxpayers are allowed to rollover capital gains tax on a stand.

When a PPR is disposed of there is an election for rollover relief that can be made by the taxpayer. The effect of the rollover relief election is that part of the capital gain (profit) made on the disposal of the PPR is not charged tax.

The requirements to qualify for election are:

1. Disposal of the PPR

2. Using the proceeds from the disposal to purchase/construct a new PPR within 2 assessment years i.e. before the end of the next tax year.

3. Making an election for rollover relief.

When an election for rollover relief has been made tax is charged on the amount calculated as follows:

$\frac{A \times CG}{GCA}$ where GCA = Gross Capital Amount

CG =Capital gain

A=amount not spent in acquiring the new PPR

If a capital loss has been realized, then no tax is charged, thus an election is not applied.
If a taxpayer tops-up or spends more money in acquiring the new PPR and the election for rollover relief has been made, then no calculations are done on the disposal of the old PPR. The extra amount spent by the taxpayer is considered to be an improvement when the new PPR is then sold in future.

10.12 Format of a Capital Gain / Loss Computation

	US$	US$
Gross Capital Amount		XX
Less exemptions (Section 10)		(XX)
Capital amount		XX
Less allowable deductions (Section 11)		
Cost of specified asset	XX	
Cost of improvements	XX	
Inflation allowance on cost of asset	XX	
Estate agents' commission	XX	(XX)
Capital Gain/Assessed Capital Loss		XX
Therefore Capital Gains Tax @ 20%		XX
Less Withholding Tax paid		(XX)
Total Tax Payable/Refundable		XX

10.13 Disposal of Specified Assets under Suspensive Sale Agreements

Where a specified asset is disposed of under a suspensive sale condition i.e. through an instalment credit agreement, then the suspensive sale allowance must also be granted as an additional deduction using the following formula:

$$\frac{D \times CG}{GCA}$$

where D= amount still owing from the buyer

CG = Capital Gain

GCA=Gross Capital Amount

The suspensive sale allowance for the current year is recouped the following year as income.

10.14 Progress Questions

1) Simon Dube is a Zimbabwean who had been forced by economic conditions in the country to sell his second house in Kwekwe. This was to facilitate his relocation to the United Kingdom the following year. He sold his house on 1 July 2012 for US$35 000 through a depository.

a) He had initially purchased his house on 1 February 2009 for $20 000.

b) In 2011 he built a durawall around his house to enhance security, all the costs amounted to $2 000.

c) Prior to selling on 25 June 2012 he painted his house to attract buyers for US$500

d) The agent's commission was 5% of selling price.

Required:

Calculate Simon Dube's capital gains tax payable for the tax year ended 31 December 2012. [15 marks]

2) Zuvarabuda (Pvt) Ltd submitted its capital gains tax returns for the year ended 31 December 2012 with the following information:

a) Details of the property sold:	Cost	ITV 01-01-2012
Warehouse (purchased 31 July 2009)	125 000	106 250
Stand (purchased 1March 2009)	25 000	25 000
Office block (purchased 28 August 2010)	250 000	237 500

b) The properties were sold on 15 October 2012.

c) The selling price of US$1 000 000 is payable in instalments as follows:

15 October 2012 deposit of US$500 000

15 October 2013 1st instalment US$250 000

15 October 2014 2nd instalment US$250 000

d) The selling price was allocated as follows:

Warehouse	US$300 000
Stand	US$100 000
Office block	US$600 000

e) As security for the seller, the transfer of ownership will only be affected upon payment of the last and final instalment.

f) Agents commission is 2, 5% of selling price

g) As a statutory requirement, withholding tax is withheld at a stipulated rate.

Required:

Compute the gains tax payable/assessed capital loss for the 3 years in question. [25 marks]

3a) In capital gains there are circumstances whereby the payment of tax can be deferred on election. Which are these? [10]

b) What are the tax implications of selling a PPR?

c) What are specified assets? [3] [17 marks]

Suggested Solutions

1) Computation of Simon Dube's Tax Payable for the tax year ended 31 December 2010

	US$	US$
Gross Capital Amount		35 000
Less exemptions		-------
Capital amount		35 000
Less Allowable Deductions		
Cost of the house	20 000	
Durawall	2 000	
Painting	500	
Agents Commission (35 000 X 5%)	1 750	
Inflation allowance on cost of house: 20 000 X 4 years X 2.5%	2 000	
Inflation Allowance on cost of Durawall: 2 000 X 2 years X 2,5%	100	
Inflation allowance on cost of painting: 500X 1 year X 2,5%	13	(26 363)
Capital Gain		8 637
Capital gains tax @20%		1 727
Less withholding tax @ 15% of selling price		(5 250)
Capital Gains Tax Refundable		(3 523)

2) Computation of Zuvarabuda (Pvt) Ltd's tax payable/ assessed loss for the tax year ended 31 December 2010

Original cost of property	US$
Warehouse	125 000
Office block	250 000
	375 000
Less ITV at date of disposal-warehouse	(106 250)

-office block	(237 500)
Recoupment	31250
Therefore Income Tax @ 25%	7 813
Add 3% AIDS Levy	234
Tax payable	8 047

	US$	**US$**
		1000 000
		(31 250)
		968 750
	125 000	
	25 000	
	250 000	
	25 000	
	12 500	
	2 500	
	18 750	
	(31 250)	(427 500)
		541 250

Computation of Zuvarabuda (Pvt) Ltd's Capital Gains Tax Payable/ Assessed Capital Loss for the year ended 31/12/12

Gross Capital Amount		
Less Exemptions- Recoupment		
Capital amount		
Less allowable deductions		
Cost of: Warehouse		
Stand		
Office block		
Agents of commission (1000 000 X 2, 5%)		
Inflation Allowance on: Warehouse (125 000 X 4 years X 2, 5%)		
-Stand (25 000 X 4 years X 2, 5%)		
-Office block (250 000 X 3 Years X 2, 5%)		
Less recoupment		
Potential Capital Gain		
Less suspensive Sale Allowance		
500 000 X 541 250		
1 000 000		
Capital Gain		
Therefore Capital Gains Tax @ 20%		
Withholding tax @15% of selling price		
Total Tax Refundable		

US $	**US $**
	------
	270 625

Computation of Zuvarabuda (Pvt) Ltd's Capital Gains Tax Payable/ Assessed Capital Loss for The Year ended 31 December 2013

Gross Capital Amount

Suspensive sale allowance from last year

Less S.S.A for this year

250 000X 541 250

1 000 000

Capital Gain

Therefore capital gains tax @ 20%

	US$	US$
Computation of Zuvarabuda (Pvt) Ltd's Capital Gains Tax Payable Assessed Capital Loss for The Year ended 31 December 2014		
Gross Capital Amount		-----
Suspensive allowance from last year		135 313
Less S.S.A for this year		
0 X 541 250		-----
1 000 000		135 313
Capital Gain		27 063
Therefore capital gains tax @ 20%		

***NB:* Capital Allowances previously granted on an asset that is being disposed of is a recoupment in the income statement and therefore it is charged tax @ 25% (rate of company tax on profits). Under capital gains tax this recoupment is subtracted as an exemption from the gross capital amount.**

The same amount is then deducted from the total of allowable deductions.

3a) To answer this question please refer to Chapter 10.6

3b) Tax implications of selling a PPR:

- When a taxpayer disposes of his principal private residence he can elect for rollover relief.

- The effect of rollover relief is that part of his capital gain on the disposal of the PPR is not charged tax.

- If a capital loss has been realized, then no tax is charged. If a taxpayer tops up in acquiring the new PPR and an election for rollover relief is made he does not pay tax on the disposal of the old PPR.

3c) A specified asset includes immovable property such as land and buildings, and marketable securities like shares and bonds. On disposal of specified assets capital gains tax is calculated on the capital gain realized.

CHAPTER 11

SUSPENSIVE SALES (SECTION 17 Income Tax Act)

Taxpayers who sell their goods on hire purchase i.e. movable goods e.g. household furniture, or through suspensive sales i.e. immovable property e.g. land and building are charged tax @ 25%+3% AIDS Levy i.e. rate of corporate tax.

This treatment is done where such a taxpayer is in the business of dealing in those items and ownership is only transferred upon full payment. The payment price is received in instalments (e.g. 24 months to pay) and according to the accruals or matching concept the income is declared in the year of sale in full.

Therefore this means that any instalments being paid by the buyer cannot be income in the year the agreement was concluded.

According to Section 17 of the Income Tax Act a Hire Purchase/Suspensive Sale allowance has to be granted to the seller as a deduction in the income statement. This is calculated as follows:

$\frac{D \times GP}{SP}$ where D= amount outstanding at the end of the year

GP=Gross profit

SP=selling price

<u>NB</u> This allowance is calculated each year until the buyer finishes paying off, meaning it's only D that changes in the above formula, each year.

Any allowance calculated this year is recouped next year as income.

11.1 Repossessions

Under suspensive sale or hire purchase agreements, the seller is entitled to repossess the sold goods if the buyer defaults in the payment of instalments. Such an agreement is cancelled under the law of contract and for tax purposes, calculations have to be done to close the transaction.

In the year the agreement is cancelled, the following steps are followed:

i. Add all the payments made by the buyer to the seller since the agreement started i.e. the deposit plus all the instalments paid to date.

ii. Add all the taxable incomes on that transaction since it started.

iii. Subtract the taxable incomes from the total payments made by the buyer to find the taxable income for the year in which the sale is cancelled.

11.2 Progress Questions

Question 1

Operation Garikai (Pvt) ltd acquired a piece of land with the intention of developing residential stands for resale. The land was subdivided into 50 stands.

Cost of land	US$ 20 000
Survey fees	US$ 1 500
Road and sewerage reticulation	US$ 9 500

30 Stands were sold on 28 February 2010 for US$15 000 each and 20 stands were sold in March 2011 for US$30 000 each on the following conditions of sale:

a) A deposit of 50% on signing the agreement.

b) The balance is payable with effect from the month of sale @ US $15 000/month, until full payment is made.

c) Interest @ 25% on all overdue accounts.

d) Ownership to be transferred upon full payment of the purchase price.

Administration expenses were as follows:

Year ended 31 December 2010	US$6 000
Year ended 31 December 2011	US$9 000
Year Ended 31 December 2012	US$10 000

Required :

Calculate the tax payable by the company for each of the years in question. (30 marks]

Question 2

Mwana Wevhu is in the business of buying and selling plots. He bought a plot for US$10 000 and sold it for US$40 000 on the following conditions of sale:

a) 25% deposit on signing the agreement.

b) The balance to be paid over a period of 3 years at US$10 000 /annum, commencing in the year the deposit is paid. He sold the plot in 2009(February).

In 2011 the buyer could not raise the annual instalment. He had, with the sellers' permission constructed a cottage on the plot. He negotiated that he finds a buyer for both the plot and the cottage. The property was resold for US$60 000 and the first purchaser paid US$6 000 for the cottage.

The second purchaser negotiated to pay for the plot under the terms of the original agreement which the seller accepted.

Required:

Calculate the taxable income in the hands of the seller for each of the three years in question. [18 marks]

Suggested Solutions

	US$
Cost of land	20 000
Survey fees	150
Road and sewerage reticulation	9 500
	31 000

Subdivided into 50 stands

	US$
Cost of each stand (31 000/50)	620
Selling price of each (30 stands)	15 000
Selling price of each (20 stands)	30 000

Calculation of outstanding amount for year ended 31/12/10

	$	$
Selling Price		450 000
Less payments		
Deposit (450 000X 50%)	225 000	
Monthly instalments (15 000 X11)	165 000	(390 000)
Outstanding amount		60 000

Calculation of outstanding amount for year ended 31 December 2011

	$	$
Selling Price of 20 stands (30 000 X 20)		600 000
Add outstanding amount from last year		60 000
Less payments		660 000
Deposit	300 000	
Monthly Instalments (15 000 X 10)	150 000	
Instalments for previous year sales (15 000 X 4)	60 000	(510 000)
Outstanding amount		150 000

Outstanding amount for the year ended 31 December 2012

Outstanding amount from last year	150 000
Less instalments (15 000 X 10)	(150 000)

US$	**US$**
	450 000
	(18 600)
	431 400
6 000	
57 520	(63 520)
	367 880
	91 970
	2 759
	94 729

Calculation of Operation Garikai (Pvt) Ltd's tax payable /assessed loss for the year ended 31 December 2010

Sale of 30 stands @ 50 000 each

Less cost of 30 stands @ 620 each

Gross Profit

Less Expenses

Administration

Suspensive Sale Allowance=D x GP

SP

=60 000X 431 400/450 000

Taxable income

Therefore Tax @ 25%

Add 3% AIDS Levy

Total Tax Payable

Calculation of Operation Garikai (Pvt) Ltd's tax payable for the year ended 31 December 2011

	US$	US$
Sale of 20 stands @ 30 000 each		600 000
Less cost of 20 stands @ 620 each		(12 400)
Gross Profit		587 600
Add suspensive sale allowance from last year		57 520
		645 120
Less Expenses		
Administration	9 000	
S.S.A=150 000X 587 600/600 000	146 900	(155 900)
Taxable Income		489 220
Therefore Tax @ 25%		122 305
Add 3% AIDS Levy		3 669
Total Tax Payable		125 974

Calculation of Operation Garikai (pvt) Ltd's tax payable for the year ended 31 December 2012

	US$	US$
Suspensive Sale Allowance from last year		146 900
Less expenses		
Administration	10 000	
S.S.A= 0 x 587 600/600 000		(10 000)
Taxable Income		136 900
Therefore tax @ 25%		34 225
Add 3% AIDS Levy		1 027
Total Tax Payable		35 252

2) **Computation of Mwana Wevhu's Taxable Income for the Year ended 31 December 2009**

	US$	**US$**
Sales of one plot		40 000
Less cost of Plot		(10000)
Gross profit		30 000
Less Suspensive Sale Allowance		(15 000)
20 000 X 30 0-00/40 000		15 000
Taxable Income		

Computation of Mwana Wevhu's Taxable Income for The year ended 31 December 2010

Suspensive Sale Allowance from last year	15 000
Less SSA for this year	
10 000 X 30 000/40 000	(7 500)
Taxable Income	7 500

Computation of Mwana Wevhu's Taxable Income for the year ended 31 December 2011 (Property repossessed)

		US$	US$
Total payments made by the buyer-deposit		10000	
	2009 Instalment	10000	
	2010 Instalment	10000	30 000
Less total taxable incomes	-2009	15 000	
	-2010	7 500	(22 000)
Taxable income			7 500

CHAPTER 12

VALUE ADDED TAX (VAT) (VAT ACT 23:12)

Value Added Tax (VAT) is an indirect tax levied on the supply of goods and services. It is also levied on the importation of goods and, under certain circumstances, on the importation of services.

It is administered by the Zimbabwe Revenue Authority (ZIMRA) under the VAT Act 23:12.

It was introduced in Zimbabwe on the 1st of January 2004, and had the effect of replacing the following forms of tax: Batting Tax, Sales Tax, Gaining Tax, Import Tax etc.

VAT, as an indirect tax, is levied on transactions rather than on persons.

VAT brings within its scope the widest range of goods and services supplied by registered operators in Zimbabwe.

VAT is collected at each stage in the production and distribution chain.

The liability to charge VAT will arise every time a transaction (supply) is carried out by registered operators and will not depend on the profitability or outcome of the transactions, as VAT is not a tax on profits or turn over.

Although VAT will be the legal liability of the registered operator, it will ultimately be passed onto the final consumer.

12.1 Rates of VAT

0% - This includes agricultural inputs, basic uncooked foodstuffs, animal feed, services provided to tourists, medicine on prescription etc

Exempt rate -Operators under this category are not allowed to charge VAT and if they do charge VAT, then the buyer is entitled to claim VAT refunds on any inputs they would have purchased. Examples are financial services, fuel, tobacco, medical services, transport of passengers by road and rail, long term residential leases, domestic water and electricity, but supplementary charges are levied etc.

15% -This is the standard rate for all other goods and services which are neither zero rated nor exempt.

12.2 VAT Registration (Section 23)

Any person can be registered for VAT as long as he meets the following:

a) Carries on or intends to carry on any trade (s) and

b) Whose taxable supplies exceed US$60 000 per annum and,

c) In the course of which taxable supplies (including zero-rated supplies) are made, must register for VAT.

12.2.1 Voluntary Registration

A person can apply for voluntary registration even if the total value of taxable supplies is less that the prescribed amount/annum.

***NB** If you are not a registered operator for VAT you cannot claim input tax deductions*.

The following may not register for VAT:

a) Private or recreational activities and hobbies.

b) Services by employee to employer.

c) Trading on exempt supplies.

***NB** Zero-rated supplies are taxable supplies.*

12.2.2 Compulsory Registration

If sales of taxable supplies exceeds US$60 000/annum.

12.2.3 Auctioneers and Motor Car Dealers

Registration is compulsory regardless of turnover.

12.2.4 Separate Registration

A registered operator may register separately any trades, branches or divisions carried on by him for VAT purposes.

***NB** With effect from 1January 2010 this measure has been repealed. This means that each taxpayer will account for all tax liabilities for his branches, divisions or trades using one account number.*

12.2.5 Cancellation of Registration (Section 24)

A registered operator may be deregistered if:

a) The value of his taxable supplies falls below the threshold i.e. where one was registered compulsorily.

b) Ceases to carry on any trade and will not commence within the next 12 months.

c) Failure to comply with requirements.

12.3 Tax Periods (Section 27)

These are the stipulated time periods of operators to submit their VAT returns to ZIMRA.

Operators are placed under 4 categories for VAT purposes as follows:

Category A

Operators under this category submit their VAT returns every 2 months.

They submit their returns at the end of January, March, May, July, September and November.

Category B

Operators under this category also submit their returns every 2 months.

They submit their returns at the end February, April, June, August, October and December.

Category C

Operators under this category submit their returns on a monthly basis.

This applies to large corporations with high turnover of US$240 000 and above per annum.

Operators under this category are also required to use VAT electronic fiscal registers to record taxable transactions/supplies.

There are three types of fiscal devices namely:

- Electronic cash register
- Electronic fiscal printer
- Electronic signature device

NB: On purchase of these a registered operator can claim 50% of the cost as input tax.

Category D

These operators would have sought permission from the Commissioner to have their tax period different from the above categories and it is mainly available to farmers and associations that would face undue hardships if they are placed in categories A, B and C.

The tax period in this category can be of any time frame.

NB: With effect from 1st January 2012, registered operators must furnish their VAT returns by the 25th of the following month.

12.3.1 The 10-Day Rule

Whilst the tax period normally ends on the last day of the month, there is provision for registered operators to adopt a date ending on a day other than the end of the month.

If a registered operator has an accounting cut-off or closing date within 10days before or after the end of the month in which the tax period ends, he may use that date as the last day for the tax period for his convenience.

12.4 Time of Supply (Section 8)

The general rule is that the earlier of an invoice being issued or payment received is the time of supply. However, the rule is varied in regard to the following:

a) Door to door credit agreement – on the day after the "cooling off" period allowed.

b) Lay-bye agreement – the time goods are delivered.

c) Rental agreement- the earlier of payment received or when payment becomes due.

d) Instalment credit agreement – the earlier of delivery or payment received.

e) Fixed property – Whenever the supplier receives any payment.

f) Fringe benefits – at the end of each month where the cash equivalent is required to be included in remuneration.

12.5 Deemed Supplies (Section 7)

a) Goods sold in satisfaction of a debt.

b) Cessation as a registered operator – any goods or rights forming part of the assets are deemed to be supplied by the registered operator. Time of supply is the day before he ceases to be a registered operator.

c) Credit agreements (door to door sale)

d) Lay-bye agreement. Applies to goods sold for less than the prescribed amount.

e) Payments made to a registered operator by local and public authorities in respect of making taxable supplies e.g. farming subsidies.

f) Transfer of goods or services to a branch /main business situated outside Zimbabwe and which is separately identifiable and maintains its own accounting system.

g) A person receiving money on a bet is deemed to supply a service to the punter.

h) The supply by a registered operator of goods/services where the goods/services were used partly for taxable supplies shall be deemed to be supplied wholly in the furtherance of a trade.

12.6.1 Accounting Basis (Section 14)

Registered operators must account for both cash and credit sales and cash and credit purchases using the **invoice (accruals) basis of accounting**.

Since VAT is an invoice based tax, all registered operators must account for VAT on the invoice basis, unless application has been made and permission granted from the Commissioner to use the payment basis.

Registered operators will account for VAT at the earlier of:

- The time an invoice is issued, or
- The time any payment is received by the supplier.

12.6.2 Payment Basis

The payment basis is only available to operators who have applied to the authority in writing. The payment basis (cash basis) uses the same time of supply rule mentioned above, but the operator only accounts for VAT on actual payments made and received in respect of taxable supplies during the period.

12.7 Output Tax

This is the VAT charged by a registered operator on sales of taxable supplies.

At the end of the VAT tax period, the operator will then reconcile the output tax against the input tax and settlement is then made with the Commissioner.

12.8 Input Tax (Section 15-16)

This is the VAT amount paid by a registered operator on purchase of goods and or services.

Any VAT charged to a registered operator on the supply to him or importation by him on any goods or services where those goods/services are acquired wholly or partly for the purpose of consumption, use or supply in the course of making taxable supplies will qualify as input tax.

12.8.1 Input Tax can be deducted on the purchase of:

- Trading stock
- Raw materials
- Manufacturing and administrative overheads
- Marketing expenditure
- Fixed assets
- Cleaning and security services
- Accounting and consultation services
- Electronic fiscal devices

Fiscal devices are zero-rated, however a registered operator is granted 50% of cost of the device as input tax.

NB A deduction of input tax can be made in respect of a supply only if the registered operator is in possession of:

A valid tax invoice which has been issued to him by the supplier (being a registered operator)

Sufficient records in respect of any non-taxable supply of second hand goods purchased or

A customs bill of entry or other prescribed customs document for any importation of goods or services on which tax has been paid

12.8.2 Denial of Input Tax

There are certain circumstances under which the input tax payable cannot be deducted by the registered operator, namely:

a) Goods or services acquired for purposes of entertainment.

b) Membership fees or subscriptions of clubs, associations or societies of a sporting social or recreational nature.

c) Medical services provided to persons under medical aid i.e. the medical scheme cannot claim any input tax on the medical services provided to its members.

d) The acquisition of non-commercial motor vehicles by a registered operator.

a**) Entertainment**

Examples are as follows:

- ✓ Staff refreshments such as tea, coffee and any other beverages and snacks.
- ✓ Food and other ingredients purchased in order to provide meals to staff, clients and business associates.
- ✓ Catering services acquired for staff canteens and dining rooms.
- ✓ Furniture and equipment and utensils used in kitchens.
- ✓ Christmas lunches and parties, including the hiring of venues.
- ✓ Gold days for customers and clients.
- ✓ Beverages, meals, other hospitality and entertainment supplied to customers and clients at product launches and other promotional events.
- ✓ Entertainment of customers and clients in restaurants, theatres and night clubs.
- ✓ Capital goods such as holiday houses, yachts and private aircraft used for entertainment.

Exceptions

The VAT Act does, however, provide for certain exceptions to this rule. These are:

- Registered operators in the business of supplying entertainment at a charge that at least covers the direct and indirect cost of providing the entertainment.
- Meals or refreshments supplied by operators of taxable passenger transport services, e.g. air transport where meals are provided.
- Meals or refreshments supplied by organizers of seminars and similar events, subject to the cost of being covered by entrance fees.

- Sporting or recreational facilities provided by local authorities and charitable organizations.

b) Motor Vehicles

A deduction of input tax may not be claimed by a registered operator in respect of the acquisition by him of a non-commercial motor vehicle, whether that acquisition was by way of purchase, importation/leasing, operating rental or casual hire.

Even if the vehicle is used exclusively for taxable supplies the VAT paid may still not be claimed as input tax.

Exceptions

- Registered operators who are motor vehicle dealers or operate a vehicle trade for the exclusive purpose of making direct taxable supplies of those motor vehicles in the ordinary course of their trade e.g. Avis, Hertz and Budget.
- Modification and installation of mobile phone kits.
- Repairs and maintenance i.e. general running costs of the motor vehicle making taxable supplies such as tyres, services etc
- Insurance

12.9 Calculating VAT

Output Tax – Input Tax = Tax Payable/Refundable.

The Tax element of most goods and services will be determined by applying the tax function as follows:

$\frac{r}{100+r}$ where r=the rate as a percentage of tax chargeable

Example

Bosso (Pvt) Ltd buys 20 replica H'langa jerseys from MAP Athletic Club for US$200 each. The price is exclusive of tax. It is Bosso's company policy to charge a 25% mark-up on such items when they are being resold.

Required:

Calculate the VAT payable by Bosso (Pvt) Ltd.

Solution

	US $
Cost of the items (200 X 20)	4 000
15% VAT (Input tax)	600
Purchase Price (Bosso)	4 600
Pricing for VAT	
4600 X r/ (100 +r) = 4600 X 15/115=	600
Purchase price before VAT	4 000
Add Mark up of 25%	1 000
Selling price before VAT	5 000
Add VAT @ 15% (Output tax)	750
Selling price after VAT	5 750
Therefore Tax Liability	
750 – 600	150

NB This is equal to 15% on value addition of $US1 000

Value added = 5 000 – 4 000 = 1 000

= 1 000X 15% = 150

Thus VAT is tax on value added.

US$	US$
	XX
	XX
	XX
	XX
	XX
	XX
XX	
XX	
XX	
XX	
XX	
XX	
XX	
XX	
XX	
XX	(XX)
	XX

Format for Calculating VAT

Output Tax

Capital Assets (Section 17(2))

Fringe benefits (Section 17(3))

Deemed supplies such as indemnity payments received (Section 7(7))

Credit note received- Recipient (Section 21(2) a)

Debit note issued – Supplier (Section 21 (3) b)

Less: Input Tax

Goods or services (excluding 0% and exempt supplies)

Second hands goods (Section 15(3) a (ii)

Imported goods (Section 15(2) d)

Credit note issued (Supplier)

Debit note received (Recipient)

Irrecoverable debt (Section 15(3) a (v))

Indemnity payment made (Section 15 (3) c)

Betting transactions (Section 15(3) c)

Tax invoice received late-now claimed (Section 15(3) f)

Recoupment of discount coupon accepted (Section 15(3) h)

Total Tax Payable/Refundable

12.10 Tax Invoices (Section 20)

Invoice – a document notifying an obligation to make a payment.

Tax invoice-a document provided as required by the Act to enable the registered operator to claim the input tax.

12.10.1 Features of a Tax invoice

- The words" TAX INVOICE" in a prominent place.
- Name and address of recipient.
- Individual serialized number and date of issue.
- Description of goods and, or services.
- Quantity or volume of goods or services supplied.
- Price of the supplied goods and services excluding VAT.
- The VAT amount charged and the rate of VAT.

NB: A registered operator is required to issue a tax invoice within 30 days from the date of supply but if the consideration in money does not exceed US$10 -00 a tax invoice is not required.

12.10.2 Copies of Tax Invoices

If a tax invoice is lost for a particular supply received, a copy may be obtained from the supplier provided the duplicate is clearly marked "Copy Only" by the supplier.

A facsimile (fax) of a tax invoice is not acceptable in any circumstances.

A copy sent by e-mail is also not acceptable.

12.11 Credit and Debit Notes (Section 21)

Credit notes are often issued by a supplier when the consideration for a supply is reduced.

Debit notes are also issued by the supplier when the consideration is subsequently increased.

The issue of a credit or debit note when a tax invoice has previously been issued is generally used to show the increase or decrease in tax on the supply.

This is to be done whether or not the supplier accounts for tax on an invoice or payment basis.

The issue of a credit note is not required when a settlement discount is the reason for the reduction in the reduction in the consideration, provided the terms of the discount are clearly shown on the tax invoice.

12.11.1 Requirements for Credit and Debit Notes

Credit and debit notes are required to be issued in one or more of the following circumstances:

-Cancellation of a supply of goods or services.

-Nature of that supply of goods or services has been fundamentally varied or altered.

-Previously agreed consideration for the supply of the goods or services being altered by agreement with the recipient.

-Part of or all goods or services are returned to the supplier.

-The supplier has issued a tax invoice and the tax charged is incorrect as a result of the above mentioned circumstances or

-The supplier has furnished a VAT return in which he accounted for the incorrect amount of output tax as a result of the above mentioned circumstances.

12.11.2 Features of Credit/Debit Notes

The features are almost the same as the details for a tax invoice, however the amount for the adjustment (including VAT) must also be reflected and it must refer to the original tax invoice which is going to be affected by the adjustment i.e. invoice date and number.

NB It must be noted that the consideration for a supply can only be altered by means of a debit or credit note. It is not correct practice to merely issue another tax invoice in the same way that it is an offence to issue more than one tax invoice for a supply.

The rule for reflecting the VAT in respect of debit and credit notes is as follows:

- Credit notes issued and debit notes received are to be reflected as input tax on the VAT return.
- Debit notes issued and credit notes received are to be reflected as output tax on the VAT return.

12.12 Importation of Goods (Section 12)

VAT is levied on the importation of goods into Zimbabwe by any person. The importer of goods is liable to pay the VAT levied on importation.

All goods imported into Zimbabwe will be taxed except, those exempted as prescribed and if the goods are destined for consignees outside Zimbabwe.

Goods are deemed to be imported on the date they are cleared through customs duty. The value to be placed on the importation is the value of goods for customs purposes plus any customs duty but excluding surtax levied in terms of the Customs and Excise Act.

This is calculated as follows:

Value for duty purposes	10 000
+ The customs duty payable, say 50%	5 000
Total value for VAT purposes	15 000
Total VAT payable (15 000 X 15%)	2 250

12.13 Importation of Services (Section 13)

VAT is levied and paid on the supply of any "imported services" as defined in Section 2 of the Act by any person on or after the fixed date. The VAT is payable by the recipient of the imported services.

Qualification of Imported Services

- ✓ The supply should be of services not goods.
- ✓ Made by a supplier who is not a resident of Zimbabwe who carries on business outside Zimbabwe.
- ✓ The supply concerned must be to a recipient who is a resident of Zimbabwe.
- ✓ Utilised or consumed in Zimbabwe otherwise than for making taxable supplies.

12.14 Exportation of Goods and Services

Generally exports are Zero-rated i.e. they are levied V.A.T at 0%. Exporters registered for VAT can claim input tax deductions on tax paid on purchases of goods and services used in making zero-rated supplies.

12.14.1 Zero-rating on exports apply to the following:

a) Goods supplied in terms of sale or instalment credit agreement and consigned or delivered to a customer in an export country.

b) Transfer of goods to and sales by independent branches in an export country.

c) International transport of passengers or goods.

d) Insurance related to international transport.

e) Transport of cargo on behalf of non-residents in Zimbabwe.

f) Services supplied in connection with immovable property situated in an export country.

12.14.2 Deferment of VAT

- VAT can be deferred on the importation of specified goods of a capital nature.

- The goods should have been imported for own use by the importer and the VAT amount to be deferred should be at least US$4 800.

-The deferment is for a period not exceeding 90 days from the date of the deemed importation.

- It is granted upon application to the Commissioner.

The following capital assets are examples of such:

- ✓ Prescribed plant and machinery used exclusively for mining purposes.
- ✓ Prescribed plant and machinery used exclusively for manufacturing and industrial purposes (excluding motor vehicles).
- ✓ Prescribed plant and machinery used exclusively for agricultural purposes.
- ✓ Prescribed plant and machinery used exclusively in the aviation industry.

12.15 Record Keeping (Section 57)

Records include, a registered operator's books of accounts or computer printouts, charts, codes of accounts, accounting instruction manuals and system and program documentation describing the accounting system.

A registered operator is required to keep records of all goods and services supplied by or to him.

Where the records are kept in book form e.g. sales journal, cashbook, and these records must be kept for a period of six years from the date of the last entry in that book.

Where not kept in book form e.g. tax invoices, deposit slips, they must be kept for a period of six years after the completion of the transaction, acts or operations to which they relate.

NB: Failure to keep proper records attracts US$400 or imprisonment for a period not exceeding 12 months or both.

A penalty not exceeding 10% of the taxpayer's taxable income is levied for failure to maintain proper books of accounts.

12.16 Penalties and Interest (Section 39)

There are 2 different ways of penalizing a registered operator:

- Penalty and interest for failure to pay tax when due and
- Additional tax in the case of evasion or causing a refund in excess of that properly refundable.

12.16.1 Penalty Rates

- 100% penalty on the due and payable amount of tax
- Additional Tax – It is an amount not exceeding 100% of the tax evaded, refunded in excess or chargeable. This amount is usually only levied in the case of fraud being identified. It is not subject to penalty of 100% as contemplated above, but is subject to interest at the prescribed rate.

NB: A penalty of US$ 30 for each day that VAT returns remain outstanding will be levied with effect from 01 January 2011.

Failure to fiscalise for operators under category C attracts a penalty not exceeding $25 per point of sale, for each day the taxpayer remains in default with effect from 1st January 2012.

12.16.2 Interest

It accrues each month on unpaid taxes with effect from the first day of the month in which the return is due. The effective rate is not subject to any ceiling i.e. no maximum limit and it is charged at the prescribed rate.

12.17 Objections and Appeals (Section 32, 33 and 34)

When can objections be made?

- If a taxpayer is dissatisfied with an assessment.
- Against decisions made by the Authority, such as cancellation of registration, refusal to authorize a refund etc.

12.17.1 Lodging an Objection (Section 32)

A valid objection has to meet the following:

a) Be made within 30 days after the date of the decision or assessment.

b) Be in writing

c) Specifying in detail the grounds upon which it is made.

12.17.2 Appeals (Section 33)

An appeal is only lodged if and when a person's objection was disallowed, within 30 days of the date of the notice.

An appeal can be made to the Fiscal Appeal Court or Supreme Court depending on the nature of the dispute.

12.18 Progress Questions

1) Operation Sunrise (Pvt) Ltd is a manufacturing company operating at Belmont Industrial area of Bulawayo. The company is a VAT registered operator under category C. The company is intending to submit its VAT returns on 10 March for the month ended 28 February 2010.

The following transactions took place within the tax period:

All prices exclude VAT, unless otherwise stated.

Purchases	US$
Mercedes Benz E270	75 000
Raw materials	35 000
Manufacturing equipment	49 000
Plant and machinery	90 000
	249 000
Sales	
Sales of finished products	250 000
Disposal of furniture	60 000
	310 000
Expenses	
Salaries	10 000
Marketing expenditure	7 500
Accounting and audit fees	5 000
Security services	4 500
Manufacturing overheads	15 000
Entertainment provided to customers at new product launch	6 000
Staff canteen equipment	19 000
	67 000

Additional Information:

i. The company is providing fringe benefits to its employees such as car benefits, cell phone and clothing allowances. The total value of these benefits to the company for the month in question was US$22 000.

ii. Due to price increases the company has been forced to issue debit notes to some of its customers worth US$30 000 excluding VAT.

iii. The company also received debit notes from its suppliers for US$15 500 including VAT.

iv. The company also issued credit notes in respect of returned goods for US$17 000, including VAT.

v. A tax invoice worth US$37 000 including VAT for the goods purchased in December 2009, has been just received and remained unclaimed.

vi. The company also purchased second hand equipment worth US$8000 including VAT.

vii. All goods and services provided by and supplied to the company are charged VAT at the standard rate.

Required:

Compute the company's VAT liability for the period of assessment in question. [25 marks]

2) In the following circumstances, explain whether input tax is claimable or not:

a) Christmas lunches for staff

b) Meals provided to staff, clients and business associates.

c) Modifications and installation costs after delivery of non- commercial motor vehicle.

d) Tax consultancy services provided to the company.

e) Goods acquired partly for making taxable supplies.

f) Medical services provided to a person under medical aid. The medical scheme is the one claiming input tax for these.

g) Sales of finished goods.

h) The company issued a debit note [10 marks]

US $	US $

Suggested Solutions

Computation of Operation Sunrise (Pvt) Ltd's VAT liability for the tax period ended 28 February 2010.

Output Tax	
Sales of finished goods	2 217
Disposal of furniture	4 826
Fringe benefits (22 000 X 15/115)	1 044
Debit notes issued	(41 009)
Total output Tax	12 861
Less Input Tax	
Mercedes Benz	
Raw materials	
Manufacturing Equipment	
Plant and machinery	
Salaries	
Marketing and expenditure	
Accounting and audit fees	
Security services	
Manufacturing overheads	
Entertainment	
Staff canteen equipment	
Debit notes received (15/115 X 15 500)	

Credit notes issued (15/115 X 17 000)

Tax invoice received late (15/115 X 37 000)

Second hand equipment (15/115 X 8000)

Total Tax Payable

2a) Christmas lunches for staff constitute entertainment expenses, therefore they are not claimable for input tax purposes.

b) Meals provided to staff, clients and business associates constitute entertainment expenses, therefore not claimable for input tax purposes.

c) Modifications and installation costs are claimable for input tax purposes as one of the exceptional cases.

d) Input tax can be claimed on tax consultancy costs.

e) A registered operator is required to apportion the full amount of VAT charged to determine input tax in the case of goods acquired partly for making taxable supplies. The input tax claimable is determined by applying the percentage of the intended use of the supplies to the full amount of VAT payable.

f) Medical and other benefit schemes are not registered for VAT in so far as the provisions of these benefits are concerned to their members. Consequently, no input tax may be claimed by these schemes on any medical and dental services incurred by the members, which are in turn submitted to the scheme/fund for payment.

g) Sales of finished goods are charged output tax, therefore cannot claim input tax.

h) A debit note issued by the company does not apply for input tax, but applies for output tax purposes.

CHAPTER 13

DECEASED ESTATES AND TRUSTS

13.1 Estate Duty

The estate duty is a tax which is levied and paid on behalf of deceased persons at a rate of between 2% - 20%.

It is administered by ZIMRA under the Estate Duty Act Chapter 23:03

According to this Act, the estate of any person includes:

- All property of the person at the time of his/her death which was acquired on or after 1 January 1981.
- All property which is deemed to belong to that person at the time of his/her death.
- A dutiable amount of the estate is deemed to exceed US$50 000.

13.2 Property

Any right in or to property in whatever manner described including:

- Movable or immovable property situated in Zimbabwe
- Any debt received which is secured on immovable property by a bond registered in Zimbabwe.
- Any stock or shares in a company and government securities within Zimbabwe.
- Any debt recoverable or right of action enforceable in the courts in Zimbabwe.
- Any property which is deemed to be property of the deceased.

13.3 Deemed property

This is property which is taken as if it belonged to the deceased person.

- Amount due and recoverable under a life assurance policy acquired when the deceased was ordinarily resident in Zimbabwe.
- Property donated by the deceased person within 5years prior to his/ her death i.e. *donatio mortis causa.* A donation made to a spouse under a registered ante-nuptial or post-nuptial contract is not a deemed property.

- Property which the deceased was competent to dispose of for his own benefit or for the benefit of his estate immediately prior to his death e.g. donating property to trust which the donor retains control over.

13.4 Value of Property in Estate

This is an amount arrived at through a bona fide purchase and sale in the course of liquidation of the deceased person's estate.

13.5 Executor

This is any person to whom letters of administration have been granted by the Master or Assistant Master of the High Court in respect of a deceased person's estate.

13.6 Administration and Distribution Account

This is the account required to be rendered by the executor to the Master or Assistant Master in accordance with the Administration of Estate Act 6:01.

13.7 Allowable Deductions

The amount payable in respect of estate duty is calculated by deducting the following items from the total value of property in the estate:

a) Funeral and death bed expenses of the deceased.

b) All debts due from the deceased person if ordinarily resident in Zimbabwe

c) The costs which have been allowed by the Master in the administration and liquidation of the estate.

d) The amount included in the total value of property which relates to property situated outside Zimbabwe acquired before the deceased person became ordinarily resident in Zimbabwe.

e) Any amount which has been bequeathed to charity or other worthy cause in terms of the deceased person's will.

f) Any amount included in the estate in respect of the value of books, pictures or other objects of art.

g) Any amount paid by the deceased person or his/her estate in respect of the Capital Gains Tax Act 23:01

13.8 Interest

Duty is payable within 30 days from the notified date of payment. Failure to that, interest shall be due and payable on the unpaid amount up to the date of payment. However, if the assessment of duty is delayed by more than 12 months from the date of death, interest shall be payable 12 months after this date on the net amount between the assessed amount and any deposit which was paid towards the duty.

13.9 Further Points Regarding Estates

a) Ascertained beneficiary

Where a specific asset is left to a specific individual, the individual is taxable on the income earned by that asset from the day of death. The individual is an ascertained beneficiary i.e. a person named or identified in the will that acquires an immediate certain right to claim the present or future enjoyment of the income arising from a particular asset in the estate.

b) Usufruct

It means giving a beneficiary a right to income but not to inheritance of the asset itself. Thus a father may leave an asset to his son but grant the widow a life usufruct and the estate being administered by an executor.

c) Assessed losses

Any assessed losses incurred by the deceased falls away upon his death, and cannot be carried forward against the income of the estate or any other taxpayer. Similarly any assessed loss incurred by the estate in operations during the post-death period fall away upon the winding up of the estates.

d) Testator

A person who dies leaving a will.

e) Intestate

A person who dies without leaving a will.

13.10 TRUST

This is an entity which is formed during a person's lifetime or on death in order administer investments or assets of a person. The trust is managed by a trustee or board of trustees.

A trust is a non-taxable person unless it has undistributed income or income accruing from assets registered in its name.

A trust is a strong investment vehicle which can benefit several generations after the death of a testator.

Types of Trusts

13.10.1 Testamentary Trust

A trust created by a will of a testator at the time of death. The trust is created to administer assets whose income is accumulated for the benefit of children.

13.10.2 Inter vivos Trust

A trust created by a person during his lifetime. The trust can be discretionary or non-discretionary.

Discretionary Trust

This is where the trustees have complete discretion on how to handle affairs of the trust. They may choose to distribute assets to one beneficiary of different amounts to different beneficiaries.

Non-discretionary Trust

It is a trust where the beneficiaries and their respective rights are pre-determined and fixed in the trust deed. The trustees have no power to choose how to distribute income since it is specified in the trust deed.

13.10.3 Trust Beneficiaries

Beneficiary with a vested right

A person who enjoys an immediate certain right to the present or future enjoyment of the income derived from an asset in trust.

Beneficiary with a contingent right

This is a right that can only be exercised upon the happening of a future uncertain event.

13.11 Progress Questions

1) According to the Estate Duty Act, what is the meaning of 'property'? (6 marks)

2) What constitutes an estate of a deceased person? (2)

3) Define the following terms in regard to estates:

i. Usufruct (2)

ii. Ascertained beneficiary (2)

Suggested Solutions

1) Means any right in or to property, movable or immovable, corporeal or incorporeal.

✓ Any immovable property situated in Zimbabwe

✓ Any movable property physically situated in Zimbabwe

✓ Any debt which is secured upon immovable property by bond registered in Zimbabwe

✓ Any debt recoverable or right of action enforceable in the courts of Zimbabwe

✓ Any stocks or shares in any company, stocks of the government or of any corporation or local authority within Zimbabwe.

2) All the property of the person at the time of his/her death which was acquired on or after 1 January 1981.

- All property which is deemed to belong to that person at the time of his/her death.

3i) It means giving a beneficiary a right to income but not to inheritance of the asset itself.

3ii) It is a person named or identified in the will that acquires an immediate certain right to claim the present or future enjoyment of the income arising from a particular asset in the estate.

REFERENCES

Printflow (Pvt) Ltd	Income Tax Act Chapter 23:06
	Finance Act Chapter 23:04
	Capital Gains Tax Act chapter 23:01
	Value Added Tax Act Chapter 23:12
	Estate Duty Act Chapter 23:03
Zimbabwe Revenue Authority	Value Added Tax Module

FURTHER REVISION

Question 1

a) A lessee effected lease improvements to a leased property upon agreement with the lessor. The value of lease improvements were agreed to be worth US$5 000, before improvements were effected. After completion of the improvements, they were found to be worth US$7 500 and the lessor did not object to the amount. What are the tax implications of this transaction to:

- Lessor [4]
- Lessee [5] [9marks]

b) With the aid of celebrated cases define and explain what is meant by the term "source". [4]

c) Samson is ordinarily resident in Zimbabwe. He decided to go for Holiday in Mauritius during his annual leave. Being a Quantity Surveyor by profession, he worked there on a contract basis and was paid US$50 000 in the six months which he worked. What are the tax implications of this income? [3]

d) What is so special about the Export Market Development Expenditure?[2]

e) What are the provisions of allowing pre-production expenditure as an allowable deduction?[3]

f) Explain whether Special Initial Allowance is claimable on the following:

i. A new hotel building in Harare's Central business district

ii. Purchase of a newly constructed warehouse

iii. Nissan Hardbody used by the finance director 80% for his private purposes.

iv. A second hand furniture purchased. [4 marks]

g) What do you understand by the terms recoupment and scrapping allowance, in respect of taxation of companies? [4]

h) What is the treatment of business losses to general taxpayers? [1]

Question 2

Acifra Transporters (Pvt) Ltd is a company operating in Zimbabwe. For the year ended 31 December 2012 it produced the following statement of comprehensive income and supporting information:

	US$	**US $**
Sales		370 000
Less cost of sales		(190 000)
Gross profit		180 000
Interest from foreign account		3 800
Dividends received from Delta Corporation		70 000
		253 800
Less operating expenses		
Depreciation	750	
Salaries and wages	35 000	
Repairs and maintenance	9 000	
Administration	8 500	
Directors' fees	15 000	
Value Added Tax paid	20 000	
Dividends paid	38 000	
Dividends distribution expenses	3 000	
Research into foreign transport market	10 080	
Donations	8 950	(148 280)
Net Profit		105 520

Additional Information:

i. Repairs and maintenance included the following:

- New parts purchased 2 500

- Crack filling 1 800
- Foundation underpinning 3 900

- Part of administration includes an allowance for the transport manager who travelled to China to purchase new buses. The allowance was US$ 400.
- Donations included the following:

Scholarships awarded to students to undertake a course in engineering at the National University of Science and Technology (NUST). The students were the relatives of the managing director of the company and were:

Cousin- US$4 500 and niece –US$4 150

- The company had an assessed loss carried forward of US$13 000 which was omitted by the accountant in coming up with these accounts.

v. The company has the following assets in its balance sheet:

	Cost	ITV
Office buildings	180 000	95 000
Warehouse (purchased)	30 000	7 500
Fleet of buses	1 300 000	980 000
Haulage trucks	1 800 000	100 000
Mercedes Benz E350	32 000	5 000
Nissan Hardbody (10 units)	188 000	144 000

- The company has always claimed maximum capital allowances.

Required:

Calculate the company's tax liability for the year ended 31 December 2012. [25 marks]

Question 3

What are the tax benefits which are only available to a farmer? [10 marks]

Question 4

Gebhinotho Mining (Pvt) Ltd is a new iron mine operating in Redcliffe. It started its mining operations on 5 February 2012.

For the year ended 31 December 2012 it produced the following accounts:

	US$	US$
Sales-iron	570 000	
-iron by-products	390 000	
-disposal of mining claim	160 000	1 120 000
Less cost of sales		(390 000)
Gross Profit		730 000
Less expenses		
Salaries and wages	18 000	
Depreciation	12 500	
Administration	20 000	
Selling and Distribution	8 500	
Repairs and Maintenance	30 000	
Mules	1 800	
Preliminary surveys	4 500	
Trenches and pits	78 000	
General expenses	90 000	(263 300)
Net profit		466 700

Additional Information:

i. The mules were purchased for manual labour.

ii. General expenses included the following:

- Fencing $4 600
- Shareholder's children's school fees $3 300

iii. The company also incurred pre-production expenses which are not included in the income statement as follows:

a) Preliminary surveys	3 500
b) Development costs	4 000
c) Salaries and wages	5 100
d) Exploratory works	5 800
	18 400

iv) The following expenditure was incurred during the year:

Shaft sinking	18 000
Staff houses	38 000
Office buildings	64 000
Nissan Navara Twin cab	19 000
Tools and equipment	8 000
Prospecting	1 800

v) The life of mine is estimated to be 15 years at the beginning of the year.

Required:

Compute the company's tax liability or assessed loss for the year ended 31 December 2012, using all the 3 methods of calculating CRA [30 marks]

Question 5

Lebohang Nare sold his principal private residence on 6 August 2012. His intention was to use the proceeds to buy another house which was bigger to cater for his growing family. He acquired another house in December 2012 for $80 000.

i. He sold the initial principal private residence for US$100 000.

ii. Initially he had built the house on a stand he purchased in February 2009. The stand was worth US$1 500.

iii. The total cost of building the house amounted to an equivalent of US$30 000 in January 2010 when he finished it.

iv. In July 2010 he durawalled his house and installed a gate at a cost of US$2 700

v. In May 2011 he extended his house by adding two bedrooms and a double garage at a cost of US$5 000.

vi. He sold his property through a real estate agent and was charged of 5% commission on the sale proceeds.

vii. He has elected for rollover relief.

Required:

Calculate Lebohang Nare's capital gains tax payable or assessed capital loss for the year ended 31 December 2012. [18 marks]

Question 6

Thapelo Mokoena is ordinarily resident in Zimbabwe. He is a holder of many marketable securities which are traded on the stock exchanges worldwide. For the year ended 31 December 2012, he sold the following:

a) 1000 ordinary shares from OK Zimbabwe registered on the Zimbabwe Stock Exchange. He initially purchased them in 2002 for US$20/share and has sold them for a total of US$35 000. He has incurred a 2% brokerage fee.

b) 2 500 preference shares from Kulula (Pvt) Ltd a company listed on the Johannesburg Stock Exchange. He purchased them in 2006 for R150 each and sold them for R562 500 in all. The exchange rate at the date of purchase was US$1:R10 and at the time of sale it was US$1:R7, 50 Brokers fees were 2, 5%.

c) 850 shares from Vanhu Investments an unlisted company. He had purchased the shares in year 2000 at a total cost equivalent to US$10 000. On 1 July 2004, he received 150 bonus shares and their market value was estimated to be US$15 per share. He then sold the shares for US$19 250. Selling expenses amounted US$1 925.

d) 650 20% debentures from Zim steel, an unlisted Zimbabwean company. He had initially purchased the debentures for US $18 000 in all in 2007 he has now redeemed his debentures for a total sum of US$21 600.

e) 2000 shares from World Net a registered company on the New York Stock Exchange. He initially purchased them in 2001 for US$15/share. He has sold the shares for US$22.50/share. He incurred broker's fees of US$890.

f) 900 ordinary shares from Zimstyles, a Zimbabwean fashion company which is listed on the Zimbabwe Stock Exchange. He purchased the shares for a total amount of US$5 000 in 2010. He has sold them for a total amount of US$19 000. He incurred 3% brokerage fees.

Required:

Compute Mokoena's capital gains tax payable/assessed capital loss for the year ended 31 December 2012. [10 marks]

Question 7

A new entrepreneur comes to you for advice on the implications of Value Added Tax (VAT) on the following:

a) Importation of goods into Zimbabwe.

b) The purpose of registering for VAT and failure to register.

c) Acquisition of a motor vehicle.

d) Exporting goods to other countries.

e) Insurance cover for the business. [10 marks]

Question 8

What are the tax benefits for operating in an Export Processing Zone? [5]

Question 9

Revised Edition is employed by a local company in Harare as a general manager. Between January and December 2012 he received the following income:

Salary	48 000
Productivity bonus	10 000
Annual bonus	8 000
	38 000

i. Mr. Edition has been living in Marondera and was driving everyday to Harare. The company then obtained accommodation for him in Harare's Greendale suburb and paid for his relocation expenses. The relocation expenses were US$1 000 and this is his third relocation within the same company. He relocated in August 2012.

ii. The company is paying rent and rates for him. The market rate for rents in Greendale is $1 200/month.

iii. The company also purchased new furniture for his house in August 2012 at a cost of US$10 000.

iv. He is using a company car, a Toyota Hilux Double Cab (3000cc).

v. On 30 September 2012 the company granted him a soft loan as capital for his entrepreneurial venture of US$30 000 with an interest rate of 6%/annum. The LIBOR rate prevailing then was 2.5%. He is going to repay it after 2 years.

vi. He has contributed to a pension fund an annual amount of $5 440.

vii. He is also a subscriber with CIMAS and has contributed medical aid subscriptions of US$1 500 for the whole year.

viii) For the whole year he was withheld PAYE of US$9 500.

Required:

Compute Mr. Edition's tax payable for the assessment year ended 31 December 2012. [25 marks]

Question 10

Mr. Bambazonke purchased a piece of land for $40 000, just outside Harare. He intended to go into poultry keeping, but changed his mind. He then decided to sub-divide the land into 10 plots and each would be sold for $18 000.

The following development costs were incurred:

- Surveys $4 000
- Road and sewerage $5 000

7 plots were sold on 1 February 2011 and 3 were sold in March 2012 on the following conditions of sale:

- A deposit of 20% on signing the agreement.

- The balance is payable with effect from the month of sale at $ 800/month/plot, until full payment is made.
- Interest at 15%/annum is payable on outstanding amounts.
- Ownership is transferred when full payment is made.

Administration expenses of $ 700 and $ 850 were incurred for the 2 years respectively.

<u>Required:</u>

Calculate the tax payable by Mr. Bambazonke for the 2 years in question. (20 marks)

US$	US$
	160 000
	15 000
	175 000
20 000	
16 000	
12 000	
10 000	
8 500	
900	
1 080	
3 500	
120	
160	
110	
600	
1 440	

Question 11

Azania, Tshwane and Limpopo are partners in the medical profession, operating in Gweru. Their profit sharing ratio is 3:2:1 respectively. The partnership produced its books of accounts for their financial year ended 31 October 2012 as follows:

Operational Income

Dividends received from a local company

Expenditure

Salaries-staff

-Azania

-Tshwane

-Limpopo

General Expenses

Partnership survivorship policy

Purchase of surgical equipment

Repairs and maintenance

Interest on capital a/cs-Azania

-Tshwane

-Limpopo

Administration

Medical aid contributions-staff

-Partners (equal contributions)

Public liability policy

Policies ceded to the partnership-Azania

-Tshwane

-Limpopo

Net income before tax

Additional Information:

i) Repairs and maintenance included the following:

-Servicing of partners' vehicles	500
-Replacement of microscope	1 500

ii) It has been established that Tshwane is using his car 80% business and 20% private. Its engine capacity is 2 700cc.

iii) The partnership has the following assets at their costs:

Buildings	100 000
Tools and equipment	35 000
Motor vehicles for partners-Azania (23 00cc)	10 800
-Tshwane (2 700cc)	8 900
-Limpopo (2000cc)	11 000
Furniture and fittings	28 000

iv) The following were also purchased during the year:

- State- of- the- art surgery equipment	35 000
- Employee passenger motor vehicle	6 500

v) The partnership only employed a qualified accountant in 2012, who prepared these accounts. Depreciation of assets was not accounted for.

vi) The partnership is however, willing to be granted maximum capital allowances on assets acquired in the current year.

<u>Required:</u>

a) Compute the partnership's taxable income for the year of assessment ended 31 October 2010. [20]

b) Compute the tax payable by each partner for the same assessment year. [12] [32 marks]

QUESTION 12

Tymon Mabaleka was employed by Isintu Investments a company located in Bulawayo for 30 years. He joined the company when he was 26 years soon after completing his Bachelor's degree in accounting. He rose through the ranks and ended up being the financial controller of the company. However, due to viability constraints the company was forced to retrench since the company tried to apply for the Bulawayo Industries Resuscitation Scheme but failed to get any funds. The company applied for retrenchment on 9 September 2012 to the Ministry of Labour and the scheme was approved. Mr. Mabaleka is one person who opted to be retrenched at the end of the year 2012. The following constitutes his retrenchment package:

Gratuity	30 000
Severance pay	20 000
Cash in lieu of leave	10 000
Pension refund	25 000

During the year Mr. Mabaleka was entitled to the following income and deductions:

Salary	60 000
Bonus	10 000
Long service award (granted March 2012)	5 000
Fuel allowance	8 000
Grocery allowance	6 000
Medical aid contributions	(2 000)
Pensions contributions to Old Mutual scheme	(6 000)
Company benefit and benevolent fund	(3 800)
Contributions to NSSA	(72)
PAYE	(7 500)
Membership subscriptions to ACCA	(500)
Subscriptions to Dstv	(350)

Mr. Mabaleka was also entitled to the following benefits as a senior staff member:

1) A Nissan Navara Twincab off-road with 4 000cc. it was established that during the year he travelled 50 000km and that only 25% was related to his employment business.
2) Granted a soft loan in March 2012 of $10 000 to be repaid at end of the year with interest of 4%/annum. The prevailing LIBOR was 2%. His daughter was very sick and she had to undergo surgery in South Africa and he took $2 000 from the loan to pay for her medical bills.
3) He was staying in a fully furnished house in Khumalo and it was established that market rentals during the year were $3 000 per month. The cost of furniture to the company was $8 000 and he received this furniture in March 2012.
4) He was also using an Econet contract line for business and private but the company paid the total bills for the year amounting to $2 000. It was agreed that 60% was for business.

He also received other income from investments:

- Dividends from South Africa (net of NRT of $1 500) $15 000
- Dividends from Econet Zimbabwe (net) $ 10 000
- Interest from Lesotho (net of NRTI of $2 000) $ 20 000
- Interest from bankers acceptances $ 11 000

REQUIRED:

1) Explain the tax implications in the hands of the employee of the following:

(a(i) Retrenchment package (3)

(ii) Long service award (1)

(b) What are the advantages of using the Final Deduction System. (3)

(c) Compute Mr. Tymon Mabaleka's taxable income and tax payable for the year ended 31 December 2012. (18)

QUESTION 13

Empowerment Zimbabwe (Private) Limited owns three motor car assembly plants. Two of the plants are situated in Manama and Esigodini, designated growth points in the Matabeleland South province. The other plant is situated at the company's head office in the Willowvale industrial site of Harare. Due to escalating production costs, a decision was made on 1 October 2012 to consolidate the business and relocate the two Matabeleland plants to Harare.

The fixed assets, which were relocated to Harare as a result of this decision, were as follows:

	Purchase date	Cost	Income tax value1 January 2012
Furniture and fittings	May 2010	100 000	50 000
Office equipment	May 2010	60 000	30 000
Computer equipment	May 2010	80 000	40 000
Plant and equipment	October 2009	110 000	nil
Plant and equipment	February 2010	180 000	90 000
Commercial vehicles	March 2010	250 000	125 000
Passenger motor vehicles:			
Toyota Land Cruiser	March 2010	80 000	5 000
Mazda B2200	March 2010	50 000	5 000
Mazda B1800	March 2010	40 000	5 000
Isuzu KB250	March 2010	25 000	5 000

The company's Harare fixed assets as at 1 January 2012 were:

	Purchased/constructed	Cost	Income tax value
Industrial building	January 2009	500 000	nil
Warehouse	January 2009	300 000	255 000
Office block	January 2009	350 000	323 750
Office equipment	January 2009	180 000	nil
Furniture and fittings	January 2009	200 000	nil
Computer equipment	January 2009	280 000	nil
Plant and equipment	January 2009	400 000	nil
Commercial vehicles	January 2009	200 000	nil
Passenger motor vehicles:			
Mazda B2500	January 2009	60 000	nil
Toyota Camry	January 2009	20 000	nil
Toyota Prado	January 2009	80 000	nil
Isuzu KB280	January 2009	40 000	nil
Mazda 626	January 2003	24 000	nil

Assets disposed of during the course of the year to 31 December 2012:
All the passenger motor vehicles, which were transferred to Harare, were sold at the following amounts:

	US$
Toyota Land Cruiser	40 000
Mazda B2200	15 000

Mazda B1800	30 000
Isuzu KB250	25 000

The immovable property the company owned at Esigodini was sold for $450 000 on 30 October 2012 to Esigodini Municipality. This property consisted of the following:

	Date constructed	Cost	Income tax value1 January 2012
Office block	October 2009	130 000	nil
Industrial building	October 2009	170 000	nil

Additions to fixed assets during the year to 31 December 2012:

	Purchase date	Cost
Office equipment	September 2012	150 000
4 Mazda Eagles Twincabs at $18 000 each	October 2012	72 000

The statement of comprehensive income Empowerment Zimbabwe (Private) Limited reflected an operating profit of $223 000 for the year ended 31 December 2012. The credits and debits to the income statement included the following:

Credits	US$
Motor Vehicle assembled sales	1 845 000
Rental of Manama property	100 000
Profit on sale of motor vehicles	210 000
Interest from commercial bank	43 000
Dividends received from local listed companies (gross)	29 000
Dividends received from other companies (gross)	22 000

Debits	
Distribution costs (note (1))	317 000
Administration costs (note (2))	435 000
Depreciation	113 000
Entertainment expenses	94 000
Value added tax default penalty	8 000
Internet and communication expenses	41 000

Notes

(1) Distribution costs consisted of the following:

Traffic fines	5 000
Parking discs	7 000
Repairs and maintenance	105 000
Fuel	200 000

(2) Administration costs included the following in respect of the company's 100 employees:

Salaries and wages	190 000
Staff pension contributions	80 000

Staff medical aid contributions 96 000
(3) Empowerment Zimbabwe (Private) Limited had an assessed loss of $158 000 for the year ended 31 December 2011 and had therefore not submitted returns for the purposes of provisional tax payments for the year ended 31 December 2012.

Required:
(a) Calculate the capital gains withholding tax on the sale of the Esigodini property and state by when the tax should be remitted to ZIMRA. (2 marks)
(b) Calculate the minimum taxable income of and the taxes (including withholding taxes) payable by Empowerment Zimbabwe (Private) Limited for the year ended 31 December 2012. (21 marks)
(c) Explain the implications for Empowerment Zimbabwe (Private) Limited of not submitting any returns for the purposes of provisional tax payments, clearly identifying the due dates of payment and the tax, if any, that should have been paid. (7 marks) [30 marks]

QUESTION 14

Tea Wovhu (Private) Limited (TWPL) owns three farms in the Manicaland province and two farms in the
Masvingo province, and specializes in tea & coffee farming. The directors of TWPL made a decision at the annual general meeting held on 30 June 2012 to dispose of the two farms in Masvingo province due to poor performance exacerbated by the poor rainfall patterns in that region. The two farms and all related movable assets were sold to a local consortium of emerging farmers through Mavhaire Estate Agents on 1 August 2012.

The following is an extract from TWPL's fixed assets register relating to the two farms as at 1 January 2012:

Asset type	Date constructed/purchased	Cost Price	ITV	Selling price
Land	2009	80 000	80 000	300 000
Tractors	2009	50 000	Nil	90 000
Tractors	2010	85 000	42 500	140 000
Irrigation equipment	2009	30 000	Nil	69 300
Farm improvements	2009	65 000	Nil	100 000
Staff housing (15 units)	2010	500 000	500 000	750 000
Farmhouse	2011	80 000	80 000	150 000

Other information:
TWPL incurred the following expenses in connection with the sale of the two farms:
Property valuation expenses $15 000
Advertisements $1 500

Legal fees (including transfer fees)	$2 500
Estate agents' fees	7.5% of selling price

Required:
(a) (i) Calculate the amount to be included in the gross income of Tea Wovhu (Private) Limited for the year ended 31 December 2012 as a consequence of the asset disposals. (4 marks)
(ii) Calculate the capital gains withholding tax payable by Tea Wovhu (Private) Limited for the year ended 31 December 2012. (2 marks)
(b) Calculate the capital gain/loss of Tea Wovhu (Private) Limited for the year ended 31 December 2012.(9 marks) [15 marks]

QUESTION 15

Pamusha Hardware Limited (PHL) is a registered operator for value added tax (VAT) under category C. PHL last submitted a VAT return for the month of October 2012 on 15 December 2012.
The management accounts of PHL for the months of November and December 2012 reflect the following information:
All amounts are inclusive of value added tax (VAT) as appropriate

	November (US$)	**December (US$)**
Trading activities:		
Sales	230 000	180 000
Sales returns	18 000	Nil
Purchases	93 000	90 000
Purchases returns	Nil	14 000
Operating expenses:		
Electronic VAT register device	25 000	Nil
Repairs and maintenance	9 540	7 810
Payroll expenses	49 600	52 000
Depreciation	5 690	5 690
Utility costs	810	1 350
Stationery	2 820	1 684
Cleaning materials and protective wear	3 367	1 966
Motor vehicle costs (refer to note)	29 300	34 430

Note: 20% of the motor vehicle costs are attributable to fuel procured from unregistered operators on the informal market.
As at 1 February 2013, the VAT returns for the months of November and December 2012 had not been lodged with ZIMRA.

Required:
(a) (i) State, giving reasons, whether Pamusha Hardware Limited's VAT return for the month of October was submitted to ZIMRA on the correct due date. (2 marks)
(ii) State the dates by when Pamusha Hardware Limited's outstanding VAT returns should have been submitted to ZIMRA, together with the possible consequences of non-compliance with the set deadlines. (3 marks)
(b) Calculate the VAT liability of Pamusha Hardware Limited for the two months ended 31 December 2012, on a month by month basis. (10 marks) [15 marks]

QUESTION 16

Solomon and Mutsai have been in partnership for the past five years sharing their profits in the ratio 3:2 respectively. The main business of the partnership is manufacturing farm equipment for sale. The following are the activities of the partnership for the year ended 31 December 2012.

	US$	US$
Gross profit		1 000 000
Rental income from block of flats		100 000
Foreign interest		30 000
Dividends from Sacro Zimbabwe		40 000
		1 170 000
Operating expenses		
Depreciation	40 000	
Medical aid- employees	30 000	
- Solomon	8 000	
- Mutsai	4 000	
Insurance : - business assets	10 000	
- Partnership survivorship policy	8 000	
Donations	80 000	
Loss on disposal of assets	2 000	
Pension contributions: - employees	30 000	
- Solomon 10 800 Mutsai 10 800	21 600	
Solomon attendance of trade mission	8 400	
Salaries: - employees	40 000	

- Solomon 10 000 Mutsai 8 000	18 000	
Lease premium	30 000	
Grocery for Mutsai	4 000	(334 000)
Net Profit		836 000

Additional information

1) The trade mission attended by Solomon was related to their trade and it was held in China.
2) The lease premium was in connection with a new warehouse leased from Murray Roberts and Company for a lease period of 5 years with the option of renewal.

3) The partnership owned the following assets as at 1 January 2012

Asset	Original cost	Date purchased
Machinery	50 000	2011
Furniture and equipment	30 000	2010
Delivery trucks	40 000	2010
Industrial building	100 000	2010
Toyota Landcruiser	80 000	2011
Mercedes Benz S class	120 000	2012

The partnership has always claimed maximum capital allowances.

Required:
(a) State the treatment of the partners' share of profit when one of the partners withdraws from the partnership (3 marks)
(b) Calculate the partners' taxable income and tax payable for the year ended 31 December 2012. (12 marks) **(15 marks)**

FURTHER REVISION ANSWERS

Question 1

(a) Lessor

– The revised value of $7 500 constitutes income to him because he did not refund the tenant his money.

- The lessor is taxed on this amount from the date construction begins.

- This amount is taxed over the unexpired period of lease subject to a maximum of 10 years.

- The value of improvements is also subject to capital allowances in the hands of the lessor.

- However capital allowances are granted on completion of improvements & actually being used in the current year for business.

Lessee

- The value of improvements of $7 500 is an allowable deduction to the tenant.

- However the whole amount is not allowable at once, instead it is spread over the unexpired period of lease.

- This amount becomes deductible to the lessee after completion of improvements & actually using them to generate revenue.

- The lessee cannot claim capital allowances on these improvements because they do not belong to him.

b) -The term 'source' was defined by case law as, "the originating cause of income."

- The celebrated cases which deal with its definition are Rhodesia Metals vs. C.O.T & Lever Brothers and Unilever Ltd vs. C.I.R.

- Therefore source it has to do with the origin of income & its place of origination.

c) -This income is subject to tax in Zimbabwe because its source is deemed to be Zimbabwe according to Section 12(1) c.

- This is because he worked outside the country temporarily, that is, for less than 183 days.

d) It is the only amount which is granted a double deduction. (Sec 12(2)gg)

e) – It should have been incurred not more than 18 months before the commencement of business.

- It should be a normal business expense that is, excluding any amounts of a capital nature.

- It should be claimed in the first year of assessment (sec 15(2) t).

f (i) -Claiming SIA will depend on whether the hotel is licensed for liquor or casino purposes.

- If it is licensed it is claimable because it constitutes an industrial building.

ii) It is not claimable because the warehouse was not constructed by the taxpayer.

iii) It is claimable because the finance director is not the owner of the business instead he is an employee.

iv) It is claimable because a movable asset is granted only SIA on election, meaning that whether the asset is new or second-hand does not matter.

g) –Recoupment refers to recovery or bringing back something.

- In this case it refers to recovery of capital allowances previously granted on an asset.

- It arises when an asset which was previously granted either SIA or wear and tear is being disposed of.

- Therefore it is income to the taxpayer & has to be included in the accounts.

- Scrapping allowance arises when an asset is disposed of at less than its income tax value (ITV).

- It is treated as a deduction to the taxpayer.

h) Business losses for the current year are carried forward to the following year & deducted as an expense; however they cannot be carried forward for more than six years.

Question 2

Computation of Acifra Transporters' tax liability for the year ended 31 December 2012.

	US$	US$
		105 520
	750	

	------	
	3 900	
	400	
	-------	
	20 000	
	38 000	

	--------	
	4 150	
	--------	67 200
		1 72 720
	------	
	70 000	(70 000)
		102 720

Net profit as per accounts	
<u>Add disallowable deductions</u>	
Depreciation	10 080
Salaries & wages	327 500
Repairs & maintenance – new parts purchased	54 800
- crack filling	
- foundation underpinning	
Administration – transport manager (capital nature)	
Directors' fees	
Value added tax	
Dividends paid	
Dividend distribution expenses	
Research into foreign markets	
Donations – scholarship – niece(near relative)	
- cousin	
<u>Less exemptions</u>	
Interest from foreign account (deemed source)	
Dividends from Delta Corporation	

Less allowable deductions

Research into foreign markets (double deduction)

Capital allowances (working 1)- SIA

-wear & tear

Less assessed loss carried forward

Assessed loss c/d

Working 1 Capital allowances schedule

Assets	Cost	ITV 01.01.10	Rate	SIA	Wear & tear	ITV 31.12.10
Office buildings	180 000	95 000	2.5%		4 500	90 500
Warehouse	30 000	7 500	5%		1 500	6 000
Fleet of buses	1 300 000	980 000	25%	325 000		655 000
Haulage trucks	1 800 000	100 000	20%		20 000	80 000
Mercedes Benz	10 000	5 000	25%	2 500		2 500
Nissan Hardbody(10)	188 000	144 000	20%		28 800	115 200
Total				**327 500**	**54 800**	

Question 3

– Granted special farming deductions on:

- Aerial & geophysical surveys
- Sinking of boreholes & wells
- Any works for the prevention of soil erosion
- Any water conservation works
- Stumping & clearing of lands
- Fencing

- Income from forced sales is spread over three years on election
- Granted restocking allowance on cost of livestock for restocking.

Question 4

Computation of Gebhinotho's tax liability or assessed loss for the year ended 31 December 2012 (Life of mine basis)

	US$	US$
		466 700
	------	
	12 500	

	------	
	1 800	

	-------	
	4 600	
	3 300	22 200
		488 900

Net profit as per accounts		
Add disallowable deductions		
Salaries & wages		
Depreciation		
Administration		
Selling & distribution		
Repairs & maintenance		
Mules		
Preliminary surveys		
Trenches & pits		
General expenses – fencing		
- shareholder's children school fees		
		(160 000)
Less exemptions		
Disposal of mining claim		328 900
Less allowable deductions		
Prospecting	1 800	
Capital redemption allowance (working 2)	32 560	(34 360)
Taxable income		294 540
Tax @25%		73 635

	US$	US$
		328 900
	1 800	
	148 080	(149 880)

Computation of Gebhinotho's tax liability/assessed loss for the year ended 31 December 2012 (mixed basis)

Adjusted net profit

Less allowable deductions

Prospecting

Capital redemption allowance (working 3)

Taxable income

Tax @25%

Computation of Gebhinotho's tax liability/assessed loss for the year ended 31 December 2012 (new mine basis)

	US$	US$
Adjusted net profit		328 900
Less allowable deductions		
Prospecting	1 800	
Capital redemption allowance (working 1)	162 800	(164 600)
Taxable income		164 300
Tax @25%		41 075

Working 1- Calculation of Capital Redemption Allowance using new mine basis

Pre-production expenses		18 400
Add current capital expenditure		
Shaft sinking	18 000	
Staff houses	38 000	
Office buildings	64 000	
Nissan Navara Twincab	10 000	
Tools & equipment	8 000	

Fencing	4 600	
Mules	1 800	144 400
Total capital expenditure		162 800

Working 2 – Calculation of Capital redemption allowance using the life of mine basis

Total capital expenditure
life of mine estimate

162800
5

32 560

NB *Iron mine life of mine estimate is restricted to a maximum of 5 years*.

Working 3- Calculation of Capital redemption allowance using the mixed basis

Pre-production costs +current capital expenditure
life of mine estimate

18 400 + 144 400
5

148 080

Question 5

Computation of Lebohang Nare's capital gains tax payable/assessed capital loss for the year ended 31 December 2012.	US$	US$
Gross capital amount		100 000
Less allowable deductions		
Cost of stand	1 500	
Cost of house	30 000	
Durawall & gate	2 700	
Bedrooms & double garage addition	5 000	

Estate agents commission (5% X 100 000)	5 000	
Inflation allowance on:-		
Cost of stand (1 500 X 4 X 2.5%)	150	
Cost of house (30 000 X 3 X 2.5%)	2 250	
Durawall & gate (2 700 X 3 X 2.5%)	203	
Bedroom & double garage (5 000 X 2 X 2.5%)	250	(47 053)
Capital gain		52 947
Rollover relief elected:-		
$\frac{20\,000 \times 52\,947}{100\,000}$		10 589
Capital gains tax @20% (10 589)		2 118
Less capital gains withholding tax (15% X 100 000)		(15 000)
Capital gains tax refundable		(12 882)

Question 6

Computation of Thapelo Mokoena's capital gains tax payable for the year ended 31December 2012	US$	US$
Gross capital amount		
Kulula (Pvt) Ltd shares (exempt)		-----
Vanhu Investments shares		19 250
Zimsteel debentures		21 600
World Net shares (exempt)		---------
OK Zimbabwe shares		35 000
		75 850
Capital gains tax @5%		3 793

Note: *Marketable securities acquired in Zimbabwe dollars and sold in US Dollars attract capital gains tax @5%*

Zimstyles Shares

gross capital amount	19 000
Capital gains tax @1%	190

NB: Listed shares acquired after 1 February 2009 are taxed at 1% of gross capital amount.

Question 7

VAT is levied on the importation of goods & the importer is liable to pay VAT with the exception of goods prescribed as exempt.

b) Registering for VAT enables an operator to claim input tax on purchases of taxable supplies.

Failure to register when one is required to attract the following:-

- To pay the defaulted tax
- A penalty of 100% is levied on the amount defaulted
- Interest is also levied at a prescribed rate on outstanding amounts.

c) Input tax is claimable on purchase of commercial motor vehicles; however on purchase of non-commercial motor vehicles it is not claimable even if the vehicle is used for exclusively for taxable supplies.

d) Exports are zero rated supplies & the registered operator is able to claim input tax on purchases used to make zero-rated supplies.

e) If Vat is levied on insurance the registered operator can claim input tax.

Question 8

– Exempt from corporate tax for the first 5 years.

- Exempt from Customs Duty on importation of raw materials, equipment & other inputs.

- Granted a full VAT on purchase of raw materials, equipment & other inputs.

- Exempt from capital gains tax on disposal of immovable property.

- Exempt from withholding taxes on interest, dividends & fees.

Question 9

Computation of Revised Edition's tax payable for the year ended 31 December 2012

	US$
INCOME	
Salary	48 000
Productivity bonus	10 000
Annual bonus (8 000- 700)	7 100
Relocation benefit	1 000
Housing benefit (1 200 X 5)	6 000
Furniture benefit (10 000 X 8% X 5/12)	333
Motoring benefit (deemed benefit)	3 600
Loan benefit (30 000 X 7.5% - 6% X 4/12)	150
	76 183
Less allowable deductions	
Pension contributions	(5 400)
Taxable income	70 783
Gross tax	19 374
Less credits	
Medical aid contributions (1 500 X 50%)	(750)
	18 624
Add 3% AIDS Levy	559
Less PAYE withheld	(9 500)
Tax payable	9 683

Working 1 – Calculation of gross tax

Band of income	Taxable income	Rate of tax	Tax	Cumulative tax
Up to 3 000	3 000	0%	----	-----
3 001- 12 000	9 000	20%	1 800	1 800
12 001- 24 000	12 000	25%	3 000	4 800
24 001- 60 000	36 000	30%	10 800	15 600
60 001- 70 783	10 783	35%	3 774	19 374

Question 10

Computation of Mr. Bambazonke's tax payable for the year ended 31 December 2011

		US$	US$
Sales (18 000 X 7)			126 000
Less cost of sales			
Cost of 7 plots (4 900 X 7)	(W1)		(34 300)
Gross profit			91 700
Interest receivable (39 200 X 15%)			5 880
			97 580
Less allowable deductions			
Administration		700	
Suspensive sale allowance:-			
39 200 X 91 700	(W2)		
126 000		28 529	(29 229)
Taxable income			68 351
Tax @25%			17 088

Add 3% AIDS Levy			513
Tax payable			17 601

Computation of Mr. Bambazonke's tax payable for the year ended 31 December 2012

		US$	US$
Sales (18 000 X 3)			54 000
Less cost of sales			
Cost of 3 plots (4 900 X 3)	(W1)		(14 700)
Gross profit			39 300
Interest receivable (19 200 X 15%)			2 880
Suspensive sale allowance recouped			28 529
			70 709
Less allowable deductions			
Administration		850	
Suspensive sale allowance:-			
19 200 X 39 300	(W2)		
54 000		13 973	(14 823)
Taxable income			55 886
Tax @25%			13 972
Add 3% AIDS Levy			419
Tax payable			14 391

Working 1 – cost of sales

Cost of land	40 000
Surveys	4 000
Roads & sewerage	5 000

	49 000
Cost of each plot (49 000/10)	4 900

Working 2- Calculation of outstanding amount for the year ended 31 December 2011

	US$	US$
Sales (18 000 X 7)		126 000
Less payments		
Deposit (126 000 X 20%)	25 200	
Instalments (800 X 7 X 11)	61 600	(86 800)
Outstanding amount		39 200

2012

Sales (18 000 X 3)		54 000
Outstanding amount b/fwd		39 200
		93 200
Less payments		
Deposit (54 000 X 20%)	10 800	
Instalments for 2011 (800 X 7 X 7)	39 200	
Current year instalments (800 X 3 X 10)	24 000	(74 000)
Outstanding amount		19 200

Question 11

a) Computation of Azania, Tshwane & Limpopo's joint partnership taxable income for the year ended 31 December 2012.		US$	US$
Net profit as per accounts			89 230
Add disallowable deductions			
Salaries – staff		----	
- Partners		----	
General expenses		----	
Partnership survivorship policy		900	
Surgical equipment		1 080	
Repairs & maintenance:– servicing of partners vehicles		----	
- Replacement of microscope		1 500	
Interest on capital account – partners		----	
Administration		----	
Medical aid contributions- staff		----	
- Partners		----	
Public liability policy		----	
Policies ceded to the partnership:- Azania		300	
- Tshwane		320	
- Limpopo		250	4 350
			93 580
Less exemptions			
Dividends received			(15 000)
			78 580
Less allowable deductions			
Capital allowances- Special initial allowance	(W1)	11 020	
- Wear & tear		14 224	(25 244)

Joint taxable income 53 336

Working 1 Capital allowances schedule

Assets	Cost	Rates	S.I.A	Wear & tear	Income tax value
Buildings	100 000	2.5%		2 500	97 500
Tools & equipment	35 000	10%		3 500	31 500
Motor vehicle- Azania	10 000	20%		2 000	8 000
- Tshwane (80%)	7 120	20%		1 424	5 696
- Limpopo	10 000	20%		2 000	8 000
Furniture & fittings	28 000	10%		2 800	25 200
Surgery equipment	35 000	25%	8 750		26 250
Passenger motor vehicle	6 500	25%	1 625		4 875
Surgical equipment	1 080	25%	270		810
Microscope replacement	1 500	25%	375		1 125
Total			**11 020**	**14 224**	

b) Computation of Azania, Tshwane & Limpopo's tax payable for the year ended 31 December 2012

	Azania	Tshwane	Limpopo
Income			
Share of profits (3:2:1)	26 668	17 779	8 889
Salaries	16 000	12 000	10000
Interest on capital accounts	120	160	110
Medical aid contributions	480	480	480
Motor vehicle benefit (8 900-7 120X20%)	----	356	----
Taxable income	43 268	30 775	19 479
Tax @25%	10 817	7 694	4 870

Less medical aid contributions credit (50%)	(240)	(240)	(240)
	10 577	7 454	4 638
Add 3% AIDS Levy	317	223	139
Tax payable	10 894	7 677	4 777

Question 12

a(i)- It is part of gross income therefore subject to tax.

- However, a third of the package or $5 000 is exempt from tax. The package used to calculate the exempt amount is of up to $45 000.
- Cash in lieu of leave and pension refunds are not part of a retrenchment package.

(ii) It is taxable because it is income earned from regular employment.

(b)- It is administered by the employer therefore it saves ZIMRA a lot of work in making assessments for each employee.

- The employer is able to make an adjustment if there is an over or under-deduction of tax.

- The employee's correct position is known at all times as credits are granted by the employer as they arise.

(c) **Computation of Mr. Tymon Mabaleka's taxable income and tax payable from employment for the year ended 31 December 2012.**

Income	US$	US$
Salary		60 000
Bonus		10 000
Long service award		5 000
Fuel allowance		8 000
Grocery allowance		6 000
Gratuity		30 000
Severance pay		20 000
Cash in lieu of leave		10 000

Motoring benefit (75% X 4 800)		3 600
Soft loan benefit ([10 000- 2000] X (2%+5%-4%) X 10/12		200
Housing benefit (3 000 X 12)		36 000
Furniture benefit (8 000 X 8%) X 10/12		533
Cellphone allowance (2 000 X 40%)		800
		190 133
Less Exemptions		
Bonus free threshold	1 000	
Retrenchment package (45 000 X 1/3)	15 000	(16 000)
		174 133
Less allowable deductions		
Pension, benefit fund and NSSA contributions	5 400	
Membership to ACCA	500	
Subscriptions to Dstv	----	(5 900)
Taxable income		168 233
Gross tax		
Tax @0%-40%		38 100
Tax @ 45% (168 233- 120 000)		21 705
		59 805
Less tax credits		
Elderly person's credit	900	

Medical aid contributions (2 000 X 50%)	1 000	
Medical expenses credit (2 000 X 50%)	1 000	(2 900)
		56 905
Add 3% AIDS Levy		1 707
Less PAYE withheld		(7 500)
Tax payable		51 112

Tax payable from pension refund

Gross amount	25 000
Less exempt amount	(1 800)
Taxable income	23 200
Tax @45%	10 440

Tymon Mabaleka's tax payable from investments

Dividends from South Africa (15 000+1 500)	16 500
Dividends from Econet Zimbabwe (exempt)	------
Interest from Lesotho (22 000+2 000)	22 000
Interest from bankers' acceptances (11 000- 3 000)	8 000

Taxable income		46 500
Tax thereon		
Tax @20% (16 500)		3 300
Tax @25% (46 500-16 500)	7 500	
Add 3% AIDS Levy	225	7 725
		11 025
Less foreign tax relief		
Dividends from SA		(1 500)
Interest from Lesotho		(2 000)
Tax payable		7 525

Question 13

(a) Gross capital amount	450 000
Capital gains tax @15%	67 500

It should be remitted to ZIMRA within 3 working days, that is, by the 2nd November 2012.

(b) Computation of Empowerment Zimbabwe (Pvt) Ltd's taxable income and tax payable for the year ended 31 December 2012.

	US$	US$
Net profit as per accounts		203 000
Add disallowable deductions		
Distribution costs – traffic fines	5 000	
- Parking discs	-----	
- Repairs and maintenance	-----	
- Fuel	-----	
Administration costs – salaries and wages	-----	
- Staff pension contributions	-----	
- Staff medical aid contributions	-----	
Depreciation	113 000	
Entertainment	94 000	
Value added tax default penalty	8 000	
Internet and communication	------	220 000
		423 000
Add recoupment (working 1)		320 000
		743 000

Less exemptions		
Rental income from Manama property	-----	
Profit from sale of motor vehicles	210 000	
Interest from commercial bank	43 000	
Dividends received from local listed companies	29 000	
Dividends received from other companies	22 000	(304 000)
		439 000
Less allowable deductions		
Capital allowances- Special initial allowance	215 000	
- Wear and tear	23 750	(238 750)
		200 250
Less assessed loss brought forward from 2011		(158 000)
Taxable income		42 250
Tax @25%		10 563
Add 3% AIDS Levy		317
Tax payable		10 880

Tax on dividends received:

Dividends received from listed companies (29 000 X 10%)	2 900
Dividends received from other companies (22 000 X 15%)	3 300
Total tax on dividends	6 200

Working 1 Recoupment

Assets	Cost	Selling Price	I.T.V	Recoupment
Toyota Landcruiser	10 000	40 000	5 000	5 000
Mazda B2200	10 000	15 000	5 000	5 000
Mazda B1800	10 000	30 000	5 000	5 000
Isuzu KB250	10 000	25 000	5 000	5 000
Office block	130 000	195 000	Nil	130 000
Industrial building	170 000	255 000	Nil	170 000
Total				**320 000**

Working 2 Capital allowances

Details	Cost	I.T.V	Rate	S.I.A	Wear &	I.T.V 31-

		01-01-12			tear	12-12
Furniture & fittings	100 000	50 000	25%	25 000	-----	25 000
Office equipment	60 000	30 000	25%	15 000	-----	15 000
Computer equipment	80 000	40 000	25%	20 000	-----	20 000
Plant & equipment	180 000	90 000	25%	45 000	-----	45 000
Commercial vehicles	250 000	125 000	25%	62 500	-----	62 500
Warehouse	300 000	255 000	5%	-----	15 000	240 000
Office block	350 000	323 750	2.5%	-----	8 750	315 000
Office equipment	150 000		25%	37 500	-----	112 500
4 Mazda Eagle twincabs	40 000		25%	10 000	-----	30 000
Total				**215 000**	**23750**	

(c) The company has defaulted in submitting its corporate tax in terms of the quarterly payment date system. The tax should have been computed based on the company's budgeted net profit for the year ended 31 December 2012.

The fact that the company has a prior year assessed loss is irrelevant as the assessed loss is allowable in the event of a taxable income position or may be carried forward to the next year in the event that the company records another loss. The position cannot therefore be

used as an excuse for not submitting the provisional tax returns as these should be submitted whether a profit has been recorded or not.

Empowerment is therefore liable for default penalties and interest in respect of the late payments.

Based on the corporate tax of $10 880 computed in (b) above, the following are the due dates and the applicable tax that should have been remitted together with the provisional tax return.

1st QPD 10% on 25 March 2012	1 088
2nd QPD 25% on 25 June 2012	2 720
3rd QPD 30% on 25 September 2012	3 264
4th QPD 35% on 20 December 2012	3 808

Question 14

(a)(i)Gross income of Tea Wovhu

Asset	Cost	Selling Price	I.T.V	Recoupment
Land	80 000	300 000	80 000	-----
Tractors	50 000	90 000	nil	50 000
Tractors	85 000	140 000	42 500	42 500
Irrigation equipment	30 000	69 300	nil	30 000
Farm improvements	65 000	100 000	nil	65 000
Staff housing	500 000	750 000	500 000	-----

Farmhouse	80 000	150 000	80 000	-----
Gross income				**187 500**

Notes: *there is no recoupment on disposal of land because land is not granted capital allowances.*

Furthermore, there is no recoupment on staff houses and farmhouse because they were disqualified from capital allowances since they exceeded the maximum cost of $25 000 per unit. We only calculate recoupment if capital allowances were previously granted on an asset. The actual recoupment is the lesser between ordinary and potential recoupment.

(ii) Gross capital amount

Land	300 000
Farm improvements	100 000
Staff housing	750 000
Farmhouse	150 000
	1 300 000
Capital gains withholding tax @15%	195 000

Note: G*ross capital amount includes sales of specified assets only i.e. movables assets are not included.*

(b) Computation of Tea Wovhu (Pvt) Ltd's capital gain/loss for the year ended 31 December 2012.

	US$	US$
Gross capital amount		1 300 000
Less recoupment		(65 000)
Capital amount		1 235 000

Less allowable deductions		
Cost of: - land	80 000	
- Farm improvements	65 000	
- Staff housing	500 000	
- Farmhouse	80 000	
Inflation allowance on cost of:		
- Land (80 000 X 4 X 2.5%)	8 000	
- Farm improvements (65 000 X 4 X 2.5%)	6 500	
- Staff housing (500 000 X 3 X 2.5%)	37 500	
- Farmhouse (80 000 X 2 X 2.5%)	4 000	
Property valuation expenses	15 000	
Legal fees	2 500	
Estate agents fees (1 300 000 X 7.5%)	97 500	
Less recoupment	(65 000)	(831 000)
Capital gain		404 000

Question 15

(a)(i) It was submitted on the wrong date because Pamusha is under category C therefore should submit returns monthly, that is should have submitted the return by 15 November 2012.

(ii) November 2012 return due by 25 December 2012

December 2012 return due by 25 January 2013

Failure to comply ZIMRA will charge a penalty of 100% on the defaulted amounts and interest is charged on outstanding amounts at 10% per annum.

(b) Computation of Pamusha Hardware's VAT liability for the two months ended 31 December 2012.

	US$ November	US$ December
Output tax		

Sales 15/115	30 000	23 478
Purchases 15/115	-----	1 826
	30 000	25 304
Less Input Tax		
Sales returns 15/115	(2 348)	-----
Purchases 15/115	(12 130)	(11 739)
Electronic VAT register device (50% X 25 000)	(12 250)	-----
Repairs and maintenance 15/115	(1 244)	(1 019)
Payroll expenses	-----	-----
Depreciation	-----	-----
Utility costs 15/115	(106)	(176)
Stationery 15/115	(369)	(220)
Cleaning material and protective wear 15/115	(439)	(256)
Motor vehicle costs 15/115 X 80%	(3 057)	(3 593)
VAT Payable/refundable	(1 943)	8 301

Question 16

(a)- On withdrawal of a partner the existing partnership is rendered dissolved.

- Therefore the partnership should prepare financial statements up to that date and if there is any profit realised be shared among partners who existed prior to the changes.

- If the partnership has assets recoupment has to be calculated and be share accordingly.

(b) Computation of Solomon and Mutsai's joint partnership taxable income for the year ended 31 December 2012.

	US$	US$
Net profit as per accounts		836 000

Add disallowable deductions		
Depreciation	40 000	
Medical aid	-----	
Insurance :- business assets	-----	
- Partnership survivorship policy	8 000	
Donations	80 000	
Loss on disposal of assets	2 000	
Pension contributions :- employees	-----	
- Solomon (10 800- 5 400)	5 400	
- Mutsai (10 800 – 5 400)	5 400	
Attendance of trade mission(8 400 – 2 500)	5 900	
Salaries	-----	
Lease premium (30 000 – 30000/5)	24 000	
Grocery for Mutsai	-----	170 700
		1 006 700
Less exemptions		
Rental income	-----	
Foreign interest	-----	
Dividends from Sacro Zimbabwe	40 000	(40 000)
		966 700
Less allowable deductions		
Capital allowances (35 000 + 5 000)		(40 000)
Joint taxable income		926 700

Computation of Solomon and Mutsai's taxable income and tax payable for the year ended 31 December 2012.	US$	US$
	Solomon	Mutsai

Share of profits (3:1)	556 020	370 680
Medical aid	8 000	4 000
Pension contributions	5 400	5 400
Salaries	10 000	8 000
Grocery allowance	-----	4 000
	579 420	392 080
Less allowable deductions		
Pension contributions	(5 400)	(5 400)
Taxable income	574 020	386 680
Tax @25%	143 505	96 670
Less medical aid contributions credit (50%)	(4 000)	(2 000)
	139 505	94 670
Add 3% AIDS Levy	4 185	2 840
Tax payable	143 690	97 510

Working 1- Capital Allowances Schedule

Asset	Cost	ITV01/01	Rate	SIA	Wear & tear	ITV31/12/12
Machinery	50 000	37 500	25%	12 500		25 000
Furniture & equipment	30 000	15 000	25%	7 500		7 500
Delivery trucks	40 000	20 000	25%	10 000		10 000
Industrial buildings	100 000	90 000	5%	-----	5 000	85 000
Toyota Landcruiser	10 000	7 500	25%	2 500		5 000
Mercedes Benz	10 000		25%	2 500		7 500
Total				35 000	5 000	

ABOUT THE AUTHOR

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